



Human Capital Group

Policy Guidelines

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CHAPTER 1. HUMAN CAPITAL GROUP (HCG) STRATEGY

1.1 Vision

To inspire and empower people to do things differently and shape their own path in life and business.

1.2 Mission

We look at the market with fresh eyes to find new opportunities, seek new ways of enabling our customers to succeed and advance the world of finance.

1.3 Values

You

We always put the customers and their needs front and centre.

Your Needs

We do all we can to understand and anticipate what shall help our customers find their own way and achieve their ambitions.

Your Way

We do things differently, challenging the status quo to find new and better ways to move ourselves and our customers forward.

The Right Way

We always act with integrity and transparency in everything we do. It is the cornerstone of our business and brand.

1.4 Introduction & Objective of Human Capital Group Strategy

Introduction

Strategic human resource management at Bank Alfalah is linked to the overall strategy of the institution. By playing the role of a strategic partner and a change agent, Human Capital Group (HCG) of the Bank aims to provide all units with an effective workforce, ensure that all employees have ample opportunities for learning and development, and to act as an advisor to the field management, helping them in keeping all employees happy, motivated and productive.

Objective

The objective of this strategy paper is to document the strategic direction of Human Capital Group, outlining steps that need to be taken to ensure that the institutional objectives are achieved. From this standpoint the HCG strategy is directly linked with the organization's overall objectives.

1.5 Mission Statement of Human Capital Group

Human Capital Group at Bank Alfalah aims to align its strategy and action plans with the organizational strategy, acting as a strategic partner to field and HO units in order to:-

- Manage change and conflict.
- Develop commitment to shared values.
- Constantly and consistently align structures, skills, employee, culture and systems to shared values.

1.6 Elements of the HCG Strategy

1.6.1 Recruitment

We aim to induct the right people, with the right skills, in the right place at the right time. This aspect of HCG job is crucial for attainment of organizational objectives. This shall be achieved in three ways:

- By inducting substantial numbers of fresh graduates every year under the Management Trainee Officers, Counter Services Officers and Sales Officers batches.
- By systematically inducting experienced bankers as and when needed, through a centralized recruitment system, using the Bank's Recruitment Portal, advertising in papers and using headhunters for senior positions.

- By implementing appropriate selection tests and interviews at junior levels and panel interviews at senior levels.

1.6.2 Training & Development

Training and development of Employees is considered to be of crucial importance for Bank Alfalah's long term sustainable growth.

In order to ensure that the skill levels of all Bank Alfalah team members are at optimal levels, detailed plans are prepared to meet the training needs of the entire Employees of the Bank. Much of the training is to be conducted in-house, while the rest (especially for senior levels), is to be outsourced, using high quality local and international training providers. Training within the Bank is implemented through the Learning Centers.

Content wise, the training effort is channelized through the following main groups:

- Technical training in the fields of Banking Operations, Credit, Trade Finance, Consumer Finance.
- Training in Sales and Customer Service skills
- Managerial skills
- Leadership skills
- Personal effectiveness skills
- Current topics like Anti Money Laundering Measures, KYC, Basel II etc.

1.6.3 Compensation and Benefits

We need to ensure that our salary package and benefits are in line with the market. Towards this end, the Bank participates in a recognized benchmarking survey periodically.

1.6.4 Performance Management System

A performance based, just and fair Performance Management System is in place, under which supervising officers evaluate performance of their people based on pre-agreed targets, covering multi-pronged performance criteria.

1.6.5 Retention & Motivation of Employees

The biggest challenge we face in the coming years is retaining top talent within the organization. Efforts in this area shall focus on the following HCG actions:

- Systematic job rotation of all employees
- Career counseling
- Succession planning
- Systematic Reward and Recognition schemes
- Establishing an organization-wide talent pool and grooming its members for future managerial assignments
- Offering senior level positions and overseas posting to existing employees through internal job postings, under merit-based selection criteria
- Establishing a variety of internal communication channels i.e.:
 - Employee Portal
 - Monthly Employees meetings
 - Notice boards at central employee locations at all offices (like lunchroom or main back-office circulation area etc.)
 - 'Voice of Employee' survey

1.6.6 A Nurturing Corporate Culture

Bank Alfalah adheres to a number of core values, which form the basis of a nurturing and invigorating corporate culture. We need to ensure that all Bank Alfalah policies and procedures conform to the said culture.

1.6.7 Compliance with Regulatory Requirements

Human Capital Group shall ensure that at all our HCG related policies and their implementation are in line with all regulatory requirements, Labour Laws, SBP regulations (including PR-G1, SBP Fit and Proper requirements), income tax rules and other governmental regulations.

CHAPTER 2. ORGANIZATIONAL STRUCTURE

2.1 Organizational Structure of Bank Alfalah Limited

The Management structure is headed by the Chief Executive Officer (CEO). In the absence of CEO, any Group Head nominated by the CEO shall officiate as acting CEO / Chairperson of Central Management Committee / Central Credit Committee of the Bank.

The branch network of Islamic Banking is headed by Group Head Islamic Banking and the branch network of Conventional Banking is headed by Group Head Retail Banking.

The establishment of new Group(s) or merger / de-merger of Group(s) shall be approved by CMC and ratified by Board Human Resources & Nomination Committee (BHR&NC) or the Board as the case may be.

The following Executives shall directly report to the CEO, with the exception of Group Head - Audit & Inspection:

- Chief Risk Officer
- Chief Financial Officer
- Group Head Islamic Banking
- Group Head Corporate, Investment Banking & International Business
- Group Head Retail Banking
- Chief Human Resources Officer
- Group Head Global Markets & Treasury
- Group Head Special Assets Management
- Chief Information Officer
- Group Head Compliance & Business Solutions
- Company Secretary, Group Head Legal & Corporate Affairs
- Group Head Strategy, Transformation & Customer Experience
- Group Head Operations & Corporate Services
- Chief Digital Banking Officer
- Chief Marketing Officer

The following Executives shall report to Chief Risk Officer:

- Head Risk Management Division
- Head Credit Risk Retail Department
- Head Operational Risk Division
- Head Corporate Credit Risk Department
- Head Consumer & Digital Risk Department
- Head Islamic Credit Risk Department
- Chief Information Security Officer
- Head Credit Administration Center Division
- Head Credit Policy and Portfolio Management

The following Executive shall report to Group Head Retail Banking:

- Head Branch Banking
- Head Consumer Finance
- Head SME & Commercial Banking
- Head Wealth Management & Liability Products
- Head Governance Control & Diligence
- Head Retail Payment Solutions

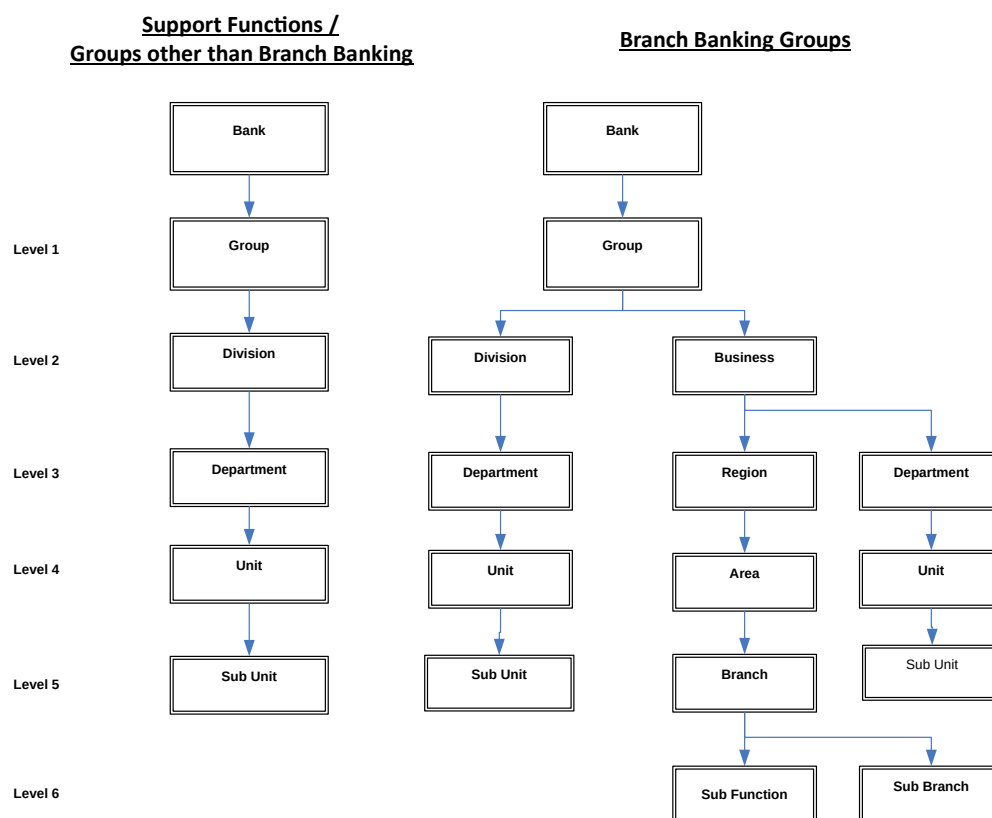
The Management has also formed various committees to run bank's affairs effectively such as;

- Central Management Committee
- Central Credit Committee
- Asset Liability Committee
- Expenditure Approval Committee
- Retail Banking Forum

- Principal Investment Committee
- Compliance & Business Solutions Committee
- Information Technology Committee Steering Committee
- Investment Committee
- Customer Experience Council
- Process Improvement Committee

2.2 Organizational Levels

The following six (6) level organizational hierarchy shall be used:



** In some functions like Credit & Consumer Finance, a mix of Branch Banking & Support hierarchy may be used. The CEO may upon recommendation from Chief Human Resources Officer, depending on the business needs, allow a hybrid structure for any function.*

2.3 Groups / Divisions

The current organizational structure of the Bank stating all Groups / Divisions with their reporting lines and scope of responsibilities is as follows:

Executive Position	Scope of Responsibilities
CEO and Director	Chief Executive Officer and Board Member
Chief Risk Officer	Credits Risk Management Credit Administration IT Risk Security Environment Risk & Green Banking Consumer & Digital Risk Operational Risk

	Credit Policy & Portfolio Management
Chief Financial Officer	Statutory Reporting & ICFR Taxation, Centralized Payments, Recon & Fixed Assets MI, Planning & Systems
Group Head – Islamic Banking	Islamic Banking Business IBG Commercial, SME & Agri Consumer Finance Product & Sales Management Shariah Compliance
Group Head – Corporate, Investment Banking & International Business	Corporate Banking Islamic Corporate Investment Banking Branch Banking & Corporate Liabilities Financial Institutions & Home Remittances Transaction Banking Governance & International Operations
Group Head – Retail Banking	Consumer Finance SME & Commercial Wealth Management & Liability Products Branch Banking Business Governance Control & Diligence Retail Payment Solutions
Chief Human Resources Officer	Rewards & Financial Services Talent Acquisition & Advisory Culture Enablement Learning Employee Services & People Risk Corporate Communications
Group Head – Global Markets & Treasury	Islamic Treasury Trading Treasury Pakistan, Governance, Projects & Business Support Capital Markets & Investor Relations Treasury Sales
Group Head – Special Assets Management	Special Assets Management
Chief Information Officer	IT Operations Applications & Enterprise Architecture IT Business Technology Alignment Technology Services IT Services Management Consumer Technology, Credit Card, ADC System Core Banking Applications & BI Analytics
Group Head Compliance & Business Solutions	Financial Crime Compliance Regulatory Compliance, Control & Fraud Risk
Company Secretary, Head Legal & Corporate Affairs	Legal Affairs, Central & North Legal Affairs, South, HO Function & International Operations Corporate Affairs LEA Representation
Group Head Strategy, Transformation & Customer Experience	Strategy Customer Experience Branch Transformation Venture Capital
Group Head Operations & Corporate Services	Centralized Operations Treasury Operations System, Policies & Procedure Branch Banking Operations Corporate Services Centralized Trade Operations Security ADC Operations Automations & Projects

	Travelling & Protocol
Group Head – Audit & Inspection	Audit & Inspection (reporting to the Board through the Board’s Audit Committee) Management Audit & Credit Risk Review Quality Assurance Retail Banking Audit IBS & Overseas Audit Audit & Inspection Group Secretariat Unit Board Audit Committee Secretariat Unit Audit Enforcement & Analytics IS Audit
Chief Digital Banking Officer	Digital Channel & Transformation Digital Business Enablement Digital Corporate & SMME Digital Innovation & Development Digital Payments Digital Product & Lending Digital Innovation & Integration
Chief Marketing Officer	Marketing & Brand Management

2.4 Bank’s Organogram

The Organogram shall be subject to periodic review and updation by the Human Capital Group so as to reflect any changes therein. However, the Human Capital Group shall maintain an updated Organogram at all times.

CHAPTER 3. OBJECTIVES, CONTENTS & COMPLIANCE

3.1 Objectives of HCG Policy Guidelines

The HCG Policy Guidelines have been established to provide guidance and clarity to all employees of the Bank.

HCG Policy Guidelines shall be available on HR Quick Connect and other digital platforms for access by the employees.

3.2 Compliance

Management of branches and other units of the Bank must ensure compliance with the provisions contained in this HCG Policy Guidelines in letter and in spirit. Human Capital Group shall monitor compliance of these policy provisions.

3.3 Scope & Application

These Service Rules apply to all employees of the Bank and supersede all previous rules and regulations issued from time to time. Rules pertaining to contractual Employees are documented in the service contracts issued to such employees. All employees of the Bank shall conform to and abide by all the rules and regulations of the Bank including these service rules, with such amendments as may be effected from time to time.

3.4 Amendments in HCG Policies & all HCG related matters

The contents of these HCG Policy Guidelines may be amended from time to time to suit the requirements of the Bank. The authority to amend these rules rest with the Board Human Resources & Nomination Committee (BHR&NC), which shall be subsequently approved by the Board. In view of confidentiality of various HCG matters, HCG shall refer all amendments / improvements directly to the BHR&NC.

CHAPTER 4. BASIC WORKPLACE RULES

General norms of office behavior that all employees of Bank Alfalah need to abide with are briefly described below.

4.1 Office Discipline & Decorum

All Employees working in any Unit / Branch shall:

- Observe, comply with and obey all orders and directives which may, from time to time, be given by any person or persons under whose jurisdiction, supervision or control they may be placed.
- Conduct themselves in an orderly and civilized manner so as to maintain a pleasant and conducive working environment, and not to disturb their colleagues working in close proximity.
- To use a low tone of voice and not speak loudly to colleagues across desks.

4.2 Dress Code

Dress code for all male employees of the Bank is suit and necktie. Employees may wear national / smart casual dress on Fridays. Similarly, Employees of units not dealing directly with customers may attend office without jackets and neckties (business casual dress) on Saturdays (subject to working day on Saturdays as per SBP guidelines).

Female employees should also dress elegantly, keeping in mind the cultural norms of the country where they are based, without being ostentatious.

Non-clerical Employees i.e. messengers, security guards, office boys, machine operators, maintenance Employees shall always be in uniform.

Islamic Banking Group's dress policy shall be applicable for employees working at Islamic Banking Group.

4.3 Courtesy and Manners

Employees of Bank Alfalah shall maintain utmost courtesy and exemplary manners when interacting with clients or with each other. Any violations of this code should be brought to the attention of supervising officials as well as the Human Capital Group for their information, record and remedial or disciplinary action.

4.4 Smoking and Chewing 'Paan' (beetle leaves) at the Office

Smoking and chewing 'Paan' are prohibited in all offices of the Bank. Customers may politely be informed of this regulation, introduced in the interest of the health and welfare of all concerned as well as keeping the premises neat and clean and pollution-free. Through these rules Bank Alfalah demonstrates to the outside world that as an institution it cares for the people and the environment.

4.5 Attendance and Punctuality

Punctuality is one of the basic rules of office discipline, which needs to be meticulously observed by all employees of the Bank.

4.5.1 Office Timings

Office Timings of the Bank are as follows:

Days	Counter Hours for Banking	Office Hours
Monday to Thursday	9:00 a.m. till 5:00 p.m. (without any break)	9:00 a.m. till 5:30 p.m. (45 minutes break for Prayer / Lunch between 1:00 pm. to 3:00 p.m. on rotation basis)
Friday	9:00 a.m. till 5:00 p.m. (Break for Prayer / Lunch from 1:00 p.m. to 2:30 p.m.)	9:00 a.m. till 6:00 p.m. (Break for Prayer / Lunch from 1:00 p.m. to 2:30 p.m.)
Saturday	For selected branches 10:00 a.m. till 2:00 p.m. (without any break)	For selected branches 10:00 a.m. till 2:00 p.m. (without any break)

These timings may be changed by the Bank's management to comply with governmental regulations / State Bank of Pakistan.

4.5.2 Office Timings During Ramadan

Office / Counter Timings during Ramadan shall be observed as per SBP Guidelines. (Timings in some areas in Pakistan and overseas branches may vary to comply with local laws)

- Sr. Branch Managers/Branch Managers and Heads of HO Divisions and Departments must ensure that their Employees observe these timings.
- Employees, who are going to be late for any reason, should inform their Sr. Branch Managers/ Branch Manager as early as possible. Employees at Business Offices / Regional Office should inform the respective Regional Business Heads / Regional Managers and those at Head Office should inform the respective Departmental / Divisional Heads, and Group Heads.
- Management may, at its discretion, excuse late arrivals in case of natural disasters or extraordinary circumstances.
- All Employees shall sign the attendance register upon their arrival at the Bank, mentioning the time of arrival and similarly departure time at the time of departure.
- Certain Employees may be required to observe different timings to suit the needs of the Bank.

4.6 Hybrid, Remote and Flexible Working Policy

4.6.1 Introduction

At Bank Alfalah, we recognize that the modern workplace is evolving, and so are the needs of our employees. In response, we are committed to fostering a culture that emphasizes productivity, innovation, and work-life balance through flexible working arrangements. This Hybrid, Remote, and Flexible Working Policy is designed to empower employees with the choice to work in ways that best suit their professional and personal needs while ensuring that business objectives are consistently met. By offering flexibility in where, when, and how work is done, we aim to enhance employee engagement, drive performance, and position ourselves as an employer of choice in the competitive banking sector. This policy outlines the framework for hybrid, remote, and flexible working practices, ensuring clear guidelines and support for both employees and managers.

- **Essential Work from Office:** employees performing roles which require physical presence shall continue to operate as per the normal modus operandi. However, in some cases the Flexible Working Hours, clauses can apply. E.g. of roles that will fall under this category could be Sr. Branch Managers/ Branch Managers, Relationship Managers, Counter Services officers etc.
- **Hybrid Working:** where roles permitting, employee may do a mix of remote working and physical presence, subject to provisions of this policy. E.g. of roles that could fall under this Finance Managers, Risk analysts, compliance review officers, Digital developers & product managers, HR Recruitment & Ops, etc.
- **Remote Working:** certain roles, can opt for remote working conditions for the time period as defined in the provisions of this policy. E.g. of roles that could fall under this Digital Analytics, Call Center agents, Developers, Accountants, etc.

4.6.2. Parameters for determining eligibility for Hybrid, Flexible and Remote Working:

- **Feasibility:** determine whether remote, flexible and hybrid working is feasible for the role being performed by the employee and does not fall under essential work from office required roles.
- **Portability:** determine whether relevant tools and technological support will be available to the employee to perform, remote and hybrid working.
- **Sustainability:** determine whether the relevant mode will be financial feasible and sustainable for the Bank.

These assessments shall be made by the respective line manager of the requesting employee and endorsed by HCG, before proceeding for the respective mode of working flexibility.

4.6.3. Flexible Working Hours:

Employee may opt for flexible working hours with consent from the line manager. Under this arrangement, the employee will have the option to alter their working hours whilst ensuring that overall contractual working hours of the day are not impacted or altered.

4.6.4. Hybrid, Remote Working/ Work from Home:

- **Normal Circumstances:** Employee may request for remote working or work from home facility up to 5 days in a month (not to be availed consecutively), subject to assessment of the above parameters by the line manager. However, the employee and the line manager must ensure that this facility is not abused and the contractual working times are adhered to.
- **Special Circumstances:** in some special circumstances, like medical emergency, personal circumstances, etc. an employee may work remotely for up to a period of 30 days during the calendar year. The time period may be extended subject to circumstances and merit of the case with the approval of CHRO.
- **Complete Remote Working Option:** The Bank may offer a complete remote work employment where a role permits, and other technological support is available for smooth functioning without any business and cultural impact.

4.6.5. Other terms & conditions:

- Employee operating under Hybrid, Remote and Flexible Working Hours, may be required to physically attend office by the Line Manager as and when needed. The employee must not refuse, unless without any plausible reason for not being able to do so.
- In the event of promotion or change in role, the employee and the new manager shall reassess the flexible working practice in line with the new role. Where the new role or position, is materially different from the current role, it must be assessed on the above parameters before determining whether, the flexible working conditions can be continued or not.
- Any other condition or exception required may be approved by the CHRO/CEO depending on the circumstances and merit of the case.
- Opting for the flexible working conditions, will not affect the salary, benefits and other perks.

4.6.6. Approving Authorities

Policy Conditions	Recommending Authority	Approving Authority
Flexible Working Hours	Line Manager	HCG
Remote Working – Normal Circumstances	Line Manager	HCG
Remote Working – Special Circumstances	Line Manager	HCG
Complete Remote Working	Line Manager	HCG/ CEO

4.7 Alternate Saturday Off: (subject to working day on Saturdays as per SBP guidelines).

All Branches / Offices, after obtaining approval from concerned Regional Managers / Group Heads, may arrange Alternate Saturday (weekend) Off facility for their Employees, provided that:

- Service to external / internal customers does not suffer.
- The security of the Bank's assets is not compromised.
- Concerned branch / office clearly lays down the "Alternate Saturday Off" roster indicating names of Employees acting as backups to those.

4.8 Late Sitting

It is recommended that all employees of the Bank should endeavor to leave the office maximum by 06:30 p.m. However, where regular late sitting becomes necessary for business duties are rotated amongst various Employees rather than over-burdening a few individuals.

It is recommended that Late sitting registers should be placed in all offices to record incidences of late sitting after 6:30 p.m. only. Its contents should also be perused by management of concerned Branch / Group / Distribution / Business / Region / Unit on a regular basis to ensure proper remedial measures where necessary.

Exceptional cases of late sitting:

Late sitting in offices may be allowed on rotation basis only in case of following exceptional situations:

- At those branches where Employees are required to continue their operation till late evening
- In case of Special Projects / Tasks such as internal external audit or day end processing at branches etc.

4.9 Code of Ethics

All Employees must sign the “Code of Ethics” document which contains details of norms of office behavior.

4.10 Conflict of Interest

Objective:

The objective of this policy is to help the employees, especially those in supervisory roles to effectively identify and efficiently manage conflict of interest situations arising at the workplace. Such situations must be professionally and ethically managed in the best interests of Bank Alfalah to safeguard its reputation.

Principles:

4.10.1 Overview

A person shall be deemed to have an interest in a matter if he / she has any stake, pecuniary or otherwise, in such matter which could reasonably be regarded as giving rise to a conflict between his / her duty to objectively perform functions so that his / her ability to consider and decide any matter impartially or to give any advice without bias, may reasonably be regarded as impaired.

In order to implement the best corporate & ethical practices in the Bank, it is the responsibility of all employees as well as stakeholders at Bank to remain compliant with the Bank’s Code of Conduct – Ethics & Business Practices, specifically, the Conflict of Interest. Any failure to adhere to these may attract penal consequences including initiation of disciplinary action against such employee / stakeholder.

Every employee is required to disclose the conflict of interest (if any) in terms of following points prescribed on the requisite forms, wherever available or otherwise:

A conflict of interest includes situations where an employee permits the prospect of direct or indirect personal gain to influence his / her judgment or actions or more generally, when he / she favors someone else’s interest over that of the Bank’s or any customer of the Bank in the conduct of Bank’s business. It also includes where an employee goes an extra mile to accommodate or give some financial or other benefit to his / her relative(s) without proper disclosure, by using his / her discretion unjustifiably or by compromising on any stipulation of any policy he / she is required to follow.

Employees in the Bank shall, therefore, not create any conflict-of-interest situation and shall avoid it in their activities with the Bank and commitments to other organizations. No personal / business financial transaction with the customer / borrower of the Bank is allowed as the same would also be a source of conflict of interest. Under dual charge, positions can be filled in by an employee on acting / additional charge basis provided there is no conflict of interest in both the responsibilities.

4.10.2 Related Party Information

At the time of hiring, a candidate has to disclose his / her as well as his / her family members' related party information if they hold any significant position such as director, proprietor, partner, etc., in any entity (proprietorship, firm, company or trust) or holding 5% or more of the paid-up capital there. As defined in the Banking Companies Ordinance, 1962 the term family members mean spouse, dependent lineal ascendants and descendants and dependent brothers and sisters. If a family member of an employee during his / her employment at Bank Alfalah assumes responsibility in the entity as defined above, the employee shall instantly disclose the related party information of his / her family member to Corporate Affairs and Human Capital Group.

4.10.3 External Engagements

Employment with the Bank is and should be seen as a full-time occupation and for this reason other business association or employment including but not limited to acting as an officer, employee, proprietor, partner, director, agent, independent contractor or advisor or any in similar capacity, shall not be taken up without the written consents of Chief Human Resources Officer and Chief Executive Officer. Similarly, if an employee is willing to assume any significant position in any entity, it shall not be taken up without the written consent of Chief Human Resources Officer and Chief Executive Officer. An employee may not hold any position, whether for gain or otherwise, of director, consultant, partner, employee, representative or agent with any supplier, competitor or organization either doing or seeking to do business with the Bank without a prior written approval / consent.

An employee may not hold an interest in any organization doing business with the Bank unless it is a company / establishment quoted on a Stock Exchange and the interest is less than 1%, without the written consent of his / her manager.

No employee shall hold any public office (by whatever designation) or office of any political party nor shall he / she be a member of Senate, National Assembly, Provincial Assembly or local bodies. However, if an employee is willing to participate in the political activities, he / she shall obtain a prior permission from the Management for any level of involvement in political activities such as acceptance of any significant post in any political party or participation in Political Party's internal Elections for a significant position or participation in General / Local Bodies Elections during employment with the Bank. If such permission is not granted by the Chief Human Resources Officer or Chief Executive Officer, the employee has to refrain from / discontinue aforesaid political activities.

4.10.4 Non-executive Association

If any employee wishes to undertake a non-executive directorship, trusteeship or supervisory position with any external organizations, the employee must obtain the consent of the Central Management Committee, Chief Human Resources Officer, Chief Executive Officer or Board of Directors. In considering any such requests, the following factors shall normally be taken into consideration:

- The amount of time required to fully discharge the duties of the position, particularly any periods required during normal working hours.
- Employee's current workload and performance level- Permission shall not be given if it is envisaged that the extra responsibilities shall impair the employee's ability to perform his / her role in the Bank or affect his / her health.
- Permission may be refused if the appointment is considered to be commercially, politically sensitive or exposes the Bank or the employee to charges of commercial indiscretion.
- The potential within the position for the development of key competencies should be valuable to the employee or the Bank.

In the event that consent is obtained, any remuneration received for work carried out can be retained by the said employee of the Bank.

4.10.5 Close / Blood Relatives

Since conflicts of interest arising from close / blood relatives, defined in Clause 5.2.4, may expose the Bank to material risk, approval prior to hiring such related candidates shall be obtained from Chief Human Resources Officer after ensuring that no conflict of interest arises. Related employees must be posted in separate units and shall not report to each other. It is also the responsibility of line managers to identify and report situations of conflict of interest to Human Capital Group for guidance.

4.10.6 Financial Relationship

Financial relationships between employees should be avoided, as such relationships may become a source of potential conflict of interest. However, in unavoidable circumstances, if employees wish to undertake any financial transaction, they shall make sure that no conflict of interest arises. However, the same should be brought to the knowledge of the line management and Human Capital Group.

Financial transactions are allowed between employees who are close / blood relatives, duly disclosed and obtained approval as prescribed under the HCG Policy.

Sale / Purchase of goods / assets between employees are allowed on arm-length relationship, which does not involve any regular sale and purchase.

However, prior to entering into such one-time transaction, approval from relevant line manager(s) is required. The Line Manager should assess all the aspects of potential conflict of interest, if any, to the transaction and give approval(s) accordingly.

4.10.7 Publication & Media Presentation

A work for publication or making a public speech / media and other presentations in any medium may raise conflict of interest concerns. The employee willing to be part of such activities must obtain the consent of his / her Group Head, Chief Human Resources Officer or Chief Executive Officer.

4.10.8 Gifts & Entertainment

Receiving gifts, entertainment, hospitality, etc., can serve important business purposes. However, all employees must avoid any conduct that may create a conflict of interest in these situations.

An employee must never allow himself / herself to be in a position whereby he / she might be deemed by others to have been influenced in making business decisions or in the performance of his / her duties as a result of accepting a gift, hospitality, or other favor from any individual or entity that does or is seeking business with, or is a competitor of the Bank or has received, is receiving or is seeking to receive financing or to secure other financial commitments from the Bank.

This does not apply to acceptance of gifts / hospitality of nominal value that are permissible as per the Code of Conduct – Ethics and Business Practices.

If employees are offered gifts other than the permissible items with a commercial value more than the amount mentioned in the Code of Conduct and these gifts are delivered at their houses or workplace and cannot be easily returned without incurring embarrassment, they must hand such gifts over to their respective immediate seniors / supervisors / heads who shall consider the most appropriate ways of dealing with them in consultation with Human Capital Group.

4.10.9 DISCLOSURE

All employees / candidates at Bank Alfalah are required to invariably declare their close / blood relatives working in the Bank or involved in any capacity as vendor, consultant, agent, broker or service provider offering services to Bank Alfalah. Similarly, if any immediate family member of any employee of the Bank (close relative as defined in clause no. 5.2.4.) holds a position with any organization doing or seeking to do business with the Bank, a written disclosure must be made promptly by such employee through his / her line management to Human Capital Group.

The standard examples of conflict-of-interest situations have been covered. However, if an employee confronts other situations not covered in the policy, in which his / her personal interests are likely to be in conflict with those of Bank Alfalah, it is mandatory for him / her to make full disclosure of all such actual or potential conflicts of interest situations so that the same can be managed. If there is a failure on the part of an employee at timely disclosing his / her conflict-of-interest situation, it shall not only be considered as a serious matter but also may lead to a punitive action.

CHAPTER 5. RECRUITMENT, SELECTION AND PLACEMENT

The objective is to set out the Recruitment framework for the Bank. The CEO / President on the recommendation of the Chief Human Resources Officer (CHRO) shall be authorized to make any amendments to facilitate or improve the process, depending on the business requirements.

5.1 Head Count Planning & Budgeting

Each Group before the beginning of the next Financial Year shall be required to prepare and submit a comprehensive Head Count and Personnel Cost Budget. This plan shall be reviewed by HCG and Finance and accordingly presented to CEO / President.

The overall Cost and Head Count Budget shall be presented to the Board for approval.

HCG shall ensure that all hiring in the Financial Year is within the approved manpower budget. Any hiring over and above the approved budget during the Financial Year shall require CEO / President's approval and shall then be ratified by the Board.

5.2 Recruitment & Selection

5.2.1 General

- The Bank is an equal opportunity employer.
- The Bank shall select and appoint employees through a systematic, non-discriminatory and merit-based selection process.

5.2.2 Management Levels

- The Bank shall hire in Permanent cadre or Contract basis in the following Management levels:

Management Level	Grade
Tier 1	SEVP-II
	SEVP-I*
	PEVP**
	EVP-III
	EVP-II
	EVP-I
	SVP-II
Tier 2	SVP-I
	VP-II
	VP-I
	RVP
	AVP-II
	AVP-I
Tier 3	OG-I
	OG-II
	OG-III
	OG-IV
Tier 4	Non-Officers

- *SEVP-I: shall be a succession grade,
 - Exclusively for employees identified as **Ready Now / Immediate Successors** to Group Head or Chief roles,
 - Incumbents to be designated as **Deputy Group Heads / Deputy Chiefs**,
 - Entry into SEVP-I to be strictly governed through the formal succession planning process.
 - The existing incumbents in the SEVP-I will be critically evaluated in line with the succession planning criteria before being designated as Deputy Group Heads/ Deputy Chiefs and will require approval from the CEO.

- **PEVP: shall be a succession grade and be reserved for employees who are:
 - Identified as **Probable Successors/ Accelerated Successors**, and
 - Require further development before being considered ready now
 - This tier shall function as a developmental and preparatory layer in the succession pipeline
- The Bank may outsource specific jobs / work to independent service provider(s), who for the purpose of execution of the contract and rendering services shall deploy requisite number of persons to the Bank's premises.

5.2.3 Minimum Entry Requirement

The following shall be the minimal educational requirements:

Cadre	Minimal Educational Requirement
Permanent	Graduation or equivalent qualification from a recognized national or foreign university or educational institution
Contractual	

- Non-graduates with relevant experience in specialized areas may also be considered for hiring with the concurrence of the Chief Human Resources Officer (CHRO) and only under special circumstances to be recorded in writing. Preferably, these shall be hired on Contractual basis and their services may be regularized subject to meeting the minimum educational requirements and Test criteria.
- The minimum hiring age shall not be less than 18 Years and candidate must possess a valid CNIC.

5.2.4 Hiring of Close / Blood Relatives

- The Bank does not prohibit employment of close or blood relatives of current employees, provided that they meet required eligibility criteria, no conflict of interest is likely to arise, and prior approval is obtained from Chief Human Resources Officer. HCG shall ensure that related employees are posted in separate units and shall not report to each other.
- The following shall be considered as Close / Blood Relatives:

- Father	- Husband	- Daughter
- Father's Brother	- Husband's Father	- Daughter's Husband
- Father's Sister	- Husband's Mother	- Daughter's Father-in-Law
- 1st Cousin Paternal	- Husband's Brother	- Daughter's Mother-in-Law
- Mother	- Husband's Sister	- Step Father
- Mother's Brother	- Wife	- Step Mother
- Mother's Sister	- Wife's Father	- Step Brother
- 1st Cousin Maternal	- Wife's Mother	- Step Sister
- Brother	- Wife's Brother	- Step Son
- Brother's Wife	- Wife's Sister	- Step Daughter
- Brother's Son	- Son	
- Brother's Daughter	- Son's Wife	
- Sister	- Son's Father-in-Law	
- Sister's Husband	- Son's Mother-in-Law	
- Sister's Son		
- Sister's Daughter		
- A declaration to this affect shall be obtained invariably from the candidates.

5.2.5 Delegation of Authority for Hiring Appointments

The schedule given below summarizes the assignment of hiring authority and responsibility:

Grade	Authorized Personnel	Co-Authorized Personnel	Recommending Authority	Approving Authority
SEVP-II / SEVP-I	CHRO	CEO / President	BHR&NC Committee	Board
PEVP / EVP-III / EVP-II	Group Head of Line	-	CHRO	CEO / President
EVP-I			-	CHRO
SVP-II to OG-IV / Non-Officers	Line Manager of Requisition Department/ Branch	Group Head of Line/ Business Head/ Branch Operations Head	-	CHRO/Delegated by CHRO

**For Branch Network only: Business Head/ Branch Operations Head (or equivalent positions) would be co-authorized personnel.*

*** Employees to be hired in PEVP or below on Key Positions falling under the ambit of Fit & Proper Criteria of State Bank, then the Recommending Authority shall be BHR&NC Committee and Approving Authority shall be the Board.*

**** Group Head may delegate the hirings to any of their Divisional Heads.*

- Employees hired on Key Positions falling under the ambit of Fit & Proper Criteria of State Bank of Pakistan shall be approved by the Board's Human Resource Committee / Board. While evaluating hiring cases against the positions which fall within the ambit of Fit & Proper Criteria, the Bank shall complete all requirements of relevant SBP rules / regulations.
- Employees to be hired in above positions, the Board's Human Resources & Nomination Committee / Board shall approve the selection, evaluation and compensations, Retirement Benefits, Promotion, Demotion, Renewal of Contract for positions falling under Fit & Propriety Criteria.
- A Key Executive position can be filled by an Executive on acting charge basis for a period of up to nine months provided there is no conflict of interest in both the responsibilities. However, President / CEO on the recommendation of Chief Human Resources Officer may allow further extensions to the officiating period on case-to-case basis, based on merit of the case.

5.2.6 Assessment of Fitness & Propriety of Key Positions

Prior assessment of the Fitness & Propriety of Key Positions shall be carried out as defined by State Bank of Pakistan on the following broad elements:

- Eligibility
- Integrity, Track Record & Reputation
- Financial Credibility
- Conflict of Interest
- Qualification and Experience

HCG / Distribution Heads shall ensure that the candidate meets the requirement of all applicable laws. HCG shall obtain education / experience certificates which shall be verified from concerned universities / financial institutions / other organizations within stipulated time. HCG shall obtain satisfactory confidential reports from his / her former employer plus three references from the candidates which shall be verified within the stipulated time.

Moreover, all the key position holders falling under the ambit of Fit & Proper shall fill and sign 'Fit & Proper Questionnaire' giving true information to the Bank whereby covering all the broad elements mentioned above. Like all employees, they shall also sign the Bank's 'Code of Conduct' document and comply with all requirements.

All employees subject to Fit & Proper Criteria of SBP should immediately intimate any change in earlier submitted information for onward submission to SBP.

HCG shall assess the materiality of the change and in case it considers that such change could have an impact on the fitness and propriety of concerned person, HCG shall convey the same to SBP.

HCG shall obtain ECIBs of all Key Executives on a monthly basis to ensure financial discipline.

5.2.7 Recruitment Classification

5.2.7.1 Entry Level Recruitment: Fresh graduates can be inducted through Batch Hiring or Individual hiring process, depending on the business needs / requirement. The batch hiring can be under the following categories:

- Management Trainee Officers (MTOs)
- Counter Services Officer (CSOs)
- Any other category as and when required by the Bank.

HCG shall prepare a detailed program on the induction of the batch including the training program (In-House Trainings through the Learning Centers) and have this approved by the CEO / President. Groups shall be intimated on the proposed program for resource requirement and other necessary details.

5.2.7.2 Lateral Recruitment: Experienced resources from the market or other financial institutions shall be hired depending on the business needs of the Groups against the budgeted positions / head count.

5.2.7.3 Re-Hiring: The Bank may also re-hire (through Lateral / Batch) an employee subject to the following:

- The employee had resigned on his / her own accord and was not terminated / dismissed from Bank's services on disciplinary grounds. Further employee had not been removed from managerial position on account of Un-Satisfactory audit rating. In addition, the employees past employment records would be given due weightage before making the hiring decision.
- Re-hiring shall be allowed after completion of one year from the last working day of previous employment subject to clearance of all previous dues.
- The previous years of service would not count for any terminal benefits of new employment.

Additionally, upon retirement from Bank's Services, the individual can be re-hired on Contract basis subject to business requirements.

The management of the Bank may, at its discretion, employ expatriates. The Bank in such cases shall comply with the relevant provisions of the Immigration Ordinance / Law when hiring such employees.

5.2.8 Induction Activities

Following is a brief guideline on the induction activities for Employees in Permanent or Contract basis.

5.2.8.1 Requisition: The Groups for any vacancy within the approved Head Count budget shall raise a Job Requisition. This requisition shall be approved by the respective Group Heads (for Branch Network, the Distribution Heads / Group Heads) and forwarded to Recruitment for processing.

5.2.8.2 Sourcing: The bank may use any of the following search modes for sourcing the vacancy requirements:

- **Internal Job Watch:** The Bank realizes the need to make available appropriate career development opportunities for its employees. Thus, the vacant positions may be advertised on the Employee Portal to give the employees an opportunity to apply for these positions.
These positions may be advertised on the Portal for a period of 7 days. In case of shortlisted candidates, their Transfer shall be executed based on the conditions and guidelines contained in the Transfer & Posting section of the Policy.
- **External Sourcing:**
 - Unsolicited applications: Recruitment or Line Management shall carry out the search for potential candidates through referrals, market exploration or conducting search in the available databases.
 - Advertisements: when deemed appropriate, HCG shall advertise the positions in the appropriate media forum to attract talent.

- kSearch Consultants: may be engaged to hire senior level resources or talent with specialized skill sets. The engagement of search consultants shall be subject to the approval from the CEO / President.
- Career Portal: under the Bank's website may also be used to advertise positions.

5.2.8.3 Selection Test:

- The requirement of the test is only applicable for Fresh Hires with no experience.
- The test shall be arranged and conducted by HCG for the candidates falling under the above criterion. Candidates obtaining the passing criteria as devised and approved by Chief Human Resources Officer, shall proceed further for the selection interview process.

5.2.8.4 Selection Interview:

The candidates as selected above or not falling under the criterion of the "Selection Test" shall be required to undergo the Interview process. The criterion shall be as follows:

Grade	Level 1 Interview	Level 2 Interview	Level 3 Interview
SEVP-I / SEVP-II	Chief Human Resources Officer	CEO	
SVP-II to PEVP	Line Group Head	Chief Human Resources Officer	
RVP to SVP-I	Department Head / Business Head	Distribution Head / Divisional Head	TA / HRBP
AVP-I / AVP-II	Line Manager / Unit Head	Department / Divisional Head*	TA / HRBP
OG-IV to OG-I	Line Manager	Unit / Department Head**	TA / HRBP

*Tier 1: Any 2 levels interview would be required

For Branch Network only:

* Tier 2 (SVP-I & VP-II) : Business Head / Branch Operations Head can also be the Level 2 interviewer

** Tier 3: Business Head / Branch Operations Head / Cluster Sales Head-Liabilities/ Regional-SME/ Agri/ Commercial Head shall be the Level 2 interviewer.

- HCG Interviewer should be of at least same level as interviewee.
- Any change in the above grid shall be approved by the CEO, on the recommendation of the Chief Human Resources Officer.
- For the positions of Chief Operating Officer, Chief Financial Officer, Chief Internal Auditor and Company Secretary, the Board's Human Resources & Nomination Committee shall be the Level 3 Interviewers.

5.2.8.5 Offer Placements:

Recruitment department shall prepare and negotiate the Salary Grade and Compensation level with the candidate based on experience, existing salary, job profile and salary survey as appropriate.

For the positions of Chief Operating Officer, Chief Financial Officer, Chief Internal Auditor and Company Secretary, the compensation level shall be recommended by the Boards Human Resources & Nomination Committee to the Board for approval.

Offer / Appointment letter shall be jointly signed off by the authorized signatories (as approved / nominated by Chief Human Resources Officer (CHRO)).

5.2.8.6 Joining Formalities:

HCG shall ensure that all joining formalities must be completed before the employee joins the Bank.

5.2.8.7 Antecedent and Degree Verification:

HCG shall arrange verification of highest educational degree / certificate from the concerned university / board. Feedback from his / her previous employers (especially in the case of Financial Institutions) shall also be obtained with regards to his / her honesty, integrity and performance before confirmation of services. In case, the verification of educational degree / educational certificate or employment certificate

is pending at the time of confirmation, services of new joiners may be confirmed (subject to the approval of Chief Human Resources Officer) at the satisfactory completion of probationary period with a disclaimer of 'degree / employment certificate under verification' in the confirmation letters, to safeguard the bank's interest at all times. In case of negative verification, appropriate action may be taken in accordance with chapter 16 of HCG Policy Guidelines.

5.2.8.8 Confirmation in Bank's Services:

The Employees shall be placed under probation as follows:

- 3 months for all Employees
- The probationary period for employees hired under batch programs shall be as per their respective programs. This shall be approved by the Chief Human Resources Officer.

The employee can be confirmed in the Bank's services on successful completion of the probationary period subject to:

- Completion of the joining formalities
- Antecedent and Degree verification
- Recommendation from the Line Manager on satisfactory performance

In case of unsatisfactory performance, the incumbent may be relieved from the Bank's service according to the conditions mentioned in the appointment letter / HCG Policies without any notice. However, the probationary period can be extended for a maximum period of 3 months from the completion of the initial probationary period, subject to the approval of Chief Human Resources Officer. During the probation extension period, the Line Manager shall be responsible to monitor the progress and report to HCG for appropriate action. However no extension shall be granted for Tier IV. In case of batch hires, probationary period may be extended up to 6 months or the duration deemed appropriate but not more than one and half year from date of joining.

5.2.8.9 Renewal of Contract:

- Employees on Bank Contracts shall stand relieved from the services unless the contract is renewed.
- Contract Renewal authority shall be the same as per Delegation of Authority (mentioned above).
- In case of renewal of contracts for employees above the age of 65 Years, CEO / President's approval shall be required.
- Salary increase may be allowed (subject to performance of the candidate and recommendation from the concerned Group Head / Distribution Head / Line Head) and should be in line with the Compensation Strategy of the Bank.

CHAPTER 6. JOB DESCRIPTION / JOB ROTATION

6.1 Job Description

All new employees of the Bank should initiate preparation of their Job Description and should get it finalized with the help of their immediate supervisors within 30 days of joining at their place of posting. The Job Description duly signed and agreed by both the employee and his / her immediate supervisor should be sent to Human Capital Group for record. Concerned Sr. Branch Managers/ Branch Managers / Regional Business Heads (and in case of Head Office Employees, concerned Departmental Heads shall be responsible for compliance of this requirement.

The purpose of the Job Description is to clearly define the job responsibilities of each employee and to ensure that the employees are made aware of and understand what is expected from them. The standardized Job Description Form is made available to all employees at the time of joining.

6.2 Components of Job Description Form

Bank Alfalah's Job Description Form has a standardized format, which comprises of employee's brief service particulars like name, Job Title, Department / Branch's Name, salary Grade, basic and gross. It also contains the name of the reporting officer, with his job title and salary Grade.

Bank Alfalah's JD Form include what employee actually does, how he or she does it, and what the job's working conditions are. It contains sections that cover the following information about the job:

- Purpose of Job (Summary)
- Principal Accountabilities
- Job Specification which shows the desired human traits and experience for the job (to be completed by Reporting Officer)
- Performance Measures
- Minimum Qualification required for the job.
- Minimum Experience required for the job.

Job Description form has to be signed by the Job Holder, immediate Reporting Officer and Sr. Branch Managers/ Branch Manager / Departmental Head at HO.

6.3 Job Rotation

Periodic rotation of Employees between various assignments is used by Bank Alfalah as a means of broadening areas of expertise of concerned Employees. This is also done to ensure smooth transition from one job to another in case an Employee leaves the job or is transferred to another job or location.

Employees posted at branches should be rotated or transferred periodically according to the following guidelines:

- For clerical, supervisory and officer level positions, rotation or transfer may be done upon completing around three years in one assignment.
- For Departmental Heads or Managers the maximum period in one assignment should not exceed five years. Exceptions are allowed, after due approval by the Chief Human Resources Officer, in circumstances where the branches are remote, or the person is in a specialist role.

Key Executives as defined in SBP's BPRD Circular No. 05 of 2021 dated November 22, 2021 shall be rotated based on the requirement of the job and at the discretion of the Bank.

The positions of Head of IT, Treasury, HCG, Islamic Banking, Legal, Audit, Finance, Company / Corporate Secretary, CISO, Chief Operating Officer (COO) and Deputy CEO / Deputy MD may be exempted.

CHAPTER 7. LEARNING & DEVELOPMENT POLICY

7.1 Purpose & Scope

This framework is designed by the Learning and Development Division in Human Capital Group in line with the business and learning objectives of Bank Alfalah and best practices with a focus on capacity building and continuous skill improvement. All the formal learning programs which may be effectively delivered through the combination of in-house, external (local and international) and mobile learning programs, wherever possible shall fall under the ambit of these policy parameters.

Broadly, this policy encompasses the following learning and development activity types:

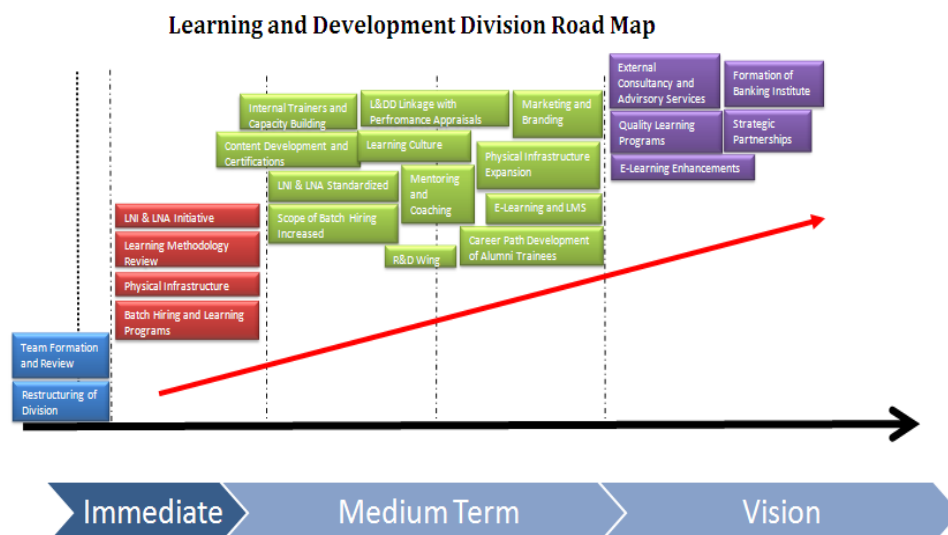
- In-House Learning Programs
- New Joiners Learning Programs
- Batch Learning Programs
- External Learning Programs (local and international)
- CIBG, Retail, Islamic Banking and Consumer Banking Learning Programs
- Learning Programs for all support functions such as Finance, Admin, HCG and Learning Groups
- E-Learning and Certifications
- Summer and / or any other branded internship Programs
- Any other learning and development activities in the Bank

These policy parameters detailed herein would ensure effective and structured implementation of the learning activities within the Bank to reap benefits for all relevant stakeholders.

7.2 Human Capital Development Philosophy

Learning and Development is critical for the effective employee engagement at all levels, growth and sustainability of Bank Alfalah in terms of human capital enrichment and performance enhancement. The specialized learning programs shall be developed in close partnership with business and field functions. With the changing demands and market dynamics, a broad framework is needed to ensure upgraded learning and intellectual growth of its employees. The Policy is designed to achieve the following strategic objectives:

- Improvement in employee engagement and business / performance enhancement
- Inculcating Bank Alfalah brand and values amongst employees
- Greater knowledge and awareness of factors affecting individual and group performance
- Sharing and developing a learning culture, both vertically and horizontally
- Effective change management and implementation
- Increased employee motivation and job satisfaction
- Improving customer service and business development.



7.3 In-House Learning Programs

Formal learning programs of any duration should be done with the prior approval of the L & DD. All learning programs, facilitated internally through the L & DD shall be treated as “In-house learning programs”. These programs shall broadly cover the following major segments:

- Induction Programs
- Functional Programs
- Mandatory Learning Programs
- Business Specific Learning Programs

7.4 External Learning Programs

External training shall be utilized on a periodic basis to augment the in-house learning programs. The Bank may also invite external consultants to conduct exclusive training programs. All suitable ex-house learning programs shall be identified by L&DD.

7.5 Overseas Learning Programs

The Bank may nominate managers for specialized training abroad. These trainings shall be proposed in consultation with the relevant Group Heads, Head of Learning and Chief Human Resources Officer, and the President.

7.6 Learning and Development Centres

All major learning interventions shall ideally be conducted at the Learning and Development Centres.

7.7 Learning Needs Identification (LNI) and Learning Needs Analysis (LNA)

To match the learning needs of various groups of the Bank with the available learning programs, a structured Learning Needs Identification (LNI) and Learning Needs Analysis (LNA) may be developed for different functions of the Bank.

The mechanism is expected to lay a strong foundation in enhancing the skills set and knowledge of the employees of the Bank and shall ultimately help in ‘right person for the right training’. It remains the responsibility of the concerned individual and the respective supervisor to identify the ‘appropriate’ learning and development needs in light of the current and future career prospects.

7.8 Learning for All Employees

It is strongly recommended for all employees of the Bank to attend at least two learning days or 2 training sessions per Calendar year (of any duration) including any ex-house local or international learning programs (of which 1 training day may be of e-learning / computer-based training). L&DD shall review this minimum requirement from time to time in line with best practices and after the upgradation of its facilities.

All Groups shall identify and nominate their respective Employees for the appropriate learning programs and ensure completion of minimum training requirement of their Employees. The teams shall nominate their Employees in advance (within reasonable time frame prior to the course date). While recommending any formal training for the respective Employees, supervisor(s) shall be responsible for ‘the right training for the right person, based upon the existing and potential / future assignments.

Formal learning programs participation shall be given weightage in Annual Appraisals. Similarly, all supervisors shall ensure that the learning and development needs are discussed with their respective teams while finalizing the goals and Learning and Development Needs of individuals. Any training conducted independently by any group / division / department at its own shall be ratified by the L&DD. Respective Groups shall be the owners along with the Learning function to ensure mandatory training for all teams.

7.9 Dress Code during Learning Programs

Any exception to the formal dress code may be given by the Head, L&DD on case-to-case basis.

7.10 Attendance during Learning Programs

Attendance is mandatory for all the nominated Employees in learning sessions. However, prior leave may be taken by the participants in case of genuine reason(s) by providing justification and timely intimation through the concerned supervisor duly endorsed by the respective Region/Distribution/Department/Division Office. The respective supervisors shall take reasonable care that “on-leave” employees are not nominated for any given learning program. Cases of deliberate non attendance or lack of proper justification for leave shall be viewed seriously.

L& DD may review the course offerings, keeping in view the business and logistics needs. In case of not receiving the minimum number of nominations, the Division may cancel / postpone / reschedule the learning programs.

7.11 Honorarium for Internal facilitators from Business / Field

The honorarium to internal facilitators for conducting in-house learning programs shall be paid as per Honorarium Parameters approved by the Management internally and revised from time to time to reflect market changes.

7.12 Batches Hiring & Learning and Development Programs

For the long-term growth of Bank Alfalah, it is imperative to infuse fresh blood in branch banking and other Groups. Batch Learning Programs transform the fresh hires into sound and productive employees in a short span, saving critical time and cost. To make the recruitment process efficient and cost-effective, detailed Batch hiring shall be recommended by Head, Learning and Development and approved by the Chief Human Resources Officer. Following types of batches may be introduced at Bank Alfalah.

7.12.1 Management Trainees (MT)

With the envisaged expansion plans of Bank Alfalah, the need to develop the mid-level positions at key Head Office Divisions / Departments is important. Therefore, MTs may be hired from well-reputed institutes and trained to serve in the key functional areas of the Bank on need basis. All business and support units shall assist the L&DD in making the program successful.

7.12.2 Trainee Officers (TO)

To fill-in the vacant slots at operations in branch banking and other positions at support functions in all Groups, TOs may be hired in batches and undergo a structured recruitment and learning program.

7.12.3 Trainee Counter Services Officers (TCSO)

To fill-in the key frontline positions, Trainee Counter Services Officers (TCSOs) may be hired in batches by the L&DD and shall undergo a structured learning program. The learning program (classroom and rotational learning modules) shall build quality and skilled pool of tellers at the branches, providing excellent service. Additionally, TCSOs may also be trained to fill-in junior level positions related to operations in branches and offices. Detailed policy parameters shall be developed by L&DD.

7.12.4 Other Batch Trainings

Any other batch requirements such as CSOs, RMs, etc. may be fulfilled by L & DD in consultation with the respective Group / function on need basis. Similarly, L&DD may also form a batch of suitable number of participants, requiring a specific skill set.

7.12.5 Programs for Sr. Branch Operations Managers / Branch Operations Managers

Sr. Branch Operations Managers / Branch Operations Managers of Bank Alfalah may undergo refresher learning programs on courses identified with the assistance of Operations Group and Target Audience. The refresher learning programs of appropriate duration for Sr. Branch Operations Managers / Branch Operations Managers may include topics related to their JDs. The detailed Programs shall be reviewed by L&DD from time to time to reflect dynamic changes.

7.12.6 Sr. Branch Managers / Branch Managers Development Program

A specialized learning program for Sr. Branch Managers/ Branch Managers is expected to enhance the managerial and business development skills of the Sr. Branch Managers/ Branch Managers. The detailed Programs shall be reviewed by L&DD from time to time to reflect dynamic changes.

7.13 Specialized Learning Programs

7.13.1 Retail and Consumer Banking

All customized learning programs relating to Retail and Consumer Banking Group may be developed by L& DD in coordination with the relevant stakeholders. The topics may vary from product launch, product refreshers, T-24 Systems training and other computer based trainings to regulatory and compliance learning programs etc.

7.13.2 Islamic Banking

In order to encourage and enhance the Islamic banking knowledge of our Employees, suitable arrangements shall be made to ensure upskilling of IBG Employees at strategic, functional and operational levels. The aim is to achieve higher quality of service delivery and greater awareness of Islamic banking amongst our Employees and stakeholders as per the Islamic banking training guidelines by the regulator. Training and Development Budget for such arrangements may be made as part of its yearly budget. L&DD SOPs shall outline the enhanced training and capacity building measures for relevant segment(s).

The learning programs relating to Islamic Banking may be organized with the coordination of Islamic Banking Group. The learning programs may include basic and advance level topics in Islamic banking and finance, Product Launch / Refresher Learning Programs, Product Knowledge Refreshers and Orientation of Islamic Banking etc.

7.13.3 Treasury, Corporate & Investment Banking

Key business groups may also undergo tailored learning programs and courses as per the need of the respective Group and strategic business targets of the Bank. The key personnel of Corporate and Investment Banking Group shall work with L&DD in identifying the learning topics and finalizing the learning program contents accordingly.

7.13.4 Other Support and Business Functions

All other business units and support functions such as HCG, Finance, IT, Audit and Compliance & Business Solutions, etc. shall also get equal learning opportunities relating to their areas of specialization. In case of lack of adequate in-house capacity, support functional groups may be sent on external learning programs as per their individual and group needs.

7.14 Orientation Programs

L&DD shall introduce structured Orientation Programs for all the new joiners in permanent cadre. Each new joiner (excluding Batch Hiring) shall undergo orientation upon the first available opportunity at the Learning Centres. L&DD may also employ other delivery vehicles for orientation like e-learning, video conferencing etc.

7.15 Certification Learning Programs

Customized Certification Programs may be introduced for different functional areas of the Bank to enhance the knowledge of the Employees and increase employee engagement. The Bank may link passing of certificate programs to few specialized functions in consultation with the respective Groups.

7.16 E-Learning and Learning Management System (LMS)

E-Learning may also be formally structured where the employees shall be able to upgrade their knowledge and skills on new policies, procedures and regulatory requirements etc. The field Employees may be required to take online assessments on specific areas of banking. For the preparation of these tests, the Employees may be assisted by Learning and Development.

After its development, Learning Management System (LMS) may provide effective real-time support to the learning and development activities. The IT based learning programs relating to T-24 System and different modules on MS-Office are also expected to be conducted at respective learning centres.

7.17 Mobile and Distance Learning Programs

L&DD may offer learning programs at different venues other than the learning centres based on need, time and cost efficiency. Head L&DD shall approve all such mobile learning programs. Similarly, L&DD may review the possibility of offering distance learning solutions, wherever possible.

7.18 Trainings & Teaching at External Platforms - Projecting Bank Alfalah

Prior approval of Head, L&DD and Chief Human Resources Officer shall be required for external participation as speaker / teacher in trainings, seminars, conferences, teaching assignments, etc. for consideration. This may include paid training at IBP, NIBAF etc. and other leading training platforms.

The Bank shall also encourage its senior Employees to engage with academia and corporate forums to leverage their experience and share best practices. This shall help project the positive image of the Bank and its Management.

CHAPTER 8. INTERNSHIP POLICY

HCG works to attract the best young talent and provide them with experiential learning aimed to develop a pool of future leaders for Bank Alfalah. The internship Policy at BAF comprises of:

- Summer Internship
- General Internship

8.1 Summer Internship

- Summer Internship program shall be initiated under the ownership of Talent Acquisition Division (TAD).
- Preference is given to those applicants who are supposed to do an internship as a part of their undergraduate studies, or as an eligibility condition for admission to post-graduate courses of study only.
- All Groups and Regions shall send their consolidated request of Internship to TAD. The requisitions received by the said Groups and Regions shall detail project purpose, scope and deliverables.
- The program shall commence each year in May / June, for a period of 4-8 weeks, with a maximum cap of 12 weeks, in special cases approved by Head TAD.
- Upon successful completion of the internship, a stipend of 3,000 per week shall be paid to all interns who meet the requirements.
- The number of interns per annum shall not exceed 50. The number of interns may be changed based on the project requirements with prior approval from Chief Human Resources Officer.
- The top performing interns shall be considered for the Management Trainee Program.

8.2 General Internship

- General internship is a year-round program managed by TAD to provide practical training and exposure to intending interns as a service to students, educational institutions and to the community as a whole.
- The internship duration shall be from 4-8 weeks. The duration may be extended to 12 weeks on case-to-case basis with approval of Head TAD.
- No stipend shall be paid to interns upon completion of the internship period. A certificate of completion shall be provided.
- Preference is given to those applicants who are supposed to do an internship as a part of their undergraduate studies, or as an eligibility condition for admission to post-graduate courses of study only.
- CHRO may allow exceptions to the above rules on cases to case basis based on the merit of case.

CHAPTER 9. SALARY, ALLOWANCES & BENEFITS (FOR PAKISTAN BASED EMPLOYEES)

9.1 Introduction

Employees' monthly salary shall be disbursed by the end of each month (usually on 26th / 27th of the month). Salary & Allowances of each employee is a confidential matter. Those officials, who due to reasons of procedural expediency, are in the knowledge of salary particulars of their colleagues, must treat such information as confidential. Their failure to do so may result in disciplinary proceedings against them. In order to disburse salary on time, branches are advised to ensure that all salary amendments must reach Human Capital Group latest by 20th of every month as per.

9.2 Salary Grades / Job Grading

Bank Alfalah's Salary Grades (grade structure) provide the basis of salary, perks and benefits as linked to various positions. Bank Alfalah's salary grades start with OG-IV (entry level) and end with SEVP-II (Group Head level positions). Employees shall be placed in these grades considering the benchmarked grades for their respective positions (based on Job Evaluation scores), experience of the employee, level of responsibility and in comparison to market benchmarks for grades.

HCG shall evaluate the unique jobs and accordingly determine the benchmarked grades in light of the Job Evaluation methodology being practiced.

9.3 Salary & Allowances (Grade Based) for Officers & Executives (Minimum Starting Pay)

Minimum Salary and Allowances for Officers and Executives of the Bank are as follows:

Grade	(Amounts in PKR)							Minimum Gross Salary (Excl. Fuel)	Grade Fuel (Ltr)
	Base Salary	Medical Allowance	House Rent Allowance	Conveyance Allowance	Car / SLCL Allowance	Car Maintenance Allowance	Communication Expense		
SEVP-II	666,667	66,667	266,667		535,000	50,000	22,500	1,607,501	800
SEVP-I	500,001	50,000	200,000		365,000	35,000	20,000	1,170,001	650
PEVP	433,334	43,333	173,334		325,000	32,500	17,500	1,025,001	575
EVP-III	366,667	36,667	146,667		285,000	30,000	15,000	880,001	500
EVP-II	300,001	30,000	120,000		210,000	25,000	12,500	697,501	425
EVP-I	233,334	23,333	93,334		180,000	20,000	10,000	560,001	375
SVP-II	166,667	16,667	66,667		150,000	15,000	7,500	422,501	325
SVP-I	133,334	13,333	53,334		120,000	10,000	5,000	335,001	275
VP-II	100,001	10,000	40,000		100,000	10,000	2,500	262,501	225
VP-I	83,334	8,333	33,334		55,000	5,000	1,500	186,501	125
RVP	73,334	7,333	29,334		42,500	2,500	1,000	156,001	75
AVP-II	63,334	6,333	25,334	32,500				127,501	
AVP-I	53,334	5,333	21,334	27,500				107,501	
OG-I	41,667	4,167	16,667	22,500				85,001	
OG-II	36,667	3,667	14,667	17,500				72,501	
OG-III	31,667	3,167	12,667	15,000				62,501	
OG-IV	27,667	2,767	11,067	13,500				55,001	

- Car (SLCL) Allowance & Car Maintenance Allowance is paid in lieu of Bank Car Facility from RVP & above. These allowances cover Car Finance (SLCL) installment (if any), maintenance expenses & insurance etc.
- Monthly Car Allowance shall be provided to employees in RVP & above upon joining the Bank's service, or on being promoted to such salary grade.

9.4 Salary & Allowances (Grade Based) for Non-Officers (Minimum Starting Pay)

Minimum Salary and Allowances for Non-Officer grade employees are as follows:

(Amounts in PKR)

Grade	Base Salary			Conveyance Allowance	Minimum Gross Salary (Excl. Fuel)
	Minimum Basic Salary	Medical Allowance	House Rent Allowance		
Supervisor	26,667	2,667	10,667	11,000	51,001
Clerical	26,001	2,600	10,400	10,000	49,001
Non-Clerical	25,334	2,533	10,134	9,000	47,001

* Basic salary is inclusive of Cost-of-living allowance of Rs 300 as per the S.R.O. 606 (I) / 98 dated June 6, 1998.

9.5 Other Facilities / Entitlements / Allowances

9.5.1 Flexible Car Benefit – SLCL Allowance, SLCL & Bank Maintained Car Options

- Eligibility: All existing and new employees in EVP-I & above grade will have the following options:
 - Option 1 - Car Allowance:** employees may continue to receive the SLCL allowance and car maintenance allowance as per clause 9.3. They can use the SLCL finance facility to purchase the car(s) as per their current entitlement, subject to chapter 14 of the HCG Policy Guidelines.
 - Option 2 – Bank Maintained Car (BMC):** employee may opt for Bank maintained car(s) as per the following entitlement, in lieu of the monthly car allowance:

Grade	BMC	No of Cars
SEVP-II	47,000,000	1 or 2
SEVP-I	33,000,000	
PEVP	28,750,000	
EVP-III	24,750,000	
EVP-II	18,750,000	
EVP-I	16,000,000	
The above limits will include GST, FED, freight, etc. other than income tax.		

- Option 3 – Combination of Car Allowance (backed by SLCL finance facility) & Bank Maintained Car:** Employees can split their car benefit, receiving a partial car allowance (including maintenance allowance) (backed by SLCL finance facility) in combination with a company-maintained car, upto 2 cars max. Following formula shall be used for splitting up the car benefit:

- SLCL Finance Limit:**

$$\frac{\text{Car Allowance Opted}}{\text{Car Allowance Entitlement}} \times \text{SLCL Finance Entitlement} = \text{Available SLCL Finance Limit}$$

- SLCL finance facility may be extended upto the value as determined above.**

$$\frac{\text{Remaining portion of Car Allowance}}{\text{Car Allowance Entitlement}} \times \text{Bank Maintained Car Entitlement} = \text{Available Bank Maintained Car Limit}$$

Provided that not more than 2 cars can be obtained in the combined option.

- **Other terms & conditions for Bank Maintained Car(s):**
 - The car(s) shall be provided for both business and personal use.
 - The car(s) shall depreciate over a period of 7 years with 10% residual value on straight line basis.
 - Initial registration shall be the responsibility of the Bank, along with annual insurance and annual government taxes/ token renewals.
 - However, withholding taxes or income taxes due on purchase of the cars, registration and later renewals will be paid directly by the Bank and will not form part of the limit of the Bank Maintained car(s).
 - Maintenance: A detailed process for managing the maintenance of the vehicles will be drafted and shall be approved by the CEO on recommendation of HCG/ Operations. The overall limits for 7 years maintenance shall be upto 25% of the capex value of the car(s).
 - The above limit will proportionately adjusted according to the option exercised. Detailed conditions are as follows:
 - **Initial Expense:** Upto Rs 30,000 pertaining to seat covers, floor mats, car covers per car shall be allowed. Any expense above the limit shall be borne by the employee.
 - **Normal Repairs:** Mechanical repairs essential for vehicle safety and smooth operation.
 - **Battery Replacement:** Eligible for reimbursement every 2 years or earlier if required due to performance issues.
 - **General Maintenance** like oil changes, brake oils, gear oils, filters replacements shall be done as per car manufacturer's guidelines,
 - **Tyre Replacement:** Reimbursement for tyre replacements will be provided every 50,000 kilometers, or 2 ½ years whichever is earlier.
 - **Brake Pads:** Brake pad replacements will be covered based on usage, typically every 30,000 kilometers, depending on wear.
 - **Any other major repair above the price of Rs 50,000/-** not covered under insurance or regular maintenance will require prior approval of HCG.
 - It is recommended that all necessary maintenance and repairs shall be done through authorised 3s workshops of the relevant car manufacturer.
 - The limit of all above expenses including insurances etc. shall be maintained by HCG/ relevant department and in case of expiry of the above limits before 7 years, all such expenses shall be borne by the employee. Employees shall be advised to act prudently and diligently in claiming such expenses.
 - Protective coatings will be covered under the policy upto a maximum of Rs 400,000 for car valued above Rs 20Mn and upto Rs 200,000 for remaining.
 - The maintenance limit of 25% shall be reviewed periodically and CEO will be authorized to approve any necessary changes as proposed by HCG.
 - **Registration and Transfer of vehicles:** Shall be taken out from the maintenance limit.
 - **Exclusions:**
 - Any modifications to the cars (including those which renders the car warranty unclaimable)
 - Change of sound systems, speakers etc. shall not be covered under reimbursement.
 - Repairs resulting from negligence, accidents, or misuse.
 - Employee may opt for up to 2 year locally manufactured car or up to 5 years imported car, however, there will be no impact on the depreciation period of 7 years.
 - The employee may contribute up to twenty percent (20%) of the vehicle value to bridge any shortfall in the vehicle price. However, the asset shall be booked at the entitlement or the price. Buy back conditions will remain unchanged. Where an employee exits the Bank without exercising the buy-back option, the additional contribution shall not be refunded or claimed from the Bank.
 - Where an employee opts for option 2 i.e. bank maintained car option but does not fully utilize the car limit as defined above, in that case, a proportionate allowance adjustment shall be provided to ensure that the employee benefit remains neutral. By exercising this adjustment, there will be no additional cost to the bank. The following formula shall be used to determine the remaining allowance limit:

$$\frac{\text{Bank Maintained Car(s) Limit Utilised}}{\text{Bank Maintained Car(s) Limit}} \times \text{Car Allowance (SLCL + Repair \& Maintenance Allowance)} = \text{Proportionate allowance payable to employee.}$$

However, employee will not be able to utilize SLCL finance facility in this case.

- **Buy Back:** The employee shall have the option to buy back the cars as per following schedule and conditions stated therein:

Tenure	Buy Back	Conditions
1	90% of the Cost or Depreciated value	Buy Back will be allowed with minimum 1 year of usage. Min. period requirement will be relaxed in case of resignation, retirement or death of an employee.
2	80% of the Cost or Depreciated value	
3	65% of the Cost or Depreciated value	
4	50% of the Cost or Depreciated value	
5	35% of the Cost or Depreciated value	
6	25% of the Cost or Depreciated value	
7	10% of the Cost or Depreciated value	

*whichever is higher

** full year depreciation will be assumed for buy back

Any taxes on the buy back shall be borne by the employee as per Income Tax rules.

- **Other Conditions:**
 - Promotion to EVP -II or higher grades: Upon promotion to the EVP – II grade or above, employees will be entitled to the corresponding car benefit associated with their new grade. However, if an employee has opted for a bank-maintained car(s) prior to the said promotion and before expiration of 2 years of purchase of the car under Option 2 or Option 3, they will not be entitled to bank maintained car upgradation as per new entitlement before expiry of the said period of 2 years. Whereas, the car allowance will be re-calibrated according to the new entitlement.
 - Resignation/ Retirement: where an employee leaves the Bank due to resignation, retirement or due to the demise of the employee, the said employee (or their legal heirs/ nominee) may request for buy back of the car(s). However, this option will not be available, in case of termination of an employee due to disciplinary actions.
 - Clause 14.7.2: SLCL Finance facility
 - No change in the SLCL limit, however, the impact of exercising option 2 and option 3 under new clause 9.3a of the HCG policy guidelines shall be enforced.
 - EVP – I & above will be entitled for 1 or 2 cars within the above clauses.

9.5.2 Bank Maintained Car for Branch Banking Management

The Branch Banking Management, owing to the nature of their job, are required to frequently visit branches within their assigned geographies, as well as do client visits. For this purpose, following Branch Banking Management (Retail Banking & Islamic Banking) positions shall be provided with the bank-maintained cars:

- Distribution Heads
- Branch Operations Heads
- Business Head SME & Commercial
- Business Head
- Head of Agri Finance

The terms & conditions for bank-maintained car shall be as follows:

- Distribution Heads shall be entitled for KIA Sportage FWD or equivalent priced car along with 300 Liters fuel per month
- The remaining positions as mentioned above shall be entitled for Toyota Corolla – 1.6 CVT I (top of the line) or equivalent priced car along with 200 liters of fuel per month
- Cars shall be fully maintained by the Bank and shall be used by these executives for business purposes only.
- Cars shall be replaced after every 5 years with no option for the employees to buyback these cars.

- In case of transfer or elevation of the employee to any other position, the car has to be surrendered.
- These cars shall be functional in nature, and may also be utilized as a pool car where required.
- Any functional related (FT) car allowance allowed to these positions, shall be withdrawn from the date of provision of car.
- CEO is authorized to change the car on the recommendation of the CHRO.
- Regional Business Heads – Functional Car: will be provided a functional car based on business targets achievement. The thresholds, terms and conditions, car entitlement shall be approved by the CEO on the recommendation of the CHRO.

9.5.3 Job Related Car (SLCL) Entitlement:

In addition to the grade based car (SLCL) allowance entitlement, certain positions shall be allowed the following functional based Car Allowance (FT Car Allowance):

Job	AVP-II & Below	RVP to SVP-II
• Regional Business Head (Retail & Islamic) • Regional Operations Head • Regional Head – SME / Commercial • Sr. Area Credit Risk Manager/ Area Credit Risk Manager • National Sales Manager – Acquiring Sales • National Sales Manager – Consumer Finance • Regional Sales Manager – Consumer Finance • Regional Sales Manager – Acquiring Sales • Cluster Sales Head – Liabilities (up to AVP-II) • Division Head – Audit & Inspection Group • Department Head – Audit & Inspection Group • Unit Head – Audit & Inspection Group	40,000	10,000

9.5.4 Job Related Fuel Entitlement:

In combination to the grade benefit, certain positions shall be allowed the following functional based fuel:

Function	SVP-II (Additional)	SVP-I (Additional)	VP-II (Additional)	VP-I (Additional)	RVP (Additional)	AVP-II & Below
Regional Business Heads (Retail & Islamic)	75	75	75	100	100	200
Regional Operations Head	75	75	75	100	100	200
Sr. Area Credit Risk Managers & Area Credit Risk Manager		25	50	150	150	250
Regional Heads Agri/RHs SME & Commercial	75	75	75	100	100	200
National Sales Manager (Consumer/Acquiring)		25	50			
Regional Sales Manager (Consumer/Acquiring/TEB Sales)				100	100	200
Cluster Sales Head Liabilities						
Unit Head Audit / Area Audit Head (Dept. Heads)		25	50	100	100	200
Unit Head / Manager / Asst. Manager / Senior Officer, Internal Control Division (Field Employees Only)						100
Team Leaders (IBG Corporate)				100	100	200

Further, at the discretion of the management based on the functional requirements (on recommendation of concerned Heads of Division / Departments) of other functions, a fuel allowance ranging between 25 liters to 100 liters would be allowed to AVP-II & below grade employees after being reviewed/evaluated the functional assignment's requirement of the case by HCG. However, already approved cases shall continue as per old limits, unless revised or reviewed by HCG. Such approvals are obtained from Human Capital Group by concerned Group.

9.5.5 Title Allowance

Title Allowance shall be allowed to following position holders till such time they hold these positions:

Function	Title Allowance (PKR)
Business Head (SVP-II & Below)	20,000
Regional Business Head / Sr. Area Credit Risk Manager / Area Credit Risk Manager / Area Audit Head (Dept. Heads) / Unit Head Audit (SVP-II & below)	15,000
Team Leader Audit (OG-II to SVP-I) / Asst. Manager-Call Centre / CF Online Authorization	5,000
Unit/Regional Operations Head / Sr. Manager & Manager CPCs	
Supervisor (Call Centre / CF Online Authorization Unit) / Sr. Officer & Asst. Manager CPCs	3,000
Officer (Call Centre / CF Online Authorization Unit) / Officer CPCs / Associates	2,000

Further, Sr. Branch Managers/Branch Managers and Sr. Branch Operations Managers/ Branch Operations Managers/Floor Managers are entitled for the following Title Allowance (PKR):

Grade	BM Allowance	BOM Allowance	Officiating BM Allowance
VP-II & Above	15,000	7,000	10,000
VP-I	20,000	7,000	
RVP	20,000	7,000	
AVP-II	40,000	6,000	
AVP-I	30,000	6,000	
OG-I	25,000	5,000	
OG-II	25,000	5,000	
OG-III	25,000	5,000	
OG-IV	25,000	5,000	

9.5.6 Communication Expense Reimbursement on Functional Basis (VP-II & Below Grades):

- Unit Head (Asset Sales Corporate Banking & SAM) & and Team Leaders for IBG Corporate Credits only of Rs. 3,000 per month.
- Business head/ Regional Business Head; Rs.3,000 per month.
- National Sales Managers (Consumer Finance) / Regional Operations Head; of Rs. 3,000 per month.
- Unit / Department Head Audit are entitled for Rs. 2,000 per month.
- Sales Manager are entitled for 1,500 per month.
- Area Credit Risk Manager & Sr. Area Credit Risk Manager are entitled for 3,000 per month.
- Regional Sales Managers (Consumer Finance) are entitled for Rs. 2,000 per month.

Based on functional requirement, communication expense reimbursement may be allowed to other employees upon recommendation to the line management and approval of CHRO up to Rs 2,000/- per month. Any existing allowance will continue till reviewed by HCG.

9.5.7 Evening and Gazetted Holiday Allowance, Shift Allowance & Emergency Allowance

Following allowance shall be allowed to the employees through centralized payroll:

Nature	Allowance (Rs.)
Shift Allowance (Evening / Night)*	Rs. 250 per day
Emergency Allowance **	Rs. 300 (for first 2 hours) Rs. 200 (for 3rd and 4th hour each)
Gazetted Holiday	Rs. 1,500 per day

**For CROs of Airport Premier Lounges, Call Center Employees, Card Authorization Employees, Fraud Detection Unit (Compliance & Business Solutions Group), ITG Employees (IT Operations & Technology Services Division Employees working in 24*7 shifts), CICO & ATM Whistle Units only.*

***For CROs of Airport Premier Lounges, Call Center, Card Authorization Employees, ITG Employees (IT Operations & Technology Services Division Employees working in 24*7 shifts), CICO & ATM Whistle Unit Employees only.*

Emergency allowance shall be applicable where employee works in excess of 2 hours up to Maximum 4 hours to their shift timings or perform dual shift in case of any emergency (strike, curfew, increase in call traffic etc.).

9.5.8 Saturday Working Allowance:

Saturday working allowance shall be allowed as per the following matrix:

-Position	Allowance per Working Saturday (PKR)
Sr. Branch Manager/ Branch Manager, Senior Manager & Unit Head	1,500
Sr. Branch Operations Manager, Branch Operations Manager, Floor Manager, Assistant Manager/Manager	1,200
Other Branch Ops Employees & Service Ambassadors, Officers/Senior Officers	800

Other conditions:

- Allowance shall only be applicable for branches operating in Pakistan.
- Sr. Branch Manager/Branch Managers, Sr. Branch Operations Manager/Branch Operations Managers shall work on an alternate basis.
- Counter Services Manager and other Branch Operations staff (including CROs/CSOs) shall work on Saturdays if required due to transactional volume / supervisory requirements. In exceptional situations and only on case to case basis, Branch Operations staff may be allowed to work more than 2 Saturdays in a month subject to the approval by CHRO upon recommendations from Group Head – Operations & Corporate Services.
- Staff in Compliant Management Unit (Strategy, BT & CE) will be entitled for allowance as per above mentioned matrix.
- Staff in segments (Centralized ATM GL Balancing, ADC Dispute, Treasury Operations (Conv. & IBG) RPU, CUARM, CAO, CTO) are entitled for Operations & Corporate Services Group.
- Each employee can only avail a maximum allowance equal to 2 Saturdays in a month.
- CEO may amend the rates & job families to be allowed Saturday Working and Shift allowances as mentioned above.

9.5.9 Club Membership

EVP-III and above employees shall be eligible to avail club membership along with monthly subscriptions (as defined below) as per following limits:

Grade	Limit per Club	No of Clubs
	(PKR in Mn)	
SEVP-II	4.00	2
SEVP-I	4.00	2
PEVP	3.00	1
EVP-III	2.00	1

Terms & Conditions:

- Employees can request for 2nd membership, provided that at least 5 years have lapsed from obtaining the first club membership,
- In case of separation from the Bank, before completion of 5 years from the date of availment, pro-rata recovery shall be made for the joining fees,
- Employees in SEVP-II & SEVP-I may request reimbursement for subscriptions to up to two clubs, whereas employees in PEVP and EVP-III shall be eligible for reimbursement of a subscription to one club only.
- Reimbursement of club membership subscriptions may include the base monthly subscription and any additional monthly facility usage packages offered by the club; however, per use, pay as you go, transactional charges, coaching charges etc. shall not be reimbursable.

- Differential of joining fees for existing clubs (already availed) shall not be allowed.

9.5.10 Well-being Reimbursement

Gym/Wellness Club/Sport activities expenses incurred by staff to be reimbursed through payroll as per below grade wise monthly & one-time Membership entitlements:

Grade	Monthly Entitlement*	Membership Entitlement*
OG-IV-OG-III	2,500	5,000
OG-II-AVP-I	4,000	7,500
AVP-II-SVP-I	7,500	15,000
SVP-II-EVP-II	15,000	50,000

**Entitlement or 75% of Actual whichever is less*

However, this will not include any reimbursement for coaching, or medical treatments.

9.5.11 Handset / Mobile Phone Reimbursements

Employees in SVP-II & above grades will be entitled for handsets/ mobile phones for business use purposes. Employees may claim the entitlement as per below grade either upfront or on a monthly basis under flexible benefits model:

Grade	Mobile Handset Entitlement (Upfront)	Equivalent Monthly Mobile Handset Allowance
SEVP-II	575,000	15,972
SEVP-I	575,000	15,972
PEVP	525,000	14,583
EVP-III	450,000	12,500
EVP-II	350,000	9,722
EVP-I	300,000	8,333
SVP-II	200,000	5,556
SVP-I & Below (on functional requirement)	100,000	2,778

Other Terms & Conditions:

- The handsets shall be replaced after 3 years,
- In case of loss of handset, the entitlement will not be renewed before the said period of 3 years.
- In case of separation of employee, pro-rata recovery shall be made from the employee's settlement.
- Detailed procedure for claiming the amount shall be devised by HCG
- Employees are advised to arrange insurance for the handset on their own.
- CEO may be authorized to make any exceptions (other than the limits) owing to business needs or circumstances.

9.5.12 Child Care Allowance

Bank Alfalah is committed to supporting working mothers and single parents through its childcare allowance. This initiative aims to ease the responsibilities of arranging care while allowing them to focus on their careers.

Eligibility: All permanent and contractual working mothers and single parents at Bank Alfalah.

Employees may avail this allowance from the date they resume work after maternity leave until the child reaches 3.0 years of age.

This allowance can be availed twice throughout their tenure with the Bank.

Entitlement: Rs. 20,000/- per month for the period as mentioned above.

Employee will be required to submit the proof of birth or single parent status for this allowance.

9.5.13 Uniform for Non-Clerical & Maintenance Employees

All Non-clerical and Maintenance Employees are provided uniform as per following details:

Category	Clothing Items	Pairs of Socks	Pairs of Shoes
Summer	Two Safari Suits	Two	One
Winter	One Suit (Jacket & Trousers) With Two Shirts	Four	One

9.5.14 Subscription of Approved News Papers & Magazines

- Branches are allowed to subscribe two approved newspapers (one English & one Urdu) for working days only on Bank's account.
- All business units including Head Office are allowed to subscribe approved newspapers on working days only.
- Based on job requirement, the subscription of magazines shall be allowed to Executives by approval through Human Capital Group.

9.6 Advance Against Salary

Employees in need of funds for an emergency may be allowed advance against salary for the current month to be adjusted in full on disbursement of salary. Since this facility is only meant for emergencies, no Employee may be allowed to make a habit for applying for such advance. Approval shall be obtained from the Departmental Head / Sr. Branch Manager / Branch Manager and forwarded to Human Capital Group. As a matter of policy, employees may avail this facility only twice during a calendar year.

9.7 Effect of Leave without Pay on Salary

Salary deduction on account of leave without pay shall apply to the entire salary package of the concerned employee, including allowances and perks. Moreover, weekends and public holidays falling during this period shall also be considered as part of leave without pay.

9.8 Performance Bonus / Festival Allowance / Special Cash Prize / Ex-Gratia

Performance Bonus / Festival Allowance shall be paid to the employees as and when declared by the Bank's Management, based on guidelines provided in the respective circular. Cash Prizes are paid to top 3 to 5 position holders of Batches (MTOs and other batches). All other payments i.e. Special Bonus / Ex-gratia / Cash Awards / Joining Bonus / Notice Pay / Travel Reimbursement claim of new joiner, or any other payment not covered under HCG Policy Guidelines shall require approval from CEO.

- The Bank may recover joining bonus paid out in totality if an employee exits the Bank within one year of the joining bonus payout. However, CEO may waive the recovery of joining bonus in cases where exit has been initiated by the Bank. These instances may include but not limited to Termination Simplicitor, Redundancies etc.
- The Bank may put a claw back condition for one year from the date of disbursement of performance bonus, special award or any other payment for any grade, function, or groups subject to approval from the CEO. Under the clause, full or pro-rata recovery may be made in case the employee exits the Bank before the stipulated period.

CEO may relax the above conditions, subject to merit of the case.

9.9 Cash Award on Passing Institute of Bankers Diploma Exams

9.9.1 Cash Prizes for Employees Appearing in IBP Exams

Bank Alfalah, as a matter of policy encourages its employees to appear for the IBP Diploma Exams, the syllabus of which has been upgraded and expanded to include additional subjects important for professional bankers. Towards that end, it has been decided to award cash prizes to those employees who pass the said exams, as detailed below:

Stage of IBP Diploma	1 st Attempt	2 nd Attempt	3 rd Attempt
I	50,000	30,000	10,000
II	75,000	50,000	15,000
III	100,000	75,000	25,000

9.9.2 Reward for SBP Gold Medalist of Bank Alfalah

- An elevation in their existing position if employee's performance is in the first two tiers of the performance appraisal during the preceding performance year, subject to availability of higher level position and assignment
- Cash prize of PKR 50,000 over and above the usual award as mentioned in 9.9.1.

9.9.3 Reward for distinction and Subject Prizes in IBP ISQ:

Additional cash prize of PKR. 15,000, that shall be awarded to distinction and subject prize holders.

9.9.4 IBP Allowance for Early Achievers:

To encourage IBP Certification within a short span of time, IBP monthly allowance amounting to PKR. 3,000 (independent of Basic pay) may be allowed by the management to employees on passing all three stages within 3 years of joining at Bank Alfalah.

9.9.5 IBP ISQ Enhanced Qualification:

IBP offers comprehensive exam after three stages of ISQ. Those appearing in this exam may be awarded the following cash incentives:

Comprehensive Exam	1 st Attempt	2 nd Attempt	3 rd Attempt
	30,000	20,000	10,000

Cash Awards received by any employee has to be refunded to the Bank if employee resigns from the Bank with in one year of receipt of said cash award. Accordingly, at the time of payment of cash awards, concerned employees are required to sign an undertaking to serve the Bank for a minimum period of one year.

9.10 Reimbursement of Professional Courses' Fee

Bank Alfalah encourages its officers and Employees to enhance their professional competence to meet the growing challenges of the financial industry. 50% of cost of registration / admission / exam fees (up to maximum of Rs. 75,000) shall be reimbursed to those employees who undertake, and successfully complete higher degrees and professional courses related to banking and finance (from recognized institutions) to improve their competence and qualifications. List of courses eligible for said assistance is given below:

- CFA (Chartered Financial Analyst) (USA)
- Banking Diploma CIB (IK)
- ACCA (UK)
- CIMA (UK)
- CIA (Certified Internal Auditor)
- CISA
- Any other internationally recognized professional exam pertaining to financial Industry, as approved by the bank.
- MBA from reputable Pakistani educational institution recognized by the HEC.

- ix. For junior Employees, on acquiring qualification such as Intermediate / Graduation, reimbursement may be made up to a maximum of 25,000 or 50% of eligible educational expenses, whichever is lower.
- x. Additional certification programs, including online / e-certifications, local / foreign certifications and Islamic Banking Certifications may also be approved on case to case basis by the Head Learning.

The following procedure shall be adopted with respect to reimbursement of costs:

- Eligible educational expenses pertain to registration, tuition fees or exam fees. No other expenses shall be reimbursed under this scheme.
- Reimbursement would be made only after successfully passing exams at each level against production of valid certificates issued by concerned institutions and against paid invoices or receipts.
- Reimbursement would be made for the levels / stages which have been passed while in the service of Bank Alfalah.

In case an employee resigns within one year of last payment received, all payments made in respect of above shall have to be refunded to the bank by the said employee. Detailed policy guidelines are available in HCG record. Accordingly, at the time of reimbursement of educational expenses, concerned employees are required to sign an undertaking to serve the Bank for a minimum period of one year.

External Certification / Diploma Programs

Bank may enroll suitable nominations in external local / internal certification / diploma programs on case-to-case basis on recommendation by respective Group Head followed by approval by Chief Human Resources Officer. While the Bank shall finance the enrollment / tuition / exam cost, concerned employees are required to sign an undertaking to serve the Bank for a minimum period of 2 years after the course completion, this criterion shall be applicable on amount PKR 300 K and above. Full recovery is to be made in case the Employees is unable to successfully complete the program. In case of the Employees' separation post course completion, the following recovery steps shall be taken:

- Full recovery shall be made if the Employees separates within one year from the date of the professional program completion.
- An amount equivalent to 50% shall be recovered if the Employees separates after serving 1-year post completion of his / her professional program from the Bank.

If the Bank nominates an employee for any external training upon the regulator's requirement or its own, there shall be no bound / recovery of such training cost from him / her.

Annual Membership Fee for CA / ACCA / CFA / Other Professional Degrees

Bank shall reimburse the annual membership fee for above mentioned professional memberships based on justification to be approved by Chief Human Resources Officer. The professional membership must have direct relevance to the concerned Employees' current job.

Employees Financial Assistance Scheme to Pursue Executive MBA from Reputable Institutions

Bank Alfalah shall provide financial assistance to encourage our permanent Employees to pursue EMBA (Executive Masters in Business Administration) program from any reputable MBA awarding Institution, we are pleased to announce revised policy as per following detail:

Eligibility:

- All Full Time Employees (FTEs) of any Grade shall be eligible to apply after clearing Entry Test of any recognized EMBA awarding educational institution of Pakistan.
- Applicants should have at least 3 years' experience with Bank Alfalah Limited with a maximum age limit of 45 years.
- Only those employees who have scored minimum 'Very Good' ratings in the last 3 years of employment are eligible to apply for the financial assistance. Those who have been subject to a Disciplinary Action at any point of time shall not be eligible.
- As part of the professional development and retention plan of the batch hires and high potential performers, identified high performers may be given financial assistance to pursue EMBA after completion of 2 years of service with Bank Alfalah.

Selection Criteria:

- Selection panels, based on recommendation from respective Group Heads and on merit, shall approve nominations received.
- Candidates clearing Entry Test and interviews of respective institutions, from each Group shall be selected for a penal interview.
- The cost of entry test would be borne by the candidates themselves.
- Applications from the candidates should reach respective Group Heads through Departments / Divisions / Business and Regional Offices.
- A maximum number of ten candidates shall be provided financial assistance for EMBA program. This total number can be reduced by the Management.

Terms & Conditions applicable in case of separation from the Bank's services:

- Bond for five years' service, post completion, of the said EMBA program is mandatory. In case an employee resigns and leaves before this period, pro-rata recovery shall be done by the bank.
- If the employee wants to leave Bank Alfalah during the EMBA program, the cost incurred by the Bank shall be recovered at the time of separation.
- In case the employee fails in the program or drops out due to any reason, the cost incurred by the Bank shall be recovered from the employee.
- The selected employee needs to sign a vetted undertaking covering the above aspects.

Upon selection:

- Bank shall bear the total cost of the entire program for selected employee. However, cost shall be charged to the respective Groups.
- Selected employees attending the program from other cities shall preferably use Hostel accommodation at MBA awarding institution. Where, the Hostel accommodations are not available, the Bank shall provide accommodation in the Bank's Guest House (where available) or as per their grade entitlement. This expense shall be charged to the respective Groups.
- Any additional or incidental costs / charges shall be borne by the employee.

9.11 Accommodation

The objective of this provision is to facilitate the employees in obtaining a reasonable accommodation and meeting the living expense, upon transfer from their permanent locations to other cities as per requirements of the Bank. Provided that the employee's transfer is beyond a distance of 50 Kilometers or travel time (one side) is at least 2 hours. Exception to this condition can be granted by Chief Human Resources Officer specifically in cases of remote areas.

Monthly rental allowance which shall be applicable for the duration of posting effective from the date of transfer. However, employees who request for transfer on their own, shall not be eligible for such allowance. Prior approval from HCG for such transfers would be required.

Monthly Rental Allowance limits shall be as follows:

Grade	Karachi, Lahore, Islamabad	Other Cities
	(PKR)	(PKR)
SEVP-II	200,000	170,000
SEVP-I	180,000	150,000
PEVP	165,000	140,000
EVP-III	150,000	130,000
EVP-II	130,000	105,000
EVP-I	120,000	90,000
SVP-II	110,000	75,000
SVP-I	85,000	60,000
VP-II	65,000	45,000
VP-I	50,000	37,500
RVP	45,000	35,000
AVP-II	42,500	32,500
AVP-I	30,000	25,000
OG-I	25,000	20,000
OG-II	20,000	17,500
OG-III	17,500	15,000
OG-IV	15,000	12,500

Employees may request for an advance rental allowance for a maximum of 12 months, which shall be recovered on a monthly basis from payroll. In case of resignation, the remaining amount shall be recovered from final settlement. However, no advance for security deposits shall be made.

The Management may consider to withdraw the rental allowance in case the employee avails a house finance facility in the city of transfer.

CEO may allow an exception in the above.

9.12 Employees Insurance

The Bank shall arrange the following types of insurance for its full time Employees, at its own expense. The Bank's Management may decide, at its discretion, to apply some or all of the benefits of any of these policies to Employees engaged on contractual basis. Various features relating to these policies are subject to amendment from time to time. Benefits currently available are briefly introduced below:

9.12.1 Medical Insurance Coverage

For Employees and their dependent Parents, Spouse and Children entitlement:

Grade	Self, Spouse, Children	Parents	Room Rent	Maternity Coverage		Cataract Limit	Laparoscopic Surgery	Annual OPD*
				Normal Delivery	Caesarean Delivery			
EVP-III & Above	700,000	375,000	Pvt Room	225,000	275,000	90,000	235,000	100,000
EVP-I & EVP-II			35,000					
SVP-I & SVP-II			22,500					
OG-I-VP-II	525,000	290,000	10,000	175,000	230,000	75,000	210,000	Nil
OG-IV-OG-II	415,000	250,000	8,000	140,000	190,000	70,000	180,000	Nil
Non-Officers	360,000	200,000	6,000	110,000	145,000	55,000	135,000	Nil

* For Grade VP-II & below, the OPD / medical allowance is paid as part of the salary. Grade SVP-I & above can claim through Insurance.

- All regular employees and only those contractual employees who are 65 years and above and are on Bank's payroll and have submitted Medical Insurance Form are covered under medical insurance arranged through Bank's approved Insurance Company.
- All contractual employees (below 65 years of age) who are on bank's payroll shall also be eligible for Medical Insurance (for self only).
- Deductible of Rs. 2,000 shall be applicable on claims more than Rs. 10,000 and Rs. 1,000 on claims less than and equal to Rs. 10,000 excluding maternity & OPD claims.

9.12.2 Follow-up Treatment

In addition to the above, regular employees, their parents, spouses and children suffering from serious illness (see list below) shall be entitled for reimbursements of cost of medicines, lab tests and consultation fee subject to the following:

- If the treatment is likely to continue for a minimum period of six months or more.
- The reimbursement shall be made on 85-15 sharing basis for each claim up to Rs. 100,000, 80-20 sharing basis for each claim up to Rs. 199,000 and 75-25 sharing basis for claims above Rs. 200,000.

List of Diseases Eligible for Follow-up Treatment

- Cardiovascular disorder
- Stroke
- Cancer
- HIV
- Organs transplants
- SLE (Liver disease)
- Hepatitis B & C
- Tuberculosis
- CKD
- Thalassemia Major

Dependents (Hospitalization and Follow-up Treatment)

- In case of working spouse (if not covered under insurance from his / her employer), shall be eligible for coverage from the Bank.
- Working parents are not considered "dependents" and therefore are not entitled for coverage. They shall be eligible only if they are fully dependent and live with the officer.
- Unmarried / Widowed / Divorced daughters, living with parents shall be allowed insurance facility without age limit.
- Male children above 25 years of age are not covered under bank's hospitalization policy. Male children below 25 years but married or engaged in gainful employment are also not covered under this policy.

9.12.3 Insurance Coverage of Outstanding Employees Finances of regular employees

Lives of all employees of the Bank are covered up to the outstanding Balance of all Employees Finance liabilities with the Bank would be taken over by the Insurance Company and no liability shall be borne by the family of the deceased (subject to completion of certain formalities required by the insurance company & as per terms and conditions of insurance company).

9.12.4 Life Insurance / Permanent Disability Coverage

All employees of the Bank, who are on Bank's payroll (whether in regular or contractual employment), up to the age of 65 years, shall be covered under the Group Life Insurance arranged through insurance company as per following details:

Category	Life Insurance	
	Grade	Sum Assured (PKR)
A	PEVP to SEVP-II	5,500,000
	EVP-III	5,000,000
B	SVP-I to EVP-II	3,500,000
C	OG-I to VP-II	2,500,000
D	OG-IV to OG-II	2,000,000

- In addition to life coverage, the Bank has also obtained coverage for permanent disability due to accident and sickness up to the age of 65 years. In case of disability, benefit shall be paid according to percentage of disability as per schedule provided by the insurance company.
- The insurance policy is subject to conditions and exclusions provided by the insurance company details of which shall be maintained by the Human Capital Group.

Coverage:

- Death due to any cause.
- Disability due to sickness and accident as per schedule of disability.

9.12.5 Pay Continuation Plan

Bank has also obtained Insurance Policy of Pay Continuation Plan. Under Pay Continuation Plan, in case of death of an employee or permanent total disability (natural cause / accident), their family members [as per nomination form] shall be paid last drawn monthly Base Salary (i.e. summation of Basic Salary, House & Medical) for five years, which shall be effective from the date of death of employee / permanent total disability. (The exclusions shall be as per terms of policy)

The salient features are as follows:

- Sum Assured : Last drawn Base Salary (i.e. Basic, House & Medical Allowances)
- Payment Period : Five Years
- Age Limit : 18 to 65 years
- Exclusion : As per policy
- Free Cover Limit : Up to Base Salary of Rs. 1,000,000/- p.m. are covered without filling Health Questionnaire and completion of medical examination

9.13 Provident Fund (PF)

All permanent confirmed employees are eligible for membership of Bank Alfalah Ltd. Employee Provident Fund Scheme. An employee shall contribute an amount equivalent to one month's basic salary in a year (8.33% of monthly basic salary) towards the Provident Fund Scheme and an equivalent amount shall be contributed by the Bank.

Employees can opt for enhancement of their own PF contribution to 12% of monthly basic salary, however the contribution by the Bank will remain unchanged.

PF deduction shall continue to be made from monthly salary even if an employee has resigned and is working during the notice period. Membership of PF Scheme shall be automatically cancelled on the last working day of the notice period.

9.14 End Service Benefits

Bank Alfalah employees are entitled to the following end of service benefits:

9.14.1 Provident Fund

- Encashment of PF (Own + Bank) plus investment income. (As per PF Rules)
- Bank's contribution to Provident Fund as well as Investment Income on Bank's PF contribution are not payable if services are dismissed through disciplinary action.

9.14.2 Gratuity

- Gratuity payment. (As per Gratuity Rules)
- If period of permanent service is less than 5 years, no gratuity shall be payable.
- If period of regular service (contractual period shall be excluded) is 05 years and above, gratuity shall be payable equivalent to one month's basic salary (last drawn) for each completed year of service.
- Period of any overseas posting other than with Bank Alfalah Limited shall be excluded from the total service for calculation and payment of gratuity. Further, for the period of overseas posting with Bank Alfalah Limited any local law governing gratuity shall be applicable and if he / she is posted back in Pakistan the period of overseas posting with Bank Alfalah Limited shall be excluded provided gratuity is paid according to the local laws of overseas posting.
- Unpaid study leave or long leave without pay shall not be considered for payment of Gratuity or any other benefit.
- No Gratuity is payable if service is dismissed through disciplinary action.

9.15 Income Tax Liability

Employees are personally responsible for preparation and submission of their personal income tax and any other personal taxation returns and reports, and for the payment of taxes, and of other statutory dues. The Bank undertakes no responsibility or liability in this respect, except for deduction of taxes at source, depositing the same with the concerned authorities, submitting required statements to the income tax department, and providing a salary and tax certificate for the tax year to the concerned employees.

9.16 Other regulatory requirements

The Human Capital Group shall ensure deductions of Employees' Old Age Benefit Contributions, Social Security Contributions, Education CESS etc. as per the rules and provisions of the relevant statutes (if applicable).

9.17 Sale of Bank's Assets (Laptops and iPads) to Employees

The employees shall have the option to purchase these assets on following terms:

- New Laptop / iPad: after a period of 4 years from the date of allotment
- Old Laptop / iPad: where, an employee has been allotted an old machine, then in such case:
 - Completion of 4 years from date of purchase or
 - 2 years of usage by the employee, whichever is later
- Purchase price shall be book value or 10% of the cost, whichever is higher

In case of separation of the employee (other than under disciplinary action), the above conditions shall apply. CEO is authorized to approve exceptions.

CHAPTER 10. PERFORMANCE MANAGEMENT

10.1 Introduction

Performance Management is a systematic process for improving organizational performance by developing the performance of individuals and teams. Bank Alfalah's Performance Management System is improved and upgraded from time to time in line with the Bank's requirements, as well as with industry practices.

10.2 Performance Management Process

Performance Management is year-round collaboration between employees & supervisors, and it focuses on the following:

- **Objective Setting:** Setting clear objectives / KPIs and expectations at the beginning of each year based on 5 value drives; Financials, Managing for Value, Audit, Compliance, Personal and People Development of the Balanced score card
- **Communication:** Two-way communication system between the line managers and employees for clarifying expectations about the roles and accountabilities, communicating functional and organizational goals
- **Feedback:** Line managers providing a regular and transparent feedback for continuously improving employee performance
- **Evaluation:** Assessing the individual's performance and implementing an effective reward payout mechanism against the achieved objectives and providing employees with growth and advancement opportunities.

10.3 Performance Appraisal

10.3.1 Eligibility Criteria

All employees who have joined in regular cadre or regularized on or before 15th July shall be eligible for appraisal. Performance Appraisal (increment / bonus / promotion - if any) shall be put on hold till resolution of the following:

- Improvement of Unacceptable / Unsatisfactory Audit Rating
- Disciplinary Action Case
- Finance documents discrepancies
- Employee on Leave without pay

Exclusions:

- Employees, who have not worked for at-least 6 months (180 days) during the appraisal year due to leave without pay or absence. However, maximum relaxation up to 15 days can be allowed.
- Employees who have resigned and serving the notice period.

10.3.2 Rating Scale

Bank Alfalah has a 5 Rating Scale and ratings are subject to distribution on the bell-curve (Distribution Percentage of Bell Curve is subject to change based on management's discretion)

Rating	Performance Category
5	Exceptional
4	Exceeds Expectations
3	Meets Expectations
2	Below Expectations
1	Unsatisfactory

10.3.3 Salary Increments / Adjustments & Performance Bonus(es)

- Review of salary and allowances, which is based on previous year's performance, is carried out once a year during the first half of every year subject to Bank's profitability, which shall be effective from 1st January.
- Individuals fulfilling the eligibility criteria of appraisal shall be entitled for salary increases and bonuses (with no pro-rata calculation).

- The extent of salary increment / adjustments and performance bonuses shall be a composite factor of bank's overall performance, Group's, and individual's performance aligned with payouts with market. Those employees whose salaries vis-à-vis their assignments have reached at maximum level, their salary increase would be slowed down by giving them nominal or no salary increase.

10.3.4 Exceptions

Bank may also consider upward adjustment of salary / promotion of any employee (except for those positions that require Board's approval) any time of the year as well with the approval of CEO.

10.4 Promotion to Higher Grades

10.4.1 Eligibility Criteria

- The minimum Service period in each Grade would be 2 years to become eligible for next promotion. However, in case of change of assignment on next position Management may waive the condition of two years.
- The Rating of employee recommended for promotion should at least 3.
- Employees responsible for Unsatisfactory / Unacceptable Audit Rating or Adverse DA Decision shall not be eligible for promotion.

All promotions shall be assessed based on Job Grade Fit (Job Evaluations), availability of positions, employee's skill set, experience and potential to function into a new and higher role.

10.4.2 Promotion Procedure

- The promotion procedure revolves around the following activities, which are to be completed and recorded as described below.
- Promotions up to SVP-I shall be decided by respective Group Head and HCG based on criteria defined in clause 10.4.1.
- Promotion to SVP-II to EVP-III, cases may be presented to CMC / management for approval / decision. Promotion into SEVP-II & SEVP-I shall be approved by BHR&NC on the recommendation of the management.

10.5 Promotion on Work Anniversaries for OG-IV & OG-III Grade Employees

The promotions of employees in OG-IV & OG-III grades have been delinked from the annual appraisal cycle, benchmarked grades and other promotion criteria like LOS etc. Under this new initiative, following touchpoints are created for promotion consideration:

- **OG-IVs:** to be promoted to OG-III at their respective 1st work anniversary
- **OG-IIIs:** to be promoted to OG-II at their respective 2nd work anniversary (for new hires) or on completion of 2 years of service in the OG-III grade

The mechanism & other terms and conditions would be as follows:

- The policy would be applicable w.e.f. 01-Nov-2023:
 - All OG-IVs who have completed 1 year of service as of 01-Nov-2023 with the bank will be promoted to OG-III grade w.e.f. 01-Nov-2023; remaining OG-IV employees will be promoted on 1st work anniversary as and when the event occurs.
 - All OG-IIIs who have completed 2 years of service in current grade as of 01-Nov-2023 with the bank will be promoted to OG-II grade w.e.f. 01-Nov-2023; remaining OG-III employees will be promoted on completion of 2 years of service in current grade as and when the event occurs.
- In case of last performance rating of "1 - Unsatisfactory" or "2 - Below Expectations", a performance review period of 6 months will be observed, and promotion shall be granted after 6 months upon improvement of the performance.
- In case of adverse DA decision during last 1 year of service, the promotion shall be decided on case to case bases, based on the DA decision.
- The promotions will be put on-hold till resolution of the following, and will be decided by HCG on case bases, based on the resolution of these issues:
 - Improvement of Unacceptable / Unsatisfactory Audit Rating
 - Disciplinary Action Case
 - Loan documents discrepancies

- Employee on Leave without pay
- In case of break in employment due to absence or leave without pay; the promotion will be deferred by the number of absence days.
- Employees who have resigned and are serving the notice period will not be eligible for the promotion.
- The successful promotion cases will be released on monthly basis with payroll processing.
- In case of any dispute, the decision of CHRO will be final.

10.6 Performance Improvement Plan (PIP)

To address the issue of Employees' continuous under performance, despite the feedback and coaching of supervisors, performance improvement plan to be initiated. The following procedure shall be followed:

- Supervisor shall hold a meeting with concerned Employees and review his KPIs along with identifying performance improvement area, action plan and timelines by which performance is to be improved. A transparent performance measure shall also be mentioned against which improvement in performance shall be measured. A copy of this form shall be sent to Human Capital Group for record.
- If no improvement in performance is observed, a meeting shall be called after expiry of the above timeline in the presence of an HCG representative. Steps under point 1 above shall again be repeated and performance expectations along with performance measure(s) shall formally be communicated to the employee in the presence of HCG representative. Employee shall also be communicated that in case of non-improvement in performance within prescribed timeframe, a formal disciplinary action shall be initiated.
- Performance shall again be reviewed in presence of the HCG representative at the expiry of prescribed time frame and if still there is no progress, disciplinary action shall be initiated by issuing a formal Show Cause Notice, as per Disciplinary Action Policy.

10.7 Recognition Programs

Employee recognition programs are essential for recognizing and rewarding employees who have gone beyond their normal duties and have demonstrated true innovation, exceptional performance and creative thinking in a manner consistent with Bank Alfalah's values and business objectives.

Under this Policy, HCG shall take on various recognition initiatives to help drive the desired behaviors, improve employee morale, motivation and engagement levels in the Bank.

HCG shall be authorized to create and launch new recognition programs for the employees subject to approval from CEO. The Board Human Resources & Nomination Committee shall be kept abreast about the success of these programs on an annual basis.

10.8 Incentive Schemes

The Bank may offer incentive schemes including limited period campaigns based on the business considerations. Such schemes shall be recommended by the respective line management / HCG and approved by the Management Committee or CEO.

CHAPTER 11. POWERS OF ATTORNEY

11.1 Types of Powers of Attorney

11.1.1 General Power of Attorney (GPA)

Signatures of the person holding GPA shall be acceptable worldwide and appeared in 'Authorized Signatures Specimen Book' (for external Users only) and the same are updated on 'Internal Web Portal for Internal Users'. GPA shall be issued only to Sr. Branch Manager / Branch Manager, Sr. Branch Operations Manager/ Branch Operations Manager, Departmental Managers and other Senior Employees. The GPA shall be issued by Human Capital Group based upon recommendation mentioned above. Normally, employees with a minimum two years of current or previous banking experience should be recommended for issuance of GPA. For Bank Alfalah Management Trainee Officers / Batch Trainees over 01 Year of relevant experience may be considered adequate (i.e. after first posting in a branch and does not include the learning center training period).

11.1.2 Internal Power of Attorney (IPA)

For smooth branch operations and for signing of IBCAs / CDRs (payable at issuing branch) and BCs which are payable at any branch of Bank Alfalah in Pakistan, IPA shall be issued to officers having at least one year of banking experience. For Bank Alfalah Management Trainee Officers / Batch Trainees over 06 months of relevant experience may be considered adequate (i.e. after first posting in a branch and does not include the learning center training period). Signatures of the person holding IPA shall be acceptable only within Bank Alfalah Branches. Scanned Signatures of IPA Holders shall be verified from IPA / GPA Signature web Portal on Bank's server accessed by the authorized Employees only from all locations. IPA shall be issued by Human Capital Group based on recommendation mentioned above.

11.1.3 Power of Attorney for Operations of Bank's accounts at SBP Branches

This Power of Attorney (Text provided by SBP) shall be issued to those officials of the Bank who operate our Bank's accounts with SBP in different cities of Pakistan.

11.2 Issuance of Power of Attorney

Issuance of Power of Attorney (POA) is a matter requiring serious attention. Recommendations for issue of Power of Attorney should be forwarded to Human Capital Group on prescribed format by branches / units, duly recommended by concerned RM / Divisional Head / GH, keeping in view the risks attached with issuance of these powers to employees with inadequate experience or skills. At times, by judiciously reorganizing the workflow, need for additional Power of Attorney holders can be reduced.

If on careful examination by a Sr. Branch Manager / Branch Manager / Regional Operations Head / Immediate Supervisor / Departmental / Divisional Head, a definite need is identified, candidates for award of Bank's Power of Attorney should be selected very carefully.

11.2.1 Delegation of Authority for Issuance of POA:

a. Internal Powers of Attorney:

Category	Recommend	Approve
Branch Operations Employees	- Sr. BOM / BOM - ROH & Branch Operations Head - HCG	CFO / CRO / CEO
Other Employees	- Sup / Sr. BM / BM / RBH - BH / Distribution Head/ Dept. / Div. Head or GH - HCG	CFO / CRO / CEO

b. General Powers of Attorney / POA for SBO:

Category	Recommend	Approve
Branch Operations Employees	- Sr. BOM / BOM - ROH & Branch Operations Head - HCG	CFO / CRO / CEO
Other Employees	- Sup / Sr. BM / BM / RBH - BH / Distribution Head/ Dept. / Div. Head or GH - HCG	CFO / CRO / CEO

Once Power of Attorney is approved by the Chief Risk Officer or the Chief Financial Officer or the Chief Executive Officer and attested by the competent court, the POA document shall be kept in safe custody at Human Capital Group. However, a scanned copy of the attorney shall be emailed to the applicant at his / her official email address. In case an attorney holder separates from the Bank, the POA document shall be cancelled on the last working day of the employee by Human Capital Group.

11.3 Issuance & Cancellation of Attorneys

11.3.1 Issuance of General Power of Attorney

Once General Power of Attorney is approved by Chief Risk Officer or the Chief Financial Officer or the Chief Executive Officer and attested by the competent court, Human Capital Group shall arrange circulation of Specimen Signature Number of the concerned officer. It would be the responsibility of Human Capital Group to update both the Specimen Signatures Booklet and Bank's Signature web Portal.

11.3.2 Issuance of Internal Power of Attorney:

Once Internal Power of Attorney is approved by Chief Risk Officer or the Chief Financial Officer or the Chief Executive Officer and attested by the competent court, scanned signatures of IPA holders shall be uploaded at IPA signature website on Bank's Server which can be accessed by authorized employees only from Bank Alfalah locations. IPA shall be issued by Human Capital Group.

11.3.3 Cancellation of General Power of Attorney:

On separation from Bank services / change of assignment of GPA holder, Human Capital Group shall arrange cancellation of Specimen Signature of the concerned officer, at least two (02) working days before his / her last working day, through circular & update cancellation on Bank's Signature web Portal.

11.3.4 Cancellation of Internal Power of Attorney:

On separation from Bank services / change of assignment of IPA holder, Human Capital Group shall arrange cancellation of Specimen Signature of the concerned officer, at least two (02) working days before his / her last working day.

It may be noted that all Power of Attorney holders (IPA & GPA) must write Authorized Signature Number invariably wherever they sign any instrument or official correspondence.

11.3.5 Issuance of Power of Attorney for Operations of Bank's accounts at SBP Branch

Based on business requirement, Power of Attorney for SBP A / c Operations shall be approved by Chief Risk Officer or the Chief Financial Officer or the Chief Executive Officer and counter signed by Company Secretary and attested by the competent court, POA document shall be sent to respective Branch / Unit for submission to SBP Offices for registration of names and signatures.

11.3.6 Cancellation of Power of Attorney for Operations of Bank's accounts at SBP Branch

On resignation / termination / change of assignment, of Power of Attorney holder for operation of Bank's at SBP Branch, HCG shall arrange cancellation of Specimen Signature of the concerned officer, at least two (02) working days before his / her last working day and respective Branch / Unit shall be responsible to notify SBP BSC for its revocation.

11.4 Authority of Internal / General Powers of Attorney Holders

- Two Internal Power of Attorney Holders shall / can jointly sign and execute the following instruments for and on behalf of the Bank:
 - CDRs (payable at issuing branch) and BCs which are payable at any branch of Bank Alfalah in Pakistan for a sum not exceeding Pak Rs. 7,000,000.00 (Pak Rupees Seven Million).
- One Internal Power of Attorney Holder and One General Power of Attorney Holder shall / can jointly sign and execute the following instruments for and on behalf of the Bank:
 - CDRs (payable at issuing branch) and BCs which are payable at any branch of Bank Alfalah in Pakistan of any amount in Pak Rupees.
- Two General Power of Attorney Holders shall / can jointly sign and execute the following instruments for and on behalf of the Bank:
 - CDRs (payable at issuing branch) and BCs which are payable at any branch of Bank Alfalah in Pakistan for a sum of any Amount in Pak Rupees.
 - FDDs which are drawn on / payable at foreign bank (with which Bank Alfalah has such arrangements) for a sum of any amount in foreign currency.

CHAPTER 12. LEAVE RULES

The objective of the policy is to provide leaves facility to the employees for Balanced work life and to cater for certain incidents / events. Following leave types shall be allowed:

- Privilege Leave
- Casual Leave
- Sick Leave including Prolonged Illness
- Maternity Leave & Maternity Cover Program
- Paternity Leave
- Pilgrimage Leave
- Iddat Leave
- Employee Volunteering Service Leave
- Sabbatical Leave
- Quarantine Leave

12.1 Privilege Leave (PL)

Eligibility: All Regular & Contractual employees shall be eligible for PL during the calendar year.

Terms & Conditions:

Category	Regular Employees	Contractual Employees
Entitlement	Max. 30 days PL to be earned in a calendar year or on pro-rata basis for lesser period served in the calendar year. PL Balance shall accrue @ 2.5 days for each month.	Max. 30 days PL to be allowed for a 12 month contract or on pro-rata basis for lesser contract tenure. PL Balance shall be credited in employees account upon initiation of the contract.
Carry forward	Unutilized leaves shall be allowed to be carried forward at the year-end, with a maximum Balance of 45 days. Thereafter, any accumulated Balance over & above 45 days shall lapse.	No accumulation in case of contract renewal.
Availment	Employees are required to avail at least 15 days' un-interrupted leaves in a calendar year, subject to availability of Balance. This condition shall not be enforced on employees who join during the year. Maximum leaves that can be availed in a calendar year shall be 45 days. Employees serving notice period, shall not be allowed to avail PL.	Employees are required to avail at least 15 days un-interrupted leaves during the contract period. Employees serving notice period, shall not be allowed to avail PL.
Leave Encashment	No encashment shall be allowed for any unutilized or lapsing leaves. However, in case of retirement from Bank's services or death during bank service; leave encashment for accumulated Balance shall be allowed (45 days maximum). In other special circumstances, the CEO may upon recommendation from Chief Human Resources Officer, allow encashment.	No encashment shall be allowed for any unutilized or lapsing leaves.
Leave Schedule	Employees must submit their anticipated leave schedule to their respective Line Managers at the beginning of the year, for effective planning. This schedule must be completed by 31 st January of each year and submitted to respective Group Heads & HCG.	
Other Conditions	In case of un-availed leaves, exceptions for mandatory 15 days' continuous leave may be allowed with justified reason(s), after due approval by Chief Human Resources Officer.	

12.2 Casual Leave (CL)

Eligibility: All Regular & Contractual employees shall be eligible for CL during the calendar year.

Terms & Conditions:

Category	Regular Employees	Contractual Employees
Entitlement	Max. 10 days CL to be allowed in a calendar year or on pro-rata basis for lesser period served in the calendar year. CL shall be credited upon start of the year or on a pro-rata basis upon joining.	Max. 10 days CL to be allowed for a 12 month contract or on pro-rata basis for lesser contract tenure. CL Balance shall be credited in employees account upon initiation of the contract.
Availment	The objective of allowing this leave type is to facilitate the employees to manage emergency situations only and should not be habitual. This should not be more than 1 day but in case of emergencies may extend up to a maximum of 3 days.	
Leave Approval	In case of emergency situations, the employee must inform the respective Line Manager by Phone or fax etc. before proceeding on leave. The Line Manager in such case should fill out the leave request in such cases, or the employee upon return should immediately raise the request.	
Other Conditions	No Encashment, carry forward or adjustment of such leave Balance would be allowed.	

12.3 Sick Leave (SL)

Eligibility: All Regular & Contractual employees shall be eligible for SL during the calendar year.

Terms & Conditions:

Category	Regular Employees	Contractual Employees												
Entitlement	Max. 8 days SL to be allowed in a calendar year or on pro-rata basis for lesser period served in the calendar year. SL shall be credited upon start of the year or on a pro-rata basis upon joining.	Max. 8 days SL to be allowed for a 12 month contract or on pro-rata basis for lesser contract tenure. SL Balance shall be credited in employees account upon initiation of the contract.												
Availment	The objective of allowing this leave type is to facilitate the employees to handle medical emergency situations only and must be followed with Medical Certificate from the Medical Practitioner. However, in case of 1 day leave, no certificate would be required. In case of prolonged illness, including conditions arising from an accident and supported by a Medical Certificate, the employee shall be allowed to use the available sick leave Balance first and thereon from the available PL Balance. <table border="1"> <thead> <tr> <th>Duration</th><th>Leave Type</th><th>Approving Authority</th></tr> </thead> <tbody> <tr> <td>60 Days</td><td>Prolonged Illness - with Full Pay</td><td>CHRO</td></tr> <tr> <td>Additional 60 Days</td><td>Prolonged Illness - with Base Pay</td><td>CEO</td></tr> <tr> <td>Thereafter further 180 days</td><td>Leave without Pay for prolonged illness</td><td>Up to 60 days- CHRO, Above 60 days shall require CEO Approval</td></tr> </tbody> </table> <i>*Base Pay means Basic, House Rent and Medical allowance only.</i> <i>**The above leaves shall only apply after exhaustion of existing annual and sick leave Balances</i> <i>*** for details of prolonged illnesses, HCG Medical Unit may be consulted.</i> During this time, the employee should provide regular updates to management on his / her medical prognosis and make every effort to return to work as soon as possible		Duration	Leave Type	Approving Authority	60 Days	Prolonged Illness - with Full Pay	CHRO	Additional 60 Days	Prolonged Illness - with Base Pay	CEO	Thereafter further 180 days	Leave without Pay for prolonged illness	Up to 60 days- CHRO, Above 60 days shall require CEO Approval
Duration	Leave Type	Approving Authority												
60 Days	Prolonged Illness - with Full Pay	CHRO												
Additional 60 Days	Prolonged Illness - with Base Pay	CEO												
Thereafter further 180 days	Leave without Pay for prolonged illness	Up to 60 days- CHRO, Above 60 days shall require CEO Approval												
Carry forward / Accumulation	Carry forward of leaves shall not be allowed. SL accumulated Balance over and above the entitlement of 8 days shall lapse at the end of calendar year i.e. December.													
Other Conditions	The Line Manager in such case should fill out the leave request in such cases, or the employee upon return should immediately raise the request. Line Manager must ensure that all Medical Record is kept and provided to HCG when required.													

12.4 Maternity Leave

Eligibility: All regular female employees shall be eligible for maternity leave.

Entitlement and Availment:

- **Paid Maternity leave:** maximum of 6 months with full pay subject to minimum service of 4 months with the Bank.
- **Unpaid Maternity leave:** for a maximum period of 6 months without pay, where the service period with the Bank is less than 4 months on the date of proceeding for maternity leave.
- Paid maternity leaves shall be allowed twice in the entire service with the Bank.

Other Conditions:

- Line Manager in coordination with the employee shall arrange/ identify a maternity cover, at least 2 months prior to proceeding on the leave.
- In case of medical conditions, maternity leave can be combined with available PL and SL balance.
- Where an employee proceeds on maternity leave during the probationary period, their probationary period shall be paused for the duration of the leave and shall resume on their return to work.
- Line Manager must ensure that all medical record is kept and provided to HCG when required.

Maternity Cover Program

- The Maternity Cover Program enables employees to take a different role within their respective Groups for 6 months to cover someone's maternity leave, in addition to their existing role and returning fully to their existing role after the period of maternity has ended.
- Besides covering for female employees on maternity leaves, The Maternity Cover Program offers development opportunities for other employees as it diversifies their experience and gives them the chance to try new roles within their respective Groups.

The process to initiate request for Maternity Cover is as follows:

- Two months prior to going on maternity leave, the employee and her line manager shall inform their Group Head and HCG. HCG shall send out an Internal Job Watch for the maternity cover within that employee's respective Group.
- Employees who are interested to serve as the maternity cover shall send in their applications after discussing with their respective line managers.
- HCG shall share profiles of applicants with the employee and her line manager.
- The employee and her line manager shall conduct interviews of applicants, shortlist one applicant, and inform HCG.
- The employee shall hand over her responsibilities to the shortlisted applicant before going on maternity leave.
- The shortlisted applicant shall start performing the duties of the new role as soon as the maternity period begins.

12.4.1 Maternity Cover Incentive:

Since the employees serving as maternity covers shall take on additional job responsibilities for 6 months, maternity cover incentive amounting up to maximum PKR 100,000 or on a pro-rata basis for a period of less than 6 months shall be rewarded.

The Management may consider to rename or rebrand the program as and when required with the approval of CHRO.

12.5 Paternity Leave

Shall be allowed to all Regular & Contractual employees up to a maximum 5 days.

12.6 Pilgrimage Leave

Regular employees, with a minimum service of 2 years with the Bank, may be allowed up to a maximum of 30 days leave with full pay for pilgrimage purposes only. This leave shall only be allowed once in the entire service with the Bank. The employee may combine this leave with available PL Balance if required and subject to agreement with the Line Manager.

12.7 Iddat Leave

In case of demise of female employee's spouse or dissolution of marriage, the employee shall be allowed leave as per Shariah Law or maximum up to 130 days leave (existing balance of PL shall be adjusted against the leave and remaining period would be treated as paid leave).

12.8 Employee Volunteering Service Leave

Volunteering service offers employees a meaningful way to use their skills and abilities to have a direct impact on their community and the causes that they feel passionate about. It also helps employees develop skills which shall be beneficial to their job performance.

Employees who wish to devote time to community work shall be provided 2 calendar days per annum that they can spend on community volunteer activities, in addition to their normal annual leave entitlement. The activities undertaken during volunteering leave must be aligned to Bank Alfalah's community program: Raah-e-Falah.

12.9 Leave without Pay

Regular employees may under exceptional circumstances, request for leave without pay for a maximum of 60 days in a calendar year. However, CEO may allow another period of 30 days depending on the merit or circumstances of the case. These leaves can only be applied after exhausting the available PL Balance. Such leaves shall be recommended by respective Group Head.

12.10 Sabbatical Leave

Purpose: To facilitate employees who intend to enhance their academic / professional qualifications, without risk of losing employment.

Eligibility: Employee must have at least 2 years of confirmed service with the bank.

Duration: Leave of absence (without pay) for a maximum period of 2 years, subject to approval by the CEO / CHRO.

Procedure & Rules:

- Concerned employee to put forward their requests at least 3 months prior to the initiation of program to HCG with due consent from their Line Managers, so that backup arrangements can be ensured.
- HCG shall evaluate the case based on various criteria as established including the review of the supporting admission documents and their decision shall be final.
- During the period of leave, the employee shall not be entitled for any perks or benefits such as hospitalization, Employees finance facilities etc.
- Employee shall be required to settle outstanding finances at least 7 days before proceeding on the leave, otherwise, the management may cancel the approval of the leave.
- During the period of leave, employee cannot enter into any services contract / employment with any other organization, whether in lieu of payment or otherwise. In such case, the Bank may take appropriate action in light of the Disciplinary Actions policy.
- The employee shall be required to report to HCG, upon completion of the period of leave. In case, where for any reason, the employee does not re-join, the Bank may take appropriate action against the employee including termination of services in accordance with the Policy guidelines.
- Upon joining back, HCG shall assist the employee in placement.

12.11 Quarantine Leave

For employees required to quarantine themselves, either as a result of being tested COVID-19 positive or identified under contact tracing protocols of Health & Safety Department, employees are allowed to avail Quarantine Leave (QL).

QL shall be first deducted from the available sick leave quota / Balance and thereafter from QL quota. Maximum period of QL would be 15 days but can be extended up to another 15 days depending on the advice of recognized medical practitioners.

12.12 Religious Leave

Leave for religious festivities & national holidays for all employees shall be allowed as per State Bank of Pakistan's notifications.

12.13 Authority Matrix

All leaves must be entered in the HCM system by the concerned employee. Approval shall be as per the following matrix:

Leave Type	Recommending Authority	Approving Authority
Privilege Leave	NA	Line Manager
Privilege Leave – Ex Pakistan	Line Manager	HCG
Casual Leave	NA	Line Manager
Sick Leave	NA	Line Manager
Sick Leave – Prolonged Illness	Line Manager	HCG*
Maternity leave	Line Manager	HCG
Paternity Leave	Line Manager	HCG
Pilgrimage Leave	Line Manager	HCG
Iddat Leave	Line Manager	HCG
Employee Volunteering Service Leave	Line Manager	HCG
Sabbatical Leaves	Line Manager	CEO / HCG
Quarantine Leaves	NA	Line Manager

* Leave without pay (including LWOP for prolonged illnesses) cases shall require recommendation of Line Group Head and shall be approved by Chief Human Resources Officer. For extension in LWOP, CEO / President's approval would be required.

12.14 General Rules

- Employees are encouraged to use HCM system to enter and maintain their leave record. It shall be the responsibility of the respective Line Managers to ensure the completeness of leaves record including supporting medical and other records at their end.
- Employees on un-authorized absences may be subject to disciplinary actions.
- In case of resignation or early termination of contract, excess leaves availed shall be recovered from final settlement.

CHAPTER 13. TRAVEL POLICY

13.1 Objective

To define the broader guidelines for employees undertaking travel within Pakistan or outside Pakistan for business, conferences, training purposes.

13.2 Approving Authority

13.2.1 Local Travel

Travel Undertaken by	Approving Authority Inter-city (other than Air Travel)	Approving Authority Inter-city (Air Travel)
Group Heads / Direct Reports to CEO	CEO	CEO
Direct reports to Group Heads	Respective Group Head	Respective Group Head
All other employees	2 nd Line Supervisor	

Approving authority for all local travels (within city) shall be respective line supervisor.

13.2.2 International Travel

Travel Undertaken by	Recommending Authority	Approving Authority
Group Heads / Direct Reportees to CEO	-	CEO
All other employees	Respective Group Head	CEO

13.3 Travel Within City

Entitlement for travelling within city for business purposes or meetings would be as follows:

Mode of Commute	Rate of Travel (PKR)
Personal Car	25 / Km
Personal Motorcycle	8 / Km
Taxi / Rickshaw / Wagon / Bus	Actual

- Those provided with SLCL allowance or bank car or functional fuel shall not be entitled for this allowance
- Approving authority shall in this case shall be respective line managers. Line Managers are advised to approve such expenses
- CEO may on the recommendation of HCG / Corporate Services, revise the above rates based on the increase in fuel rates, if required.

13.4 Inter City Travel

13.4.1 Travel by Road:

- Employees may use the bank's pool car for travel.
- In case of using personal car, employee may claim based on cost of fuel incurred and the relevant toll taxes.
- In case of using public transport such as bus or railways, the actual bill / ticket price shall be allowed.

13.4.2 Travel by Air:

Entitlement shall be as follows:

Grade	Class of Travel
SEVP-II / CEO	Business Class
EVP-III/PEVP/ SEVP-I	Economy Plus
All other Employees	Economy Class

- Bookings for air tickets must be done through Corporate Services Division under Travel Authorization Form duly approved as per authority matrix.

13.4.3 Hotel Accommodation

- Where Bank's Guest Houses are available, first preference should be to stay at these guest houses.
- In case of non-availability of Guest Houses, the following shall be the entitlement:

Grade	Category of Hotel
EVP-I to SEVP-II	5 Star
RVP to SVP-II	4 Star
OG-I to AVP-II	3 Star
OG-IV to OGII	2 Star
Clerical / Non-clerical	PKR 1,500 per night

- In case of group travel, Head Corporate Services may upgrade the entitlement; subject to approval of Group Head Operations / HCG or the CEO
- Female employees shall be entitled for a 4-star hotel or Grade entitlement, whichever is higher

13.4.4 Food and other Per diems

- Tips & Portages: Rs. 100 per day
- Laundry Expenses: Rs. 500 per day
- Per diems including food can be claimed as follows:

Grade	Per Diem Allowance / Day (PKR)
EVP-I to SEVP-II	At actual or 4,000 per day whichever is lower
RVP to SVP-II	At actual or 2,000 per day whichever is lower
OG-I to AVP-II	At actual or 1,500 per day whichever is lower
OG-IV to OGII	At actual or 1,000 per day whichever is lower
Clerical / Non-clerical	At actual or 700 per day whichever is lower

Calculation of daily allowance shall be based on the period spent at the destination i.e. from arrival at the destination to departure from the destination. Stay over a period of more than 6 hours during any calendar day shall qualify for allowance.

- In case of group travel, where food is not arranged by the Bank and is paid by any of the employee, then in such case the limits shall be calculated using the above mentioned entitlements for reimbursement. Other employees shall not be able to claim the same.
- For local travelling within destination for business purposes, employee may claim reimbursements based on the rates defined under "within city entitlements".

13.4.5 Daily Allowance where hotel stay is not availed by the employee:

Where bank provided accommodation is not available / availed, the employee may claim a daily allowance to cover for the cost of accommodation, food / restaurant, laundry, etc.

Entitlement shall be as follows:

Grade	Domestic
	(PKR)
SEVP-I / SEVP-II	6,000
PEVP	5,500
EVP-I to EVP-III	5,000
RVP to SVP-II	4,000
OG-I to AVP-II	3,000
OG-IV to OG-II	2,000
Clerical / Non-clerical	1,000

13.4.6 Daily Allowance for Audit & Internal Control Employees

Entitlement shall be as follows:

Grade	Daily Allowance (PKR.)
SVP-II to EVP-III	11,000
AVP-I to SVP-I	9,000
OG-IV to OG-I	7,000

13.4.7 Audit / Compliance & Business Solutions / Internal Control Officers' Cash Allowance during duty

Special arrangements have been made for audit / compliance / internal control officers on duty for Bank provided accommodation for per diems including food, laundry, telephone calls, tips, etc.

Grade	Domestic – Daily Cash Allowance (PKR)	International – Daily Cash Allowance (US\$)
SVP-I & above	3,500	25
OG-I to VP-II	3,000	20
OG-IV to OG-II	2,500	15

- Reimbursement of Meal charges (Domestic only)
 - If there is no overnight stay, meal charges can be claimed for out of city travel on actual or up to maximum 50% of total daily cash allowance (mentioned above), whichever is less.
 - The above daily cash allowances shall not be applicable in case of Bank's provided Hotel / Guest House accommodation.

13.5 International Travel

13.5.1 Travel by Air

Grade	Class of Travel
CEO / SEVP-II / SEVP-I	Business Class
OG-IV to PEVP	Economy Class

- In case, where one-way flight time is more than 5 hours, OG-IV to PEVP employees may be upgraded to next class upon recommendation of the respective Group Head. Such cases shall be recommended by Corporate Services / CFO and approved by CEO
- All travel bookings shall be done by Corporate Services Division

13.5.2 Hotel Accommodation & Allowance (in lieu of per diems)

Grade	Hotel Limit	Per Diem Allowance
	(USD)	(USD)
CEO	At actual	At actual
SEVP-I / SEVP-II	300	100
PEVP	250	100
EVP-I to EVP-III	200	75
SVP-I / SVP-II	170	65
OG-I to VP-II	150	50
OG-IV - OG-II	100	30

Calculation of daily allowance shall be based on the period spent at the destination i.e. from arrival at the destination to departure from the destination. Stay over a period of more than 6 hours during any calendar day shall qualify for allowance.

- Tips & Portages: USD 10 per day
- Laundry Expenses: At actual
- Telephone Charges: employees are advised to avoid international roaming, unless approved by the CEO. However, employees may purchase sim cards / mobile connections and up to a reasonable limit shall be reimbursed for the expenses. Where, no sim cards / mobile connections are purchased, employee may avail telephone facilities from the hotel and shall be reimbursed up to a reasonable limit.
- Travel Insurance, if required shall be arranged by the Corporate Services Division.
- In case of employees undertaking travel for conferences / meetings / trainings, they may stay in the hotel where such conferences / meetings / trainings are held irrespective of their hotel entitlement.
- In case an employee does not avail hotel accommodation, 50% of hotel limit and full daily allowance can be claimed.
- In case of group travel, where food is not arranged by the Bank and is paid by any one employee, then in such case the limits shall be calculated using the above mentioned entitlements for reimbursement. However, other employees in the group can only claim the allowance on a pro-rata basis for the meal.
- In case(s) where the cost of the travel is not being incurred by the bank i.e. expense is reimbursable by the Host, Regulator or any other organizer or due to peculiar nature of the business unit, CEO may on the recommendation of respective Group Head, HCG and Corporate Services Division approve a separate travel allowance structure.
- For local travelling within destination for business purposes, employee may claim reimbursements based on the rates defined under "within city entitlements".

13.6 Permanent Transfer (Inter City)

Tickets:

Air tickets (or railway or coach tickets, as applicable) for the Employee, spouse and dependent children.

Insurance value of personal effects

The maximum value of an officer's personal effects on which the Bank shall pay the premium shall be as under:

Grade	Amount (PKR)
SVP-I & above	2,000,000
OG-I to VP-II	1,500,000
OG-II to OG-IV	1,000,000
Non-officers	500,000

The insurance of personal effects shall be arranged by Corporate Services Division through approved insurance companies.

Transportation of personal effects:

The payment of transfer of luggage including car shall be paid by the Bank.

Grade	Container Size
SVP-I & above	40 ft.
Other officers	20 ft.

13.7 Relocation Expense

To meet extra-ordinary expenses caused by a permanent inter-city transfer, the Bank shall pay 50% of monthly basic salary to an employee under transfer, with a minimum payment of Rs. 5,000 for non-officers & Rs. 10,000 for officers (whichever is higher). If the transfer is affected at the request of officer, no air tickets or relocation allowance shall be payable.

In case of overseas posting, one month's basic salary fixed in local currency of place of posting shall be paid at the place of posting in Overseas Country. Similarly, on transfer back to Pakistan, one month's basic salary based on salary fixed in Pakistan shall be paid to cover miscellaneous expenses.

13.8 Travelling on Retirement from Service

Where an employee has been relocated due to business requirements during the job, then in such case upon retirement from the Bank's service, the Bank shall pay for travelling expense covering one-way travelling cost, cost of luggage, etc. for self and family to his choice of city within Pakistan only.

13.9 General Rules

Following guidelines must be taken into account for official travel:

- Prior to the approval of the official travel plan, the employee should identify clear and specific objectives of travel (business meeting / training / conference) and what is expected to achieve from the travel.
- Authorization for official travel and related expenses shall be granted on Travel Authorization Form (refer to authorization matrix).
- As a precautionary measure, senior officers of the Bank should avoid travelling together in groups of more than three people. This applies to all means of transport, whether by air, road or rail.
- If spouse, children, etc. are accompanying, such information should be disclosed on the travel authorization form at the time of approval. All additional expenses for spouse / children i.e. boarding and lodging etc. shall be borne by the employee concerned out of his / her own pocket.
- At the end of travel, if an employee wishes to take extra leave as a personal time, it shall be treated as Privilege Leave. However, the same should clearly be disclosed on the travel authorization form at the time of approval. All expenses (hotel, transportation, meals etc.) during this period shall be paid.
- In line with regulatory requirement, sending large groups of bank officials for management conferences or any other events (except board meetings), or employees sponsored by vendors or their overseas alliances directly or indirectly shall not be permissible. However, Individuals of concerned groups / business may attend conference / seminars sponsored by various international organization like VISA International, Oracle, and T24 etc. by the employee.
- Employee may seek travel advance; at the end of the travel, employee must submit the Travel Expense Claim Form.
- Pick and drop to and from airport / bus / railway (airport tax, other transfer costs, etc.), to and from hotel to the location of meeting / conference / training and vice versa if paid by the employee, can be claimed at actual.
- CEO may allow any exceptions to the above guidelines, if required.
- Corporate Services Divisions or HCG may issue guidelines for further elaboration when required.

CHAPTER 14. EMPLOYEES FINANCE POLICY

14.1 Introduction

The Bank provides financing facilities to its regular employees (not contractual employees) under the following headings :

- Housing Finance
- Conveyance Finance
- Personal Finance
- Self-Liquidating Car Finance (SLCL)

General information and terms and conditions pertaining to these facilities and applicable to all such facilities are given below.

14.2 General Principles

- Employees finance facilities are to be allowed by the Bank on a case-to-case basis and cannot be claimed by employees as a matter of right.
- The aggregate amount of monthly repayment(s) of all outstanding finance(s) including commercial / consumer finances availed by an employee should not exceed 50% of take home monthly salary (Gross Salary excluding Tax, PF, and all applicable deductions) for new finances including any enhancements. CEO may relax this subject to recommendation from CHRO based on specific merits of the case.
- The employee shall have the option to opt for either of the following modes of financing: the Conventional Mode or the Islamic Mode.
- In order to maintain debt burden ratio, ECIB shall be obtained.
- Deduction of Finance installment shall be waived on both Eids except SLCL.
- CEO of the Bank may grant exceptions to these rules to suit the Bank's need.
- Upon separation from the Bank services, the outstanding finance including accrued markup shall become repayable immediately. The bank shall charge Employees finance markup rate for a period of one month from the last working day with the bank, thereafter commercial markup rate shall apply. Chief Human Resources Officer may allow relaxation for charging of Employees finance markup rate for maximum period of three months from the last working day with the bank, provided the separating employee provides evidence of un-employment.
- Write off for ex-employees shall be considered in line with bank's credit policy.
- House, SLCL and Conveyance finances may be taken over from the previous employer with the specific approval of Chief Human Resources Officer / Head Rewards & Financial Services at the time of hiring. However, personal finance shall not be taken over.
- Staff with consecutive 2 ratings or who are rated 1 during last appraisal cycle, shall not be eligible to avail any fresh Staff Finance, unless the rating/ performance is satisfactorily improved.

14.3 Approving Authority for Employees Finance

Chief Human Resources Officer or Head Reward & Financial Services (including their delegated resource) shall approve all Employees finances in terms of respective finance policies.

14.4 Housing Finance

14.4.1 General

- The purpose of the finance is to provide an opportunity to the employees to meet the basic requirement of housing in line with their social status. However, this should not be construed as an opportunity by the employees to enrich themselves at the expense of such facility. The primary intent is to allow the finance for their own use and not for generating or accumulating wealth. Where the employee due to any reason has rented out the property purchased through this Finance, the employee shall be required to inform HCG.
- All Employees House Finance applications received by HCG shall be considered subject to availability of funds up to 2.50% of the total deposits of the Bank (as per the last available reported deposit volumes). HCG shall be required to maintain necessary details as to the above.

14.4.2 Type of Employees House Finances:

The Bank shall allow the Employees House Finance under the following types:

- Purchase of Plot with construction thereon
- Purchase of Constructed House or an Apartment
- Construction of House on a plot already owned by the employee or his / her spouse
- Additional construction or renovation of existing collateral / property

14.4.3 Eligibility Criteria

Only Regular Employees shall be allowed to avail Employees House Finance facility. In special circumstances as per bank's need the eligibility may also be governed by the terms of employment.

Experience Requirement:

- **Employees with no prior work experience:** Confirmed employee with at least 2 years of uninterrupted service with the Bank
- **Employees with Experience:** Experienced employee with 3 years of relevant work experience shall be allowed house finance upon confirmation of services with the Bank. For this purpose, part time jobs or internships shall not be considered as work experience. For employees with accountancy / audit background and having done article-ship; article-ship period shall be considered as work experience.
- Further, if an employee was entitled for house finance at his / her immediate previous organization but did not avail this facility. In this case if the finance is to be allowed, it may be sanctioned after confirmation of applicant's services.
- Finance Takeovers from other Banks / Financial Institutions: shall be allowed subject to meeting the eligibility criteria and obtaining specific approval from the Chief Human Resources Officer at the time of hiring.
- CEO may on the recommendation of Chief Human Resources Officer, make exceptions necessitated by extra ordinary circumstances and criteria to suit the Bank's requirement. However, no exception on finance entitlement amount shall be allowed.
- The employee may obtain the finance in his own name or jointly with the spouse. However, in such case, charge documentation shall be jointly signed off by the employee and the spouse. Primary responsibility of discharge / repayment of the Employees finance shall lie on the employee. In case, where the spouse is an earning hand, spouse's income shall not form part of the DBR calculation for availment of the finance. (This clause shall be applicable for new cases only)

14.4.4 Mode of Finance:

The employee shall have the option to opt of either of the following mode of financing:

- **Conventional Mode:**
Conventional Mode of the financing as per the terms & conditions laid down in policy.
- **Islamic Mode:**
Diminishing Musharakah: In addition to the terms and conditions covered through point no 14.4.1 to 14.4.9 laid down in the policy, the Shariah compliant requirements as approved by the Shariah Advisor / Shariah Board under Diminishing Musharakah for Employees shall also apply.

14.4.5 Employees House Finance Entitlement & Markup:

The finance entitlement for all grades shall be **Up to Rs 75 Mn subject to DBR.**

The finance limit shall be lower of entitlement as mentioned above and the forced sale value of the property to be financed, as assessed by the Bank's approved evaluator.

- Markup rates shall be as follows:

Finance Amount (PKR)	Markup Rate
up to 12.5 Mn	3%
Next 17.5 Mn	4%
Remaining	5%
Tier 4 Employees*	Markup free

**in case of promotion to Officer cadre, markup shall be charged at rates specified above, effective the date of promotion*

14.4.6 Tenure of the Finance:

- The finance shall be allowed for maximum period of 30 years from the date of disbursement or the age of retirement, whichever is earlier
- Any enhancement in the finance already availed, shall not affect the overall approved period of the finance

14.4.7 Renewal of Finance:

- In principle, housing finance facility shall be available to eligible employee thrice during the entire service with the Bank. However, renewal of house finance facility may be considered after five years of the availment of the finance for the purpose of acquiring better or alternative accommodation due to significant change in individual circumstances. If any enhancement(s) was availed by an employee, the five year period shall be calculated from date of initial availment of finance was taken over from previous employers then from the date of sanction of the finance in previous organization.
- The employee in special circumstances (due to limit enhancement or promotion), may be allowed to convert the commercial / consumer finance obtained from the Bank or any other Financial Institution on the same collateral to Employees House Finance category. Any personal borrowing without documentary evidence shall not be considered.
- Furthermore, CEO may be authorized to relax the maximum thresholds or the time period depending on the industry norms or the merits of the case.

14.4.8 Disbursement of Finance :

Purchase of Plot and Construction thereon:

- Up to 50% of the Finance Entitlement as calculated based on the DBR, or FSV of the plot (whichever is less) shall be allowed for purchase of plot
- Remaining approved amount shall be allowed for construction thereon. This shall be disbursed as per the following schedule:
 - 30% of the remaining amount for construction on initiation of construction work
 - 30% of the remaining amount for construction upon completion of the plinth level
 - 40% of the remaining amount for construction for final finishing of the house

HCG / CSFD shall nominate a resource from the concerned employees' Group for verification on the progress of work. The release of tranches shall be subject to the progress report submitted by the nominee employee.

In special circumstances, the CEO may on the recommendation of the Chief Human Resources Officer / Head Rewards & Financial Services allow more than 50% disbursement for purchase of Plot. For this purpose, the employee shall be required to provide proper evidence on the source of funds for construction of the house.

Construction must commence within 1 year from the date of disbursement for purchase of plot and must be completed within 1 year of such date i.e. total period of 2 years from date of disbursement for purchase of plot (in case of construction of house, from the date of first draw down). In case, due to any reason(s), the employee is not able to complete the construction within the stipulated period, the employee may be allowed exception up to a maximum 6 months. This shall be subject to specific approval

from the Chief Human Resources Officer. No further extension shall be allowed and the employee shall be required to settle the finance immediately. In such case, renewal shall not be allowed before the expiry of period of 5 years from the date of sanction of the finance. Deduction of the installment shall start immediately after 1 year from the date of first disbursement or as per terms and conditions of Islamic Mode of financing.

Construction of House:

The conditions mentioned below shall apply in case where the employee intends to undertake construction on a plot already owned by the employee or his / her spouse:

- The finance limit shall be restricted to the FSV of the plot or the entitlement whichever is lower
- Disbursement shall be made in 3 tranches as follows:
 - 30% of the limit approved for construction on initiation of construction work
 - 30% of the limit approved for construction upon completion of the plinth level
 - 40% of the limit approved for construction for final finishing of the house

HCG / CSFD shall nominate a resource from the concerned employees' Group for verification on the progress of work. The release of tranches shall be subject to the progress report submitted by the nominee employee.

Construction must be completed within 1 year of the date of disbursement. In case, due to any reason(s), the employee is not able to complete the construction within the stipulated period, the employee may be allowed exception up to a maximum 6 months. This shall be subject to specific approval from the Chief Human Resources Officer. No further extension shall be allowed and the employee shall be required to settle the finance immediately. In such case, renewal shall not be allowed before the expiry of period of 5 years from the date of sanction of the finance. Deduction of the installment shall start immediately after 1 year from the date of first disbursement or as per terms and conditions of Islamic Mode of financing.

- **Purchase of Constructed House / Apartment:** The finance limit shall be lower of the FSV of the property or the entitlement. Disbursement shall be made in one tranche.

Additional construction or renovation of existing collateral / property: Where an employee intends to undertake additional construction and/or renovation of an existing mortgaged property, such enhancement may be permitted subject to the following conditions:

- The employee has completed at least four (4) years from the full availment of the existing House Finance facility, and all requisite House Finance documentation (including completion certificate, where applicable) has been duly submitted.
- Additional construction and/or renovation shall be allowed up to a maximum of three (3) times during the tenure of the House Finance facility; any enhancements or renovations availed prior to the effective date of this policy shall not be counted towards this limit.
- The enhancement amount shall not exceed PKR 10 million or twenty-five percent (25%) of the initially availed House Finance amount (provided this is within the house finance limit) whichever is lower, subject to meeting the DBR and FSV conditions.

Additional construction and/or renovation shall be permitted only where the prevailing Forced Sale Value (FSV) of the underlying property exceeds the total outstanding House Finance exposure, inclusive of the proposed enhancement.

Disbursement of the approved enhancement shall be made in tranches as follows:

- 30% upon initiation of construction/renovation work
- 30% upon satisfactory progress and completion of the mid-stage of construction/renovation
- 40% upon completion and finishing of the construction/renovation work

14.4.9 Additional Conditions:

- **Deduction of Installments shall be as follows:**
 - In case of purchase of constructed house / apartment, commence after three months of disbursement of finance.
 - In case of construction of the house, commence one (1) year after the disbursement of finance however markup shall be accrued for this period of non-deduction. This markup shall be recovered from Employees subsequently during the tenure of the facility. For financing under Islamic Mode, additional conditions may apply.
 - In case of Additional Construction and Renovation, commence immediately after disbursement of first tranche.
- The forced sale value of the property to be purchased has to be assessed by the Bank's approved architect / appraiser at the expense of the employee.
- Installment shall be recovered from the monthly salary of the Employees. No deduction shall be made in Eid Months; however, markup shall accrue.
- Change of Security shall be allowed only once during the tenure of finance. The overall tenure of finance shall remain same.
- Where, a partial repayment against an outstanding amount of House Finance is made (in excess of 10% of the outstanding amount), the employee may request HCG to revise the monthly installments over the remaining tenure of finance.

14.5 Conveyance Finance

14.5.1 Eligibility

At least 2 years of service will be required to avail the conveyance finance for motor cycles and at least 4 years with a minimum monthly gross salary of 100,000/- for availing car.

14.5.2 Finance Limit

The market price of new vehicle to be financed under Conveyance Finance mode, shall be established by HCG based on the list price available on the respective motor vehicle company's website or on the basis of latest quotation arranged from the authorized dealers.

Whereas, in case of used car, valuation from Bank's approved evaluator shall be required. Grade / Function Wise entitlements shall be as follows:

Grade	Entitlement
AVP-I / AVP-II *	A motor car up to purchase price of New Suzuki Cultus VXR 1000 cc (locally assembled)
OG-IV to OG-I	A motor cycle up to purchase price of new Honda CG125 Or A motor car up to the purchase price of New Suzuki Alto VXR 660 cc (locally assembled)
Clerical / Non-Clerical Employees	A motor cycle up to purchase price of new Honda CD100

** Sr. Branch Manager/Branch Manager at AVP-II or below grades can avail vehicle finance for motor car up to purchase price of New Suzuki Cultus VXR 1000 cc (locally assembled)*

14.5.3 Markup

For Non-Officers Markup Free
For Officers 5% per annum

14.5.4 Repayment

Conveyance financing is to be repaid in 72 equal monthly installments for motor cycles and 108 equal monthly installments for motor cars, or up to the age of 65 whichever is less. If the Employees resigns / retires or his / her services are otherwise terminated before complete recovery of the finance, the amount outstanding shall be repayable / recovered in lump sum including mark-up, if any, immediately before his / her dues are settled.

14.5.5 Security

The vehicle shall be hypothecated to the Bank and the Bank's name shall be endorsed on the registration book.

14.5.6 General Rules

- An employee already availing conveyance finance or SLCL facility, may after period of 3 years from availment of facility, subject to adjustment of the finance, re-avail the finance facility.
- Members of Employees who are provided with Bank's car are not eligible for conveyance finance.
- It is permitted under these rules for an employee to purchase a second hand vehicle provided the following conditions are met:
 - The amount of finance is within the limits set under this policy.
 - The vehicle is not more than five years old.
- Bank shall arrange vehicle insurance for employees on discounted rates. The annual premium for the insurance coverage shall be deducted from the monthly salary of concerned employee in 12 equal monthly installments

14.6 Personal Finance

14.6.1 Eligibility

Personal Finance shall be allowed to all confirmed Regular Employees of the bank. For sales related job families, the eligibility criterion is 1 year service with Bank.

14.6.2 Entitlement

Rs. 1,500,000 or Six (6) months Base Salary (i.e. Basic + House Rent + Medical) whichever is lower.

14.6.3 Markup Rate

5% Per Annum

14.6.4 Repayment

Finance to be recovered in 60 equal monthly installments (no deduction of installment during Eid months)

14.6.5 General Rules

- Topping up may be allowed only once in finance tenure subject to the condition that 2 years have lapsed from the date of disbursement. In topping up cases, total outstanding finance (including the topped up amount) has to be recovered keeping the initial finance tenure intact.
- Upon full adjustment of Personal Finance (before the expiry of the period of finance), it can be re-availed once the total amount is adjusted.
- Applications of Personal Finance shall be considered on case-to-case basis, within the laid down general principles and guidelines
- Sanctioning of Personal Finance shall be subject to DBR requirements under 14.2.2 and completion of finance documents / security documents for already availed finances.
- Waiver of Finance installment shall not be allowed except during Eid months.
- Personal Finance shall not be taken over from previous employer.
- In case of separation from bank's service, the Employees shall be required to immediately settle / adjust the outstanding finance amount or it shall be adjusted from bank's dues such as Gratuity, Provident Fund etc.
- The Bank's CEO retains the discretion to make exceptions to the above stated rules.

14.6.6 Special Clauses

- Existing Personal Finance and / or Furniture Finance shall continue as per terms and conditions of the respective finance till expiry of the tenure as per approval.
- Employees already availing Personal Finance and / or Furniture Finance can take advantage of the revised policy only after:
 - Full adjustment of the outstanding Personal and Furniture finance(s).
 - Subject to meeting the conditions as laid down in revised policy.
 - Already availed finance shall not count towards the number of time restriction.

14.6.7 Mode of Finance:

- **Conventional Mode:** Conventional Mode of the financing as per the above terms & conditions mentioned.
- **Islamic Mode:** IBG Employees only shall avail Personal Finance under Murabaha Mode for General Assets (excluding assets like car and motorcycle) or any other Mode in line with Shariah Guidelines or recommendations by the Shariah Board; the above mentioned terms and conditions shall remain same.

14.6.8 Security

- For Conventional Mode: Demand Promissory Note and Charge Documents.
- Islamic Mode: Shariah Compliant documentation for Murahba mode of financing.

14.7 Self Liquidating Car Finance (SLCL)
14.7.1 Eligibility

Self Liquidating Car Finance facility is allowed for all RVP and above employees (Regular and Contractual both) in lieu of bank maintained car. Officers below RVP shall continue to avail existing Employees conveyance finance facility.

14.7.2 Finance Limit

Grade	SLCL Finance Limit
	(PKR in Mn)
SEVP-II	27.50
SEVP-I	19.00
PEVP	17.00
EVP-III	15.00
EVP-II	11.50
EVP-I	10.00
SVP-II	8.50
SVP-I	7.00
VP-II	6.00
VP-I	4.00
RVP	3.50

- EVP-II & above grade employees can avail 1 or 2 car finances within approved limit.
- AVP-II & below grades employees on following functional positions can avail SLCL Finance facility up to PKR 2.5 Mn
 - AM / RSM Consumer / SME Area Heads / Unit Heads – Audit / TLs – Corporate, IBG Corporate & SAM

14.7.3 Markup Rate

0% Per Annum

14.7.4 Tenure of the SLCL Finance Facility:

- The finance shall be repayable in 84 installments or the remaining period of service, whichever is less.
- Further, the employee, shall have an option to choose a shorter installment repayment period as follows (for new finances only):
 - 48 installments
 - 60 installments
 - 72 installments
- The installment plan shall be fixed at the time of avilment of finance and cannot be changed after disbursement.
- In addition, an installment holiday on each Eid month (i.e. non-deduction of installment) is being introduced. However, the employee may choose to opt-out of the installment holiday facility at the time of finance avilment for new finances (and for existing finances the employees may decide by Dec-2023).

14.7.5 Balloon / Partial payment:

- The employee shall have the option to make a Balloon / partial repayment against the outstanding amount
- The employee may, however, request for revision of the installment provided that at least 10% of the principal outstanding is made as a Balloon / partial repayment subject to completion of finance document requirements.
- The revision in repayment installment shall only be allowed twice in the tenure of the finance.

14.7.6 General Rules

- The bank shall provide monthly car allowance through payroll as per the entitlement of the officer concerned. The monthly car allowance is to facilitate repayment of Finance installment including Mark-Up and cover all car expenses such as insurance cost, repairs & maintenance, registration / road tax or any other expenses related to car.
- The car would thus be owned by the Employee concerned, but it would be registered jointly in the name of the Bank also, to secure the Car Finance.
- On leaving the service of the Bank, the Employee would be required to repay the outstanding car Finance liability and the Bank would relinquish its joint ownership of the car. Moreover, on completion of 7(Seven) years' service from Finance disbursement date, i.e. repayment of the car Finance, the Bank would relinquish its joint ownership of the car.
- New joiners shall be entitled for this facility immediately after joining the Bank.

Provision of the Policy

- The officer shall be allowed to utilize self-liquidating car Finance facility for the purchase of a new car or a second hand car, commensurate with his / her entitlement. In case of second hand car, the Finance amount shall be restricted to purchase price based on quotations and Fair Market Value. The car's model should not be more than 5 years old.
- Officer can always upgrade the vehicle by contributing his / her money in the purchase price of new car. However, the Finance shall be allowed up to the extent of his / her entitlement only.
- If an employee chooses to purchase a vehicle less than the Finance amount available as per entitlement, the available Finance amount shall decrease according to the vehicle being purchased. However, monthly car allowance shall be paid in full, as per employee's entitlement.
- The Finance shall be disbursed subject to completion of Finance documentation formalities which shall be advised separately by Human Capital Group. The car shall be under joint registration till the Finance is fully adjusted.
- A change of security shall be permitted only once during the tenure of the finance facility, subject to the employee providing documented and valid justification, including major or recurring mechanical or electrical issues or accident; the Bank shall have the right to appoint an independent evaluator to verify the reported damage or issues.
- In case of promotion of the employee, fresh Finance shall be allowed as per new entitlement, after repayment of existing Finance in full and subject to change of car.
- The Bank shall allow advance against annual premium for car insurance coverage with the consent of employee, which shall be deducted from the monthly salary of concerned employee.
- The employee shall be responsible for maintenance, road tax and other levies / taxes as imposed by the Government from time to time.
- At no point in time, officers shall be eligible to have two car Finances. Those who have availed Employees conveyance finance facility shall be required to adjust the outstanding Finance, prior to the availment of self-liquidating car Finance.

14.8 Credit Cards

Bank Alfalah Employees are eligible to hold Alfalah Credit Card on a concessional rate of mark-up @ 25% per annum, on outstanding Balance. The rate of markup is subject to the change by the Management.

The CEO may be authorized to change the above markup rate between the brackets (18% - 25% per annum) based on the monetary policy.

14.9 Green Energy Product

Alfalah Green Energy Product is an alternate Energy / Green energy financing product introduced under the guidelines of SBP's revised financing scheme for renewable energy (Category II).

This product is being offered to employees at a concessional rate of 4% per annum with no down payment. The tenure of the facility shall be 5 years with 3 months grace period. All other terms and conditions shall be as per Alfalah Green Energy product.

In case of separation of employee, for whatsoever reason, the facility shall convert into commercial lending and rate of 6% per annum shall be charged from the date of separation.

14.10 Recovery of Finances

In addition to regular Finance installment, Bank Alfalah reserves the right to set-off any overdue Employees Finances and credit cards or any dues of the bank appearing on Employees name from Employees' bonus / arrears or retirement benefit amount.

CHAPTER 15. INTERNAL COMMUNICATION

15.1 Introduction

Bank Alfalah believes in promoting open, direct and honest communication among all units and individuals of the Bank. Towards this end, a number of initiatives have been launched, as described below. Efforts shall continue to open up new channels of communication as and when feasible. All employees are encouraged to make use of these initiatives and channels to keep themselves informed of what is going on in the Bank, as well as to enhance their professional skills and knowledge, aimed at furthering their careers.

Branches and units are to assist and encourage Bank's employees in using internal communication facilities. Overall performance of branches / units is greatly enhanced by engendering a culture of caring and sharing and opening channels of internal communication. It is suggested that branch management committees in all branches take special measures to encourage internal communication within the unit and with other units of the Bank.

15.2 Bank's Website

The Bank's website has a link to the Alfalah Intranet, intended to serve as the internal store-house for all commonly used information like Internal Circulars, SBP circulars, Employee Service Rules, Alfalah Newsletter etc. All this information shall be organized and updated by concerned Head Office Divisions / Departments. All employees are encouraged to visit the Intranet Site frequently to keep themselves abreast of day to day activities of the Bank's various functions.

15.3 E-Mail Facility

In the interest of speed and efficiency, employees should start using e-mail instead of courier / telephone, wherever feasible. While using e-mail facility, e-mail guidelines issued by the I.T. Division must be adhered to.

15.4 Monthly Branch / Unit Meetings

All Branches and Units of the Bank should hold monthly meetings involving all Employees during the first week of each month. Large branches / units may hold these meetings broken department wise. Management of branches and units should arrange to draw agendas of these meetings in advance and get minutes prepared for each meeting.

Objectives of these meetings are to:

- Encourage mutual interaction and team work
- Focus on areas of work that need improvement, like customer service, process flow, expense control, working conditions etc.
- Encourage evolution of a positive culture within the branch / unit.

15.5 Employee Portal

Bank Alfalah's Employee Portal is the gateway to the latest information about the Bank and a way of bringing employees closer to members of the Bank Alfalah family. The portal has been created to bridge the communication gap between HCG and the employees and to facilitate at workplace. Whether Employees wants to share their views on a topic or access the latest information about the Bank, with the employee portal it is just a click away.

CHAPTER 16. DISCIPLINE

16.1 Purpose

The purpose of Disciplinary Policy is to ensure prompt, consistent and fair treatment for all employees and to assist in enabling both the employee and the Bank's expectation to be on both sides.

It aims to provide bank's employee a fair, clear and useful tool for correcting performance problems, as well as to provide a process to assist management in handling instances of unacceptable personal conduct and misconduct.

All provisions of Performance Management System, equal employment opportunity and other related policies shall be complied with in implementing and evaluating the fair and just delivery of appropriate disciplinary actions.

16.2 Policy

All disciplinary actions are taken in accordance with the approved policy and are for a just cause under one of the following categories:

- Unsatisfactory job performance, including gross inefficiency
- Unacceptable personal conduct
- Zero tolerance for cases of fraud / forgery and password sharing
- Any other kind of misconduct

The ultimate goal of disciplinary policy is to improve performance and compliance in liaison with organization standards by correcting unsatisfactory behavior. Nevertheless, the role of management in fostering growth and understanding is an important part of creating a positive work environment and promoting positive behavior.

16.3 Disciplinary Action (DA)

Deviations from the standard norms of discipline require corrective and reformative action to ensure deterrence as well as control in the organization.

Any act of violation and or deviation of the rules and regulations set in by the Bank or improper conduct, tantamount to misconduct necessitating Disciplinary Action.

16.4 Accountability of Employee

Employees shall faithfully and punctually account to the Bank or its authorized officials for all moneys, drafts, securities, account books, registers, papers, vouchers, writings, goods and chattels or other property, which they may receive as employees of the Bank on behalf or on account of the Bank or of any member of the Bank.

16.5 Policy and Procedure relating to Disciplinary Action

During the course of normal business, instances occur where cases of fraud / forgery / misappropriation / embezzlement / negligence / unauthorized absence / loose control / submission of fake or altered documents etc. with or without malafide intentions are reported. Therefore, in order to safeguard bank's interest, it becomes necessary to initiate the process of disciplinary action against involved / delinquent employee(s) of the Bank. Human Capital Group shall arrange timely processing of disciplinary action case and conducting of domestic inquiries into the charges leveled against Employees with any of the offences listed below under the heading of "Grounds for Disciplinary Action".

16.6 Grounds for Disciplinary Action

Where an employee is found involved in:

- Willful insubordination or disobedience, whether alone or in combination with others, to any lawful and reasonable order of a superior.
- Theft, fraud, or dishonesty in connection with the employer's business or property.

- Willful damage to or loss of employer's goods or property
- Taking or giving bribes or any illegal gratification
- Habitual absence without leave or without prior permission of competent authority for more than ten days
- Habitual late attendance
- Habitual breach of any law applicable to the establishment / Bank
- Riotous or disorderly behavior during working hours at the establishment / Bank
- Any act subversive of discipline
- Habitual negligence or neglect of work
- Striking work or inciting others to strike in contravention of the provisions of any law, or rule having the force of law.
- Go-slow
- Frequent repetition or disregard and disobedience of rules or orders, making false and misleading statements, inefficient, dilatory, drunkenness, careless or wasteful working or malingering
- Money laundering or aiding or abetting thereof
- Sharing of password & security aspects in the banking system
- Use of the political or other outside pressure / influence, with intent to induce the authorities / superior officers in respect of any matter relating to the appointment, promotion, transfer, punishment, retirement or for any other terms and conditions of employment
- Refusing to receive any official Memorandum or communication addressed to the employee by the Bank
- Workplace Harassment and altercation & use of abusive language
- Un-authorized interaction with Media and maligning the Bank for personal grievances against Management / Bank
- Participation in political activities / contesting elections of Local Body, Provincial or National Assembly, without approval of the Bank
- Concealments of the facts / factual position from the Management
- Making commitments on behalf of the Bank beyond the scope of the delegated Authority
- Making commitments known to be detrimental to the interest of the Bank
- Engaging directly or indirectly, without the Bank's permission in any other business, employment or paid occupation, whilst in the services of the Bank
- Divulging of confidential or other secret matters likely to affect the Bank adversely
- Insider trading (illegal transactions made on basis of privileged information, particularly trading in stock & shares, whose value is likely to be affected by the release of news, of which only a few people are aware of)
- Parallel Banking (Any activity by an individual that he / she carries out in his personal capacity, which he / she actually should have performed on behalf of the Bank)
- Violation of customer mandate
- Allowing of credit facilities in excess of limit / without / before approval of the Competent Authority
- Benefit availed / allowed without approval / over prescribed limits
- Accounts debited without customer's Authority letter
- Regulatory violations leading to penalties by SBP / other concerned Authority
- Non-deduction of Government levies & late deposit with the Government Treasury
- False rectification of objections reported to the Management on issues raised by Audit / Compliance & Business Solutions Group
- Use of unfair means in any Diploma / test Submission of fake, fabricated & false documents / testimonials such as Medical Bills, Birth Certificate, Degrees and other such Documents / Certificates etc.
- Unauthorized approval of Credit / Finance facility for relative (through blood or marriage)
- Creation of unauthorized Overdraft with malafide intention
- Careless / casual handling of mandatory requirements i.e. Account Opening Forms and Introduction etc.
- Violation of dual Control Policy
- Lend money in his / her private capacity to a constituent of the Bank or have personal dealings with a consultant in the purchase or sale of Bills of Exchange, Government paper or any other securities
- Violation of Bank's Code of Conduct & Rules & Regulations.
- Habitual indiscipline
- Any other improper conduct.

16.7 Competent Authority to initiate Disciplinary Action

Upon receipt of investigation report from Fraud Investigation Unit (FIU) of Audit & Inspection Group / FRMU of Internal Controls Division, Group Head Human Resource & Learning Group / Head Employee Relations may authorize initiation of disciplinary action below EVP-II. All Show Cause / Enquiry notices / suspension / termination / dismissal letters and all other related correspondence or incidental documents shall be signed by Group Head Human Resource & Learning / Head Employee Relations / Unit Head Employee Relations / Sr. Manager Employee Relations or any other officer officiating in their absence.

For EVP-II and above, CEO shall authorize initiation of disciplinary action and formation of Enquiry Committee. However, show cause / enquiry notices / punishment letters shall be issued and signed by the officials as mentioned above.

16.8 TIMELINES

All efforts shall be made to complete the DA Process, within the Timelines, specified in the below given table. However, deviation shall not render the disciplinary action as vitiated except where statutory limitation applies for workman cadre.

SEQUENCE OF ACTION	TIME LINE
Time line starts for DA upon receipt of Investigation Report from FIU / FRMU in cases of fraud, embezzlement, attempted fraud etc. In other cases like un-authorized absence, fake educational document, negative verification of antecedents etc., the time line starts upon receipt of complaints, duly completed in all respects, from the concerned Groups / Divisions / Departments.	
Issuance of Show cause, including mailing period / vetting by Legal counsel / legal Affairs Division HO.	30 Days
Time to Accused to respond / defend the charges leveled in the Show-cause Notice.	5 Days
In case of satisfactory reply – closure of case with the approval of DAC without conducting domestic inquiry.	7 Days
If the reply from the accused Employees is found unsatisfactory or if it is not received within the stipulated period, ER shall request the department asking for DA to nominate a prosecution officer who shall prepare the case / gather evidence to prove the allegations on behalf of management in the Domestic Inquiry.	7 Days
HCG / The Inquiry Officer / Committee shall issue notice to the accused advising him / her the schedule of inquiry i.e. Date, Time & Venue.	10 Days
Inquiry Proceedings should be conducted on a day-to-day basis and Inquiry Officer / Committee shall submit a report to ER, HCG for subsequent submission to Disciplinary Action Committee (DAC). (Adjournment to the reasonable extent may be provided to the Accused in exceptional cases)	15 Days
Finalization of the Case and communication of the decision to the Accused (for submission to DAC).	10 Days

If the case is not likely to be completed within above timeline, Head Employee Relations may request Chief Human Resources Officer to extend the timeline.

16.9 TORs of Disciplinary Action Committee (DAC)

The committee approved by CEO is empowered to take final decision in cases where disciplinary action is called for against an employee of the Bank below EVP-II.

The Chief Executive Officer of the Bank can appoint any other Executive of the Bank as a member of the Committee and / or replace any member with another Executive.

Quorum in a meeting shall complete if three members are present, one of whom must always be the Chairman / Chairperson. In the absence of Chairman / Chairperson, Alternate Chairman / Chairperson shall preside over the meeting.

The Committee is also empowered to oversee disciplinary action matters related to all Bank Alfalah overseas operations. However, final decisions shall be taken in line with requirement of local labor laws and regulatory aspects where applicable.

Head Employee Relations / Unit Head Employee Relations / Senior Manager Employee Relations or any other officer nominated by Chief Human Resources Officer (for meetings at Karachi & Lahore or any other location) shall serve as Secretaries of the Committee. In the absence of Secretary, person nominated by Chairman / Chairperson shall officiate as Secretary of DAC.

Decisions may be taken by consensus or if any member has a view different from other member(s), he / she should express that in writing. In case of any member record a dissenting decision, majority's view would prevail.

If any member of the disciplinary committee is a party in the complaint or as proceeding progresses, this becomes clear that he / she is likely to be an aggrieved party or if a case pertains to any Dept / Area / Division headed by member of Disciplinary Action Committee, he / she should not attend disciplinary committee meeting and should abstain himself / herself from taking part in decision making process.

16.10 Process Flow for handling of disciplinary action case (Pakistan based Employees)

- I. Cases for disciplinary action shall be initiated against the delinquent officer / executive after being reported from the branches, Area Offices, Regional Office, HO Departments / Divisions to Human Capital Group as soon as any incident takes place.
- II. However, cases of fraud or attempted fraud should be referred to Fraud and Investigation Unit of Audit & Inspection Group immediately. In such cases, disciplinary process shall commence from the date of receiving FIU report at HCG.
- III. The respective department / business group shall decide as to whether the accused employee / s need to be suspended from service or removed from the place of duty and shall issue written instructions to this effect with the permission of Human Capital Group.
- IV. In case of fraud, forgery, misappropriation, embezzlement, theft, where integrity issue is involved, in order to strengthen the Bank's case where all documentary and circumstantial evidences are available, it is mandatory to suspend / remove the delinquent / involved Employees immediately by his / her Manager under intimation to Human Capital Group. However, the formal suspension letter shall be issued by HCG.
- V. During the investigation process or pending inquiry, the offending officer / executive may be suspended for a maximum period of ninety days by an order in writing. The suspended officer / executive shall not attend the office / work place unless specifically directed to do so. During the suspension period, the said officer / executive shall be entitled to 50% of his gross monthly salary excluding any special allowances (if any he was entitled). On contrary in case of exoneration, officer / executive shall be entitled for payment of withheld 50% gross salary. However workman cadre (clerical and non-clerical) may be suspended pending enquiry and not before unless compelling circumstances exists. During such suspension, the workman shall be entitled to full salary. Suspension shall be for one week at a time up to a maximum of 28 days.
- VI. Considering the actual facts, a show cause notice under proper acknowledgement be served within 30 days of the date of misconduct or the date of misconduct coming to the knowledge of the Management.
- VII. Show cause notice should preferably be served to the concerned Employee personally if he / she is attending the office, otherwise, it should be sent through registered post / Courier at his / her correct and full last provided address available in Bank's records. Accused Employees should respond with a written response / explanation within 5 days from the date of issuance of show cause letter.
- VIII. In cases where the response of accused employee deemed satisfactory, such cases should be closed within 7 days of receipt of employee's written response / explanation, with the approval of DAC without conducting domestic inquiry. However, subject to unsatisfactory reply or non-submission of reply within stipulated time, domestic inquiry shall be conducted. Human Capital Group shall appoint the inquiry officer / Inquiry Committee.
- IX. The inquiry officer / Inquiry Committee should not be below the rank and status from accused / defendant. The inquiry officer / Inquiry Committee and the authority empowered to issue Show cause and impose punishment, should be different persons.
- X. The inquiry officer should have no personal bias against the delinquent employee, nor should be personally connected with the incident.
- XI. The domestic inquiry may preferably be conducted at the place where the incident took place.
- XII. The department requesting Human Capital Group for initiating the disciplinary action shall nominate the Employees of the Bank as prosecutor who shall present and plead the Bank's case before the inquiry officer / Committee by producing documentary evidences and witnesses (if any) involved in the case.
- XIII. After being nominated, HCG / Inquiry Officer / Committee shall issue notice to the accused Employees, advising him / her schedule of inquiry i.e. Date, Time & Venue.
- XIV. The Inquiry Officer / Committee shall conduct impartial proceedings and allow both sides to record their statements, to produce documentary evidences and witnesses (if any) in favour of their respective cases starting with Prosecution / Management Representative's evidence. Both parties shall also be allowed to cross- examine each other and also witnesses. The whole proceedings shall be recorded in writing and gotten signed by both the parties i.e. prosecutor and defendant along with Inquiry Officer / Committee. Inquiry Officer / Members of the

Inquiry Committee shall not cross-examine the prosecution or the accused, however they may put clarification question(s). The inquiry committee should conclude the proceedings and submit a report within 15 days of the initiation of the inquiry.

- XV. The findings should be recorded giving reasons for the decision on each item of the charge, stating why Inquiry Officer / Committee agree or disagree with the accused employee's contention on each of the charges.

16.11 Ex-Parte proceedings / inquiry

- If the employee / defendant fails to report for the inquiry at the appointment time, date and venue, the Inquiry Officer / committee should first satisfy himself / themselves as to the proof of the service of the notice of inquiry on the employee.
- Ordinarily ex-parte enquiry should not be done on the first absence and in order to meet the ends of natural justice, Inquiry Officer / Inquiry Committee should issue second letter of enquiry to the defendant.
- If again the defendant does not attend, the Inquiry Officer / Inquiry Committee after satisfying that due service of the letter of enquiries was made, order to proceed with the enquiry ex-parte.
- After the conclusion of the inquiry proceedings, the Inquiry Officer / Committee is required to submit their findings in the form of Inquiry Report as to whether or not the charges leveled against the defendant are proved by the evidences recorded at the inquiry.
- The findings should be recorded giving reasons in brief for the decision on each item of the charge. The proceedings of the inquiry along with report should then be reviewed by Human Capital Group and recommend decision to be taken to the Disciplinary Action Committee.

16.12 Communication of Decision

The final decision of the Disciplinary Action Committee in writing should be communicated to the concerned employee by Human Capital Group. In case, if he / she is not present or refuses to accept the order, it should be sent to him / her by Registered post and courier on his / her full correct address, as provided by him / her in the service record. The order should be communicated as expeditiously as possible.

The competent authority, in its sole discretion and without limitation, may impose on him / her one or more of the following punishments / penalties:

16.13 Punishments / Penalties Consequential to Disciplinary Actions

On a person in the workman cadre:

- Fine in the manner prescribed under the Payment of Wages Act, 1936 up to five percent of the wages payable to him in a month;
- Withholding of increment or promotion for a specified period not exceeding one year;
- Reduction to a lower post; or
- Dismissal without payment of any compensation in lieu of notice.

On a person in the officer & executive cadre:

- Letter of reprimand / written warning
- Fine of an amount decided by the competent authority in its discretion
- Reduction to a lower post
- Withholding of promotion for a specified period;
- Dismissal without payment of any compensation in lieu of notice and involving permanent disqualification for future employment in the Bank and forfeiture of Gratuity and bank's contribution of Provident Fund (at the discretion of the competent authority)
- Termination of services
- Withholding or stoppage of increment / annual increase or performance & fixed bonus including ASPIRE Bonus (not exceeding one year)
- Compulsory retirement
- Reprimand
 - A written warning shall be the first type of Disciplinary action for unsatisfactory job performance.

- It must specifically state that the document is a 'written warning' to distinguish it from some other types of non-disciplinary action such as counseling, guidance or directions.
- Must tell the specific performance or conduct deficiencies, omissions or issues that are the basis for the warning (supporting just cause)
- Must tell specific performance or conduct improvements that must be made.
- Must tell the time frame within which the employee has to show improved performance or conduct. (In matters, which are issues of unacceptable personal conduct, the supervisor may require that the conduct not be repeated. A maximum of 60 days is considered a reasonable timeframe for performance improvement)
- Must state the consequences of failing to make the required improvements or correction (i.e., further disciplinary action, dismissal, etc.)
- A copy of the final warning should be provided to the employee, a copy is to be retained in personal file of the Employees and a copy maintained in the supervisor files.
- **Demotion:**
 - An employee may be demoted for unsatisfactory job performance, grossly inefficient job performance, or unacceptable personal conduct. An employee can be demoted for a current incident of unsatisfactory job performance after the employee has received at least one prior warning or disciplinary action. An employee can be demoted for grossly inefficient job performance or unacceptable personal conduct without any prior warning or disciplinary action.
 - Demotion may be implemented using either grade / Grade change or pay change.
- **Dismissal:** (In case of direct involvement proved through Domestic Inquiry)
 - In case of dismissal, Gratuity / Provident Fund (PF) contribution by the Bank towards retirement benefits shall not be allowed and the employee shall only be paid his own PF contribution subject to adjustment of his liabilities.
- **Termination:**
 - In case of termination the employee should be entitled for own contribution as well as Bank contributions towards the retiring benefits and Gratuity as per eligibility criteria mentioned in the bank policy.
- Other Punishments to be imposed according to the gravity of the misconduct.

16.14 Appeal / Application and Petition for Review

- The aggrieved may submit appeal or application for review to appellate Authority i.e. Chief Executive Officer / President, within 30 days from the receipt of the punishment order.
- CEO, based on recommendation of Review Entity approved by CEO, may amend the punishment awarded by DAC / or reject the appeal as the case may be, within 30 days from the date of receipt of appeal.
- The orders of the authority should be communicated by HCG to applicant in writing within 7 days of decision.

16.15 Bank's property in custody of employee

The Bank's property (e.g. accommodation, car, motorcycle, house, PC / laptop, mobile phone etc.) which has been in use / custody of an employee (who is retiring, resigning or is under discharge or dismissal / compulsory retirement) must hand over to a duly authorized representative of the Bank, on or before the employee's last working day, unless another date has been approved in writing by the Bank.

16.16 Legal proceedings

Legal proceedings against those involved in fraud, misappropriation or embezzlement of funds may be initiated by the concerned department / Division / Group with the approval of Management if the Financial loss to the Bank is not recovered from the delinquent / involved Employees.

FIRs duly vetted by the Legal Division, should be lodged by the concerned business group / division in cases of Dacoities / Robberies (with Police) or Fraud & Forgery / Misappropriation / Embezzlement (with NAB / Police / or any other Law Enforcement Agency assigned for the job). FIRs should be lodged expeditiously in due course after reporting of the incident of dacoity / robbery, where claim for the recovery of loss is to be filed with concerned Insurance Company.

FIRs may not be lodged in case full recovery of the defrauded amount is made within 15 days from the date embezzlement. Similarly, Management may decide not to lodge FIRs where the defrauded / embezzled amount is less than Rs.100,000 / -.

FIR may also be lodged against outsiders (may be A / c holder / s) if found involved in the fraud, though our Employees is found negligent. In case of full recovery is made within 30 days, FIR may not be lodged.

16.17 Framework for Handling Disciplinary Action Cases for Overseas Locations:

- The commission of misconduct (fraud / forgery / violation of policies & procedures or code of conduct or any other misconduct) at overseas operations shall be reported to Head Employee Relations (ER) / Chief Human Resources Officer by respective Country Head / Manager / HCG Manager or any other senior executive, directly or through International Business.
- Head ER upon receipt shall review the case in detail and shall discuss it with Country Head / Manager to decide further course of action in line with labor laws and regulatory requirements of the host country, if any.
- Countries, which adopted HO HCG Policy Guidelines, necessary disciplinary action shall be initiated in accordance with guidelines provided in Chapter 16.
- Head ER and Country Head / Manager with prior approval of Chief Human Resources Officer shall decide whether delinquent Employees needs to be suspended / repatriated / removed from present assignment / place of posting till completion of disciplinary action (i.e. show cause / charge sheet, reply, inquiry, final decision), where applicable.
- Upon completion of necessary inquiries and submission of report by the enquiry officer / committee, Head Employee Relations shall present the case before disciplinary action committee for final decision.
- Committee after deliberations shall decide the final action against the delinquent employee keeping in view requirements of local laws and applicable punishments / penalties in consultation with Country Head / Manager. Decision shall be communicated to the employee concerned by respective Country Head / Manager / Head ER.
- Aggrieved employee (posted at overseas locations from HO or locally hired) shall have the right of appeal as per clause 16.14 of HCG Policy Guidelines or as per country local laws, if allowed.
- Minor misconducts shall be handled by Country Management in consultation with Head Employee Relations

16.18 Process of handling legal cases

- Being aggrieved to the Bank's decision as a result of Disciplinary Action / any other adverse action, in case, a case is filed against the Bank before any Courts or any other competent forum by the Bank's employee / ex-employee, Chief Human Resources Officer / Head Employee Relations should immediately intimate the matter to the Legal Division on receipt of notice received from the Court / any other competent forum.
- Complete details with all the relevant documents pertaining to the particular Disciplinary case(s) is to be shared with Legal Division for their perusal and advice.
- Accordingly, nomination of the external Legal Counsel is sought from the Legal Division. Legal Division is to facilitate negotiation of professional fees with the nominated Legal Counsel depending on the nature of case(s).
- HCG to coordinate with the concerned department for timely payment to the appointed lawyer against the original invoice received from Lawyer / Law Firm. Lawyer's professional fees shall be charged to the cost center of the concerned department / division / group.
- HCG to coordinate and provide complete details with all the relevant documents pertaining to the particular Disciplinary case(s) to the appointed lawyer.
- HCG under the guidance of Legal Division shall remain in contact with appointed lawyer and from time to time provide necessary support in providing documentary evidences. HCG shall coordinate with the concerned Branch / Area / Division with whom the case is pertains to, for the production of Bank's witness (es) before the Court, where necessary.
- HCG to maintain MIS of all the litigation cases emerged out of disciplinary actions, filed by and against the Bank's employee(s).
- Filing an appeal against the adverse Order of the court or if an employee / ex-employee files an appeal in the appellate forum against the Court Orders, HCG shall adopt the same procedure as defined under this policy.

CHAPTER 17. RESIGNATION, TERMINATION & RETIREMENT

17.1 Resignation

- A confirmed employee may resign from the Bank's service upon giving prior written notice to the Bank as per the terms of their employment, failing which he / she shall be liable to pay the Basic Salary in lieu of unserved notice period. Job family wise details of notice period is as follows:

Job Family	Notice Period
Sales job families: Business Development Officers Collection Officer Recovery Officers Consumer Sales Officers (Autos, Personal Finances, Credit Cards and Acquiring) Any other job family as per requirements of the Bank with the approval of President	1 month
All other job families	3 months

For employees with 90 days' notice period in terms of their employment contract, the notice period can be adjusted against accrued Privileged Leave Balance up to maximum of 45 days and for 30 days' notice period, the maximum admissible adjustment of PL Balance is up to 15 days.

The leave adjustment condition shall be applicable subject to serving at least 1 month notice period for employees with 90 days' notice period and at least 15 days for employees with 30 days' notice period.

In addition, the employees serving notice period may avail casual leaves or sick leaves subject to approval from line manager for any emergency.

No encashment of remaining Balance except in conditions defined under Leave Management chapter would be allowed.

Management may waive notice salary to suit bank's requirement. However, in this situation, salary shall only be paid up to the last working day and not till the expiry of notice period.

- During probationary period, an employee can resign at any time without notice and in the event of such resignation the employee shall be entitled only to the remuneration at agreed rate of salary for the time actually employed.

17.2 Termination

17.2.1 Confirmed Employee

Services of a confirmed employee may be terminated by the Bank without assigning any reason by giving 90 / 30 days' notice in writing or on payment of 90 / 30 days' Basic Salary, in lieu of notice period. No adjustment of leave shall be done in such case.

17.2.2 Employees Under Probation

During probationary period, services of an employee may be terminated at any time without notice and in the event of such termination the employee be entitled only to the remuneration at agreed rate of salary for the time actually employed.

17.2.3 Unauthorized absence from duty

When an employee remains absent from his / her duty without proper authorization, or fails to return for duty within specified period mentioned in the written notice issued to him, he / she shall be liable for disciplinary action which may include termination of service. The said written notice shall not be for a period of less than one week from the date of dispatch of a letter by registered post or via reputable courier service at the employee's last recorded address.

17.3 Conditions for retirement

- All permanent employees (other than Supervisors, Clerical and Non-Clerical) shall retire from the Bank's services upon attainment of 65 years of age. However, in certain circumstances, on personal reasons, employees may seek early retirement from Bank's Services upon reaching 60 years of age, subject to at least 10 years of continuous service with the Bank.

However, non-officers (Supervisors / Clerical / Non-Clerical) shall attain retirement on 60 years of age and they may seek early retirement upon attaining 58 years of age subject to at least 10 years of continuous service with the bank.

The CEO may allow the request of early retirement at his discretion. In case of early retirement, said employee shall be entitled to all retirement benefits till the last working day.

The change in retirement age is effective 1st February, 2023.

- The Bank's management may, at its discretion, re-employ an employee after his retirement on contractual basis for a defined period with the approval of CEO or the Board as the case may be.

17.4 Exit Formalities

Following exit formalities shall be completed before issuance of release letter:

#	Details	Responsible of completion
1.	Submission of Resignation through Oracle HCM	Employee, Immediate & next level supervisor
2.	Settlement of outstanding liabilities from end services benefits with up-to-date markup if any	Line Management / HCG
3.	Surrender of Bank's ID Card	Employee / Line Management
4.	Handing over & Taking over	Line Management
5.	Cancellation of all system IDs and IT related rights	Line Management / ITG / CUARM Operations
6.	Surrender of Bank's assets i.e. laptop / Cell phone / iPad / Car etc.	Line Management / Corporate Services Div.
7.	Cancellation of Credit Card / change of employer / recovery	Consumer Finance
8.	Issuance of Acceptance of Resignation Letter	HCG
9.	Intimation to Insurance Company for Deletion on fortnightly basis	HCG
10.	Cancellation of Power of Attorney (If Any)	HCG / Line Management
11.	Payment of dues i.e. PF / Gratuity (if any) after settlement of all outstanding liabilities	HCG
12.	Issuance of Release Letter / Service Certificate after completion of all exit formalities	HCG
13.	Exit Interview	HCG

**The above list may be amended with the approval of Chief Human Resources Officer in case of change of procedures or due to re-organization of functions*

17.5 Handing Over / Taking Over Procedure

Line Management shall ensure proper handing over / taking over with the outgoing employees before last working day.

CHAPTER 18. SUCCESSION PLANNING POLICY

18.1 Definition

Succession Planning is the process of systematically identifying all key positions within Bank Alfalah (especially those which are likely to fall vacant or to open up in the near future due to promotion, resignation or retirement). The next stages in the process are to select and then to prepare candidates from within the Bank of these positions.

18.2 Summary Benefits

The primary benefit of succession planning is that a sequence of personnel actions is initiated so that one or more candidates are identified for each key position in advance of actual need. This prior identification permits opportunities for mentoring and developmental activities to improve their readiness to succeed to specific positions. The benefits of succession planning are:

- Bank Alfalah would grow its own future managers rather than recruiting outside the organization. These managers shall be fully conversant with the organizational culture prevailing at the Bank.
- The learning curve for future managers to prepare for meeting challenges of higher responsibility shall shorten.
- Commitment and loyalty among officers aspiring for higher positions shall increase. Morale and motivation shall also be enhanced, while Employees turnover shall go down.

18.3 Key Elements of the Succession Planning Policy

Bank Alfalah Succession plan to achieve its goals, the following key elements are to be incorporated in its design:

- CEO and top management support
- Integration with strategic business planning and projected changes in the organization
- Identification of critical management positions, skills required for incumbents and gaps in management succession
- Time lines for filling succession gaps for organizational and individual needs
- Job profiling to identify critical competencies for effective performance in specific jobs
- A system for communication of the succession planning process to field management
- A system for identification, nomination and selection of successors, based on a review of the data on all potential candidates, including appraisals of performance and potential, experience and skills, education, salary history and personal career goals
- Determination of training, development and experience needs of candidates, including a system for monitoring, feedback and modification of such development plans
- A review of transfer and placement needs at the point in time when those individuals are ready to advance

18.4 Critical Positions to be Focused

Bank Alfalah Succession Plan is to focus on three levels of management personnel in the Bank.

The following shall be the levels:

- **Level 1 (L-1):** CEO's Direct Reports
- **Level 2 (L-2):** One Downs of CEO's Direct Reports
- **Level 3 (L-3):** SVP-II & above
 - Business Heads
 - Branch Operations Heads
 - Regional Business Heads of Retail & IBG
 - Regional Operations Heads

Succession Planning shall be overseen by Human Capital Group. In addition guidance and training towards this end shall also be provided by HCG.

18.5 Talent Pool

A Talent Pool of Bank Alfalah comprising of High & Medium Potentials shall be provided with the training and development plans to enable them to succeed to the positions of higher responsibility.

18.6 Training and Development Needs

Human Capital Group, in consultation with Senior Management of the Bank, shall draw Training & Development plans for all officers nominated as successors, as well as those placed in the Talent Pool.

18.7 Steps Towards Implementation

The following step by step plan is suggested for the implementation of Bank Alfalah Succession Planning Program:

- Human Capital Group to institute a succession planning framework for L-1, L-2, and L-3 positions.
- Human Capital Group shall review & monitor progress of succession planning program and shall have the authority and responsibility to make decisions regarding ratification / nomination of Bank Alfalah Employees as successors, as well as nomination of the talent pool. It shall also have the authority to place Employees nominated as successors, as well as those in a talent pool, in managerial positions.
- A Talent Pool is to be established consisting of potential candidates for managerial positions. Employees placed in Talent Pool should also be available for assignment for vacant successor positions within their existing Branches / Units / Areas or in other units throughout the network.
- Training needs are to be identified, training programs developed (or identified externally) and conducted for officers nominated as successors or placed in the Talent Pool.
- Human Capital Group is to periodically measure the success of the succession planning program and process. A review and audit process should identify supply & demand, and verify what is working and what is not. It should also track career paths of officers nominated as successors, as well as those in the Talent Pool.

CHAPTER 19. GRIEVANCE HANDLING POLICY

19.1 Definition

Bank Alfalah strives to create and maintain a work environment in which Employees are treated with dignity, decency, respect and fairness. Employees of the Bank should be able to work and learn in a safe, yet stimulating atmosphere. The accomplishment of this goal is an essential element of Bank Alfalah's corporate culture. The environment of the Bank should be characterized by mutual trust and goodwill; as well as the absence of unfair treatment, discrimination, intimidation, oppression or harassment.

19.2 Scope of Policy

19.2.1 Grievance

Misunderstanding or grievances can arise in any organization. Most incidents that give rise to misunderstanding or grievances, resolve themselves naturally and no formal complaint is required. However, should an employee genuinely feels that he / she has been subjected to discrimination, victimization, unfair treatment, bullying & harassment, intimidation, or treated unfairly in the matter of performance appraisal and promotions, the employee should follow the procedure set out below for bringing his / her complaint to the attention of the Bank's Management.

19.2.2 Whistle Blow

Bank's grievance handling policy covers any employee related concerns and problems which may affect an individual employee personally and directly, details as mentioned above. It is distinct from the Bank's Whistle Blow policy which governs instances that is deemed illegal, unethical, or not correct within an organization such as fraud, forgery, misappropriation, theft, embezzlement, corruption, dishonesty, collusive practices, misrepresentation, concealment of facts, sharing of confidential information etc.

19.2.3 False Accusations

It may be noted that making false accusations or maliciously attempting to malign other employee(s) of the Bank would be considered an abuse of the policy and may result in appropriate disciplinary action against the complainant.

19.2.4 Treatment of Complainant

An employee electing to utilize the grievance resolution procedure shall be treated courteously, and confidentiality shall be maintained as far as possible. No employee shall be subjected to any harassment or hardship for making a bona fide complaint.

19.3 Grievances Committee

The following region wise committees are empowered to deal with Employees grievances:

- Region South

1. Mr. Faisal Rashid, Head FI & Home Remittances	Member
2. Mr. Imran Assad Khan, Head Branch Banking Operations	Member
3. Ms. Beena Fawad, Head Corporate Credit Risk	Member
4. Ms. Sara Shami, Head Service Distribution & Digital Adoption	Member
5. Mr. Ghulam Shabbir, Head Employee Services & People Risk	Member
6. Mr. Mohammed Nasser, Unit Head Employee Relations South	Member / Secretary
- Region Central & North

1. Mr. Muhammad Umer Farooq Mallick, Head Rewards & Financial Services	Member
2. Mr. Hammad Ahmad Tarar, Head Talent Acquisition & Advisory	Member
3. Ms. Hirra Habib, HR Business Partner Central East & West	Member
4. Mr. Adeel Khalid Bhatti, Unit Head Employee Relations Central & North	Member / Secretary

19.4 TORs of Grievances Committee

- The grievance committee approved by CEO is empowered to review findings of grievance investigation report and submit recommendations to Chief Human Resources Officer for final decision.
- Chief Human Resources Officer shall be considered the competent authority to take final decision on grievance cases. All decisions taken by Chief Human Resources Officer shall be final and binding.
- CEO can appoint any other executive of the Bank as a member grievance committee and / or replace any member with another executive.
- Quorum in a meeting shall complete if three members are present, and the recommendations of the committee may be taken by consensus.
- The grievance committee is also empowered to assign the responsibility of grievance investigation to Unit Head / Senior Manager ER, BHRPs or any other Bank's Employees or may constitute grievance investigation team.
- Unit Head and Senior Manager ER or any other officer from HCG (for meetings at Karachi, Lahore or any other location shall serve as Secretaries of the Committee). In the absence of secretary, any official nominated by Chief Human Resources Officer shall officiate as Secretary Grievance Committee.
- The Employee(s) assigned the task of investigation shall submit grievance investigation report to the Committee within (16) sixteen days. If need arises, the committee may extend the timelines for further period of (16) sixteen days.
- If any member of the grievance committee is a party in the grievance or as proceedings progress, it becomes clear that he / she is likely to be a party or if a case pertains to any Dept / Area / Division / Group headed by member of grievance committee, he / she should not attend the meeting and should abstain himself / herself from taking part in decision making process
- Decisions may be taken by consensus or if any member has a view different from other member(s), he / she should express that in writing. In case of any member records a dissenting decision, majority's view would prevail.
- The Committee is empowered to decide not to address all or part of grievance if it considers that too much time has elapsed since the relevant event took place.
- The grievance committee should dispose-off the grievance within (45) forty five days from the receipt of the complaint. If needed, the committee may request Chief Human Resources Officer to extend the timelines for further period of (30) thirty days.

19.5 Grievance Handling Procedure

The following procedure for making a grievance shall be followed:

- A written grievance should be escalated within 60 days from the date of occurrence of the incident.
- The grievances will be handled with confidentiality and it will also be ensured that the identity of the aggrieved party will be protected during the investigation process where required.
- The grievance may be addressed to respective secretaries, members grievance committee, HR Business Partners, Employee Relations department, Chief Human Resources Officer or respective Group Head. It can also be raised electronically to the HCG Helpdesk or through email yourhr@bankalfalah.com.
- Grievance against grievance committee member(s) can be escalated to Chief Human Resources Officer or CEO directly.
- Grievance against HCG Employees can be escalated directly to the Head Employee Relations or Chief Human Resources Officer.
- Grievance against Chief Human Resources Officer can be escalated to the CEO directly.
- Aggrieved Employees must reveal his / her identity while raising the grievance. No formal action shall be taken on a complaint unless it is in writing, containing sufficient details and grounds for complaint. Anonymous grievance/complaint may also be submitted; however, it will be used exclusively for identifying potential risk patterns, emerging trends, or systemic concerns within the Bank.
- Due to the lack of identifiable information, the Bank may be limited in its ability to investigate such complaints or implement specific corrective measures. Only those anonymous complaints where either material evidence, concrete facts, objective data or logical information are provided shall be considered for initiating initial inquiry / investigation.
- If an anonymous complaint is received and is duly reviewed in accordance with the policy, but the anonymous complainant continues to resubmit the same allegations without providing any substantive or new evidence, the complaint will be considered closed after the initial evaluation and previously work done.
- An acknowledgement shall be sent to the complainant within 3 days upon receipt of the complaint.

- The grievance committee shall review the complaint and shall decide whether the grounds of the complaint merits investigation or not.
- Efforts shall be made to resolve the issue through informal mediations. Where informal discussions are not sufficient, formal grievance handling procedure shall be adopted.
- Grievance investigation officer / team may be appointed by the grievance committee who shall investigate the matter and shall submit report to the Committee. The investigation report should clearly mention the nature of complaint, work undertaken, and whether the allegations / grievances stand proved, partially proved or not proved.
- During grievance investigation, the investigation officer / team may invite the relevant party(ies) for grievance interviews including the employee who has raised the grievance.
- Documentary records shall be made of any formal investigation and hearing takes place during the course of investigation.
- The grievance committee shall review the findings of grievance investigation report and shall forward its recommendations to Chief Human Resources Officer after deliberations.
- Chief Human Resources Officer shall review the findings and recommendations of the grievance committee and shall take decision(s) accordingly. All decisions taken by the Chief Human Resources Officer shall be final and binding.
- The final decision shall be conveyed to the aggrieved Employees by respective secretaries within three (03) days.
- If the outcome of grievance contemplates initiation of disciplinary action, the disciplinary process shall be initiated in accordance with Bank's disciplinary action policy.

19.6 Grievances related to Performance Appraisal

- In case of disagreement on the final appraisal rating, the aggrieved Employees (appraisee) must discuss with the Line Manager (appraiser) to present his / her viewpoint on the disagreement.
- If disagreement persists, appraiser should refer the case to the reviewer i.e. the appraiser's supervisor and arrange aggrieved Employees' meeting with the reviewer for further discussions on the disagreement.
- All the parties should clearly record their comments and justifications at every stage of the evaluation and meetings held on disagreement.
- Efforts should be made to resolve the grievance at the reviewer level. However, if disagreement still persists, the aggrieved Employees may escalate his / her grievance in writing within 60 days from the completion of annual performance appraisal cycle.
- The grievance against appraisal can be escalated to respective secretaries, members grievance committee, HR Business Partners, Employee Relations department, Chief Human Resources Officer or respective Group Head. It can also be raised electronically to the HCG Helpdesk or through email yourhr@bankalfalah.com
- Post receipt of appraisal related grievance, the grievance handling procedure as mentioned in clause # 19.4 shall be adopted.

19.7 Redressal & Prevention Process

19.7.1 Disciplinary Action

If it is determined that violation of this policy has occurred, the grievance committee shall recommend that appropriate disciplinary action (as per Bank's policy) be taken against the guilty party or parties.

19.7.2 Preventive Action

If the investigation is inconclusive or it is determined that there has been no harassment or discrimination in violation of this Policy, but some potentially problematic conduct is revealed, preventive action may be suggested by the grievance committee.

CHAPTER 20. BANKING ON EQUALITY POLICY

20.1 Introduction

Bank Alfalah has always been at the forefront in promoting inclusivity for people from all walks of life for both its internal as well as external customers. With an aim to build a workforce that is representative of different genders irrespective of age, background, experience, working style and ability, the bank also offers a wide array of products and services aimed at financial inclusivity of customers from all walks.

The bank aims to achieve a work environment where all individuals are treated fairly and respectfully, have equal access to opportunities and resources, and can contribute fully to the organization's success. At customers' front, the bank offers a best-in-class product suite, complemented through our vast distribution network, and state-of-the-art digital banking solutions, tailored to cater to the banking requirements of hundreds of thousands of our customers across various segments.

We at Bank Alfalah strongly believe in the business and social impact created by a diverse workforce and an inclusive work culture besides having wide array of products & offerings catering to the needs of diversified customer segments.

- Creating a conducive work environment for women.
- Inspiring creativity and innovation, unlock productivity, and as a result, enhance profitability.
- Recognizing high performing women and creating opportunities to learn and grow, commitment and loyalty of women shall increase. Morale and motivation shall also be enhanced, while Employees turnover shall go down.
- Promoting inclusivity through customized product and service offerings for women customers: enhancing transaction and payment ease for women customers.

20.2 Ownership & Modifications

This Policy shall be reviewed and updated as per existing BOD housekeeping guidelines. HCG shall remain the owner of this Policy. All revisions in the Policy shall be the responsibility of HCG based on suggestions from several business units across the bank and the D&I Council. However, any regulatory requirement contrary to this Policy (as and when issued) shall supersede these guidelines and must be always complied with.

Businesses can share suggestions and raise amendment requests, if any, after concurrence from their respective Group Heads, through the Secretary of the Council.

20.3 Scope

The policy aims to implement the global best practices and regulatory requirements identified by regulators to ensure equal opportunities for all, irrespective of gender for our internal customers. Furthermore, this policy is applicable to all future Bank wide initiatives aimed at increasing the access of our offerings and services for our customers in terms of acquiring, retaining, servicing and life cycle management of Bank's customers.

This document shall set forth:

- Clear measures to increase inclusion of women customers as well as employees.
- The approach to be adopted to manage, develop, train, and facilitate all women across the bank.
- To launch and market products & service offerings with differentiated strategy for women customers.

20.4 Responsibilities of Implementation

The responsibility for creating equal opportunities for women lie mainly under the Human Capital Group, although the entire bank's functions are also accountable to ensure that the workforce is inclusive and the employees in each department provide full support.

Furthermore, the teams shall identify areas where women can be hired and be utilized to their maximum potential.

The responsibility for coming up with products & services specifically tailored according to the needs of women customers and focus on financial inclusion shall lie with all product teams across the bank, primarily under the Retail Banking, Islamic Banking, Branch Operations and Digital Banking Groups for both Conventional as well as Islamic banking customers.

Operations & Corporate Services, IT and Core Digitization teams shall also be required to extend support to the respective product teams as and when required by the respective product teams.

IT teams shall extend support in terms of providing support with respect to technical developments and changes in the system as proposed by respective business units. Finance Department shall be required to extend support in terms of financial impact, waivers, etc. as and when required to promote financial inclusion.

20.5 Key Elements

20.5.1 Internal Audience

- Diversity and Inclusion (D&I) Council shall drive the D&I agenda strategically and in a timely manner to comply with the SBP requirements. The Council consists of 8 Members inclusive of a Council Secretariat and 7 Group Head Level Members.
- Under the D&I Council, D&I Working Committee shall work on specific functions as delegated by the D&I Council.
- Specific gender diversity targets shall be set in all Group Heads and line managers' key performance indicators (KPIs).
- The HCG team shall work together with the top management to find out areas where women can be hired where they can work and provide best outcomes for Bank Alfalah.
- Determination of e-training and development needs of women through a proper monitoring system with enough modification flexibility for its sustainability.
- Formulation of career paths for high potential women and determination of their required training and development needs.
- Women shall be selected on merit basis.
- Recognize groups that have made significant efforts to close the gender gap bank-wide.
- Educate employees on unconscious bias, gender sensitivity and gender stereotype and focused training for all employees.
- HCG shall regularly monitor diversity indicators and conduct relevant analysis in order to maintain and track progress towards Bank Alfalah gender diversity goals.
- Promote increasing ratio of women working in leadership positions.
- Bank Alfalah shall continue to provide a safe work environment for its women employees that is free from all forms of abuse, harassment, and discrimination.

20.5.2 External Audience

- The respective product and business teams shall explore and consider opportunities from time to time with a focus on financial inclusion by evaluating competitive practices both locally as well as in the international markets.
- Understanding the challenges faced by women customers in general, the idea shall be to make simplified procedures with shorter turnaround times while staying compliant with the regulatory practices.
- Giving an equal opportunity to women customers across the country to bank as per their needs.
- Creating an attraction for both its customers as well as internal Employees to increase financial inclusion.

20.6 Steps Towards Implementation

20.6.1 Internal Audience

The bank's strategy towards implementation of this policy for internal stakeholders lie on the following key pillars.

20.6.1.1 Talent Acquisition

- Group Heads and Line Managers shall encourage hiring women in their areas. D&I team shall share trackers with them so that they are fully aware of the diversity & inclusion within their group and can take relevant action, whenever needed.

- Talent Acquisition shall periodically recruit women and consider them for all relevant job openings that match their skillset.
- Bank Alfalah encourages and welcomes people of all abilities to apply for open positions. Selection of the applicant is on merit based on experience, aptitude and ability.
- Bank Alfalah shall identify high potential women employees and offer them career growth opportunities.

20.6.1.2 Training and Development

- Bank Alfalah shall offer opportunities to learn and grow through various training programs to women that build their skills, technical knowledge, leadership ability other relevant trainings.
- Bank Alfalah shall develop Individual Development Plans (IDPs) for the identified middle management high potential women employees in order to advance them into senior leadership positions.
- Bank Alfalah shall provide gender sensitivity training to the nominated Women's Champions as well as keep them up to date with all the Bank's financial products for women and details of current SBP / Government schemes for women.

20.6.1.3 Workplace Environment for Women

- Bank Alfalah shall continue to provide a safe work environment for its women employees that is free from all forms of abuse, harassment and discrimination including Whistle Blowing as specified in Chapter 19 'Grievance Handling Policy' and Chapter 20 'Protection Against Harassment of Women at Workplace' of HCG Policy Manual.
- Bank Alfalah shall also continue to provide a conducive work environment to women via its women-friendly policies that support their careers throughout their various life stages. Some of these policies that Bank Alfalah has already implemented are as below:
 - Section 4.6 of HCG Policy Manual 'Flexible Working Hours'
 - Section 9.15 of HCG Policy Manual 'Childcare Allowance Policy'
 - Section 12.4 of HCG Policy Manual 'Maternity Leave'
 - Section 12.7 of HCG Policy Manual 'Iddat Leave'

20.6.1.4 Engagement and Retention

- HCG shall continue to conduct Gender Pay Gap Analysis to ensure pay to women is adequate based on our performance criteria.
- In order to retain our women and to offer them an optimal work environment, Bank Alfalah shall continue to review the best global and local Diversity & Inclusion practices, introduce new policies, and recommend changes in existing policies.
- HCG shall recognize groups that have made significant efforts towards achieving Bank Alfalah's Diversity & Inclusion goals.

20.6.2 External Audience

The bank's strategy towards implementation of this policy for external stakeholders lie on the following key pillars.

20.6.2.1 Customized Products & Service Offerings

Designing customized product offerings and services as per the female-specific requirements while simplifying the process. The objective is to create a differentiated offering to cater to the needs of women customers under the umbrella of Alfalah Pehchaan (Conventional) & Falah Women (Islamic).

20.6.2.2 Increased Outreach & Awareness

In addition to creating awareness for financial inclusion of women through several communications and media campaigns, the focus shall also be on increasing outreach to provide our women customers with an option to bank as per their convenience. The bank shall offer customized financial solutions for our women entrepreneurs. Particularly for our women customers, the bank shall host awareness sessions at numerous forums and have helpdesks to facilitate women with their financing and transactional needs and educate them on financial inclusion as well as customized financial solutions being offered by the bank.

20.6.2.3 Digitization

With digitization at the core of everything we do, the aim is to offer digitized solution to our customers across the board. With the same intent, the bank shall come up with digitized offerings for its women customers that can be availed from the comfort of their homes.

20.6.2.4 Payments & Transaction Convenience

The bank shall offer customized payment solutions and transactional convenience to women customers. Women customers operating across the country at small scale shall be provided with end-to-end assistance so that they can not only aim at expanding their business but also taking it to the next level.

20.6.2.5 Motivating our Frontline

While there is a need to offer solutions for women customers, it is also important that our employees contribute towards the financial inclusion of women customers. The bank shall motivate and incentivize its Employees for onboarding female customers and create awareness on financial inclusion.

20.6.2.6 Women Champions

Ensuring presence of Women's Champions across our network and ensuring coverage of all Customer Touch Points shall be the priority. These Women Champions shall be available to facilitate women in accessing the financial offerings of the bank and cater to the needs of women.

20.7 Framework for Persons with Disabilities (PWDs)

20.7.1 Introduction

Bank Alfalah aims to create a diverse and inclusive workforce that also has representation of persons with disabilities. We have a firm belief that such diversity has a social and business impact, hence we are focused on providing:

- a conducive work environment, where all individuals specially the persons with disabilities are treated fairly and respectfully,
- have equal access to opportunities and resources,
- better opportunities of growth and learning.

20.7.2 Scope

This framework document sets forth the broader policy statements for inclusion of PWDs in the workforce of Bank Alfalah. The framework has been drafted considering Bank Alfalah practices and regulatory requirements by the Regulators, and provides the approach to be adopted for their:

- Capacity building,
- Training, Development and Career Growth mapping,
- Engagement and retention.

In addition, it shall provide specific deliverables required to promote the inclusion of PWDs in the various possible work streams and creating a conducive work environment for them.

20.7.3. Disability Allowance

Eligibility: All Regular and Contractual employees having a SCNIC.

Entitlement: Allowance of Rs.10,000/- per month.

20.7.3 Key Steps for Implementation

Human Capital Group (HCG) shall be responsible for defining the following with the support of the Management of the Bank:

- Alignment of HCG policies: our current HCG Policy Guidelines is comprehensive to support the inclusion of PWDs, however, HCG may propose any changes in the existing Policy Guidelines (if required) to the Board during the implementation of the framework

- Identify potential areas / functions where differently abled persons can be hired and utilized to their maximum potential
- Adopt new or modify existing recruitment practices and procedures to facilitate the recruitment of PWDs. Additionally, propose to the management the implementation plan / steps required to work on the quota established by the Regulators
- Determination of appropriate training and developmental needs of the differently abled workforce and ensure its implementation
- Formulation of career paths for PWDs
- Develop and conduct an across the board awareness and sensitization trainings,
- All benefits including flexible working hours, work from home shall also be applicable to permanent employees shall be applicable to all differently abled permanent employees as well
- To regularly monitor the diversity indicators and conduct relevant analysis to maintain and track progress towards Bank Alfalah differently abled diversity goals
- To ensure that we continue to provide a safe work environment for its differently abled employees that is free from all forms of abuse, harassment, and discrimination
- Talent Acquisition
 - Run an awareness program across the organization on the Framework for PWDs
 - Perform a role mapping exercise with the Group Heads and identify potential positions for hiring the persons with disabilities, and develop favorable recruitment criteria
 - Review and update the existing recruitment procedures, if required, to enable them in selection, hiring and onboarding the persons with disabilities
 - Undertake special recruitment drives for persons with disabilities including females
 - Develop internship programs for persons with disabilities, to familiarize them with social and communal settings in the workplace
- Training and Development
 - Develop training roadmaps for capacity building of PWDs, with special focus on building their skills, developing technical knowledge and managerial skills
 - Develop and conduct awareness / sensitization training programs to educate its employees on stereotypes, unconscious bias and sensitization. These programs shall also cover the ways to interact and accommodate the PWDs (customers as well as employees), including basic sign language training. Training programs shall also be offered to line managers enabling them to provide support and career development to the PWDs
 - Arrange trainings for the recruitment team to enable them in their recruitment procedures and drives
 - Conduct trainings as advised by the Regulator for facilitation of the PWDs (customers and employees both) including State Bank's concessionary finance scheme
- Engagement and Retention
 - Conduct regular pay gap analysis and work towards providing equal pay to the differently abled based on our performance criteria
 - Bank's gender champion shall also look into the matters related to female Employees with special needs
 - To ensure efficient flow of banking facilities to differently abled females, a differently abled female shall be included in the process of developing policies, procedure, products and services relevant to them
 - Retain the differently abled employees and to offer them an optimal work environment, Bank Alfalah shall continue to review the best global, Bank Alfalah and local Diversity & Inclusion practices, introduce new policies, and recommend changes in existing policies
 - Provide career growth opportunities to its high potential differently abled employees in order to advance them into better opportunities.

CHAPTER 21. PROTECTION AGAINST HARASSMENT OF WOMEN AT WORK PLACE

21.1 Definition

Bank Alfalah is destined to provide its employees, irrespective of gender and without prejudices, a working environment where they feel completely secured and satisfied to perform at the optimum level. Being an equal opportunity employer the Bank provides a progressive environment for all its employees to progress and contribute regardless of their cast, creed, religion or gender. Female employees form a formidable work force of the Bank and essentially deserve complete protection. They are mutually respected and protected by the fellow employees and the complaints of mistreatment, bias or prejudices are rare. However, in order to benefit them from State's commitment to effectively safeguard them from perpetrators, the Bank has decided to adopt and enforce provisions of 'The Protection Against Harassment of Women at the Workplace Act 2010', in all the branches and offices, forthwith.

21.2 Scope of Policy

Although the provisions of The Protection against Harassment of Women at the Workplace Act 2010 place no discrimination between male and female; however taking into account the fact that in overwhelming cases sexual harassment is faced by women, the female employees have been particularly focused for the purpose of providing protection under the said enactment.

The sexual harassment as defined by the Act means any unwelcome sexual advance, request for sexual favors, stalking or cyber stalking or other verbal, visual or written communication or physical conduct of a sexual nature or sexually demeaning attitudes, including any gestures or expression conveying derogatory connotation causing interference with work performance or creating an intimidating, hostile or offensive work environment, or the attempt to punish the complainant for refusal to comply to such a request or is made a condition for employment; or discrimination on basis of gender, which may or may not be sexual in nature, but which may embody discriminatory and prejudicial mind-set or notion, resulting in discriminatory behavior on basis of gender against the complainant. Provided that a single incident having the effect of making a person uncomfortable or creating a sense of fear or panic at the workplace is also harassment.

Three significant manifestations of sexual harassment are briefly mentioned hereunder.

21.2.1 Abuse of Authority

A demand by a person in authority, such as a supervisor, for sexual favors in order for the complainant to keep or obtain certain job benefits, be it a salary increase, a promotion, training opportunity, a transfer or the job, itself.

21.2.2 Creating a hostile environment

Any unwelcome sexual advance, request for sexual favors, or other verbal or physical conduct of a sexual nature, which interferes with an individual's work performance or creates an intimidating, hostile, abusive or offensive work environment; or any discrimination on basis of gender, which may or may not be sexual in nature, but which may embody a discriminatory and prejudicial mind-set or notion resulting in discriminatory behavior on basis of gender.

The typical "hostile environment" claim, in general, requires finding of a pattern of offensive conduct, however, in cases where the harassment is particularly severe, such as in cases involving physical contact or gender-based discrimination, a single offensive incident will constitute a violation.

21.2.3 Retaliation

The refusal to grant a sexual favor can result in retaliation, which may include limiting the employee's options for future promotions or training, distorting the evaluation reports, generating gossip against the employee or other ways of limiting access to his/her rights. Such behavior is also a part of the harassment.

Passing on obscene / pornographic / offensive material of any kind in any form would also be tantamount to sexual harassment.

Any expression suggesting inequality and superiority of one gender over the other including jokes to demean and unwelcoming references to one's appearance or physique to cause psychological discomfiture and humiliation shall fall within the definition of sexual harassment (detailed definition is available in Annexure-I of Code of Conduct which shall be circulated separately).

21.2.4. Gender-neutral Conduct

Sexual harassment may be experienced by individuals of any gender. In line with this understanding, any behavior, act, or pattern that meets the definition of sexual harassment under the Act shall be treated with equal seriousness, regardless of whether the complainant is male or female. This ensures a fair, inclusive, and non-discriminatory application of the Policy.

The management shall display copies of the Code in English as well as in languages understood by the majority of employees at conspicuous places in the branches as well as in all the offices.

21.3 Salient Features and Characteristics

Under the Act, the Management has been made responsible to follow Code in letter & spirit for implementation of provisions and ensure that each complaint of sexual harassment is addressed responsibly through fair, impartial and just Inquiry process without any retaliation or victimization towards the complainant or the witness of the incident.

- All complaints, statements, records, and related information will be treated with strict confidentiality, and will only be shared with authorized individuals on a need-to-know basis to ensure fairness and due process.
- During the investigation process, complainants may be offered access to counselling, psychological support, guidance, or any other assistance deemed necessary to safeguard their well-being.

21.4 Establishment of Inquiry Committee

An inquiry committee has been constituted at Bank's level to handle cases relating to sexual harassment. With a view to run the process smoothly and efficiently at HCG, Inquiry Committee shall function under the Chairperson comprising of three members, one necessarily being a woman whereas the other being a senior representative from the employees. The Chairperson will nominate three members of the Inquiry Committee. One member will be a woman, while the remaining two will be selected from the Committee already constituted by the Bank. In case a complaint of sexual harassment is received against any of the members of Inquiry Committee replacement of member shall be made for that particular case.

Informal and formal procedure regarding complaint handling has been devised and defined in the Code for expeditious and meaningful resolution.

○ Mr. Faisal Farooq Khan, Chief Human Resources Officer	Chairperson
○ Ms. Beena Fawad, Head Corporate Credit Risk	Member
○ Ms. Sara Shami, Head Service Division	Member
○ Mr. Ghulam Shabbir, Head Employee Relations & People Risk	Member
○ Mr. Imran Assad Khan, Head Branch Banking Operations	Member
○ Mr. Mohammad Nasser, Unit Head Employee Relations South	Member / Secretary
○ Mr. Adeel Khalid Bhatti, Unit Head ER Central & North	Member / Secretary

The Chief Executive Officer of the Bank can appoint any other Executive of the Bank as a member of the Committee and / or replace any member with another Executive.

21.5 Provision of receiving anonymous complaints

Anonymous harassment complaints may be accepted; however, such submissions will be reviewed solely for the purpose of identifying behavioral concerns, risk indicators, or patterns that may require preventive action. Only those anonymous harassment complaints that provide material evidence, concrete facts, objective data, or logically coherent information shall be considered **for further** necessary action. Due to the lack of identifiable information, the Bank may be limited in its ability to investigate such complaints or implement specific corrective measures.

21.6 Informal Procedure of Complaint

As a prelude to resolve a complaint of harassment involving lower severity the mediation between the parties to dispute may be embarked upon in strict confidentiality.

- Informal / Formal Harassment complaints may be submitted through any channel the complainant considers comfortable and accessible. Such complaints may be addressed to supervisor, respective secretaries, members harassment committee, HR Business Partners, Employee Relations Department, Chief Human Resources Officer or respective Group Head. The complainant or employee designated by the complainant for the purpose may report an incident of harassment orally, in writing, via email, through HCG helpdesk or electronically on yourhr@bankalfalah.com.
- In either case, the supervisor or the Committee member may address the issue at his / her discretion in the spirit of this Code. The supervisor may consult with a committee member or HCG to seek guidance on whether to resolve complaint through informal procedure or as formal procedure of complaint handling.
- If the case is taken up for investigation at an informal level, the Manager or a senior officer from the Branch or from controlling office or head office, as the case may be, shall conduct confidential investigation. The alleged accused shall also be approached with the intention to resolve the matter in a confidential manner.

21.7 Formal Procedure of Complaint

- However, if the incident constitutes sexual harassment of a higher degree and the officer or a member reviewing the case feels that it needs to be pursued formally for a disciplinary action, with the consent of the complainant, the case can be taken as a formal complaint
- A complainant does not necessarily have to take a complaint of harassment through the informal channel. It is open to the complainant to lodge a formal complaint at any time
- Informal / Formal Harassment complaints may be submitted through any channel the complainant considers comfortable and accessible. Such complaints may be addressed to supervisor, respective secretaries, members harassment committee, HR Business Partners, Employee Relations Department, Chief Human Resources Officer or respective Group Head. The complainant or employee designated by the complainant for the purpose may report an incident of harassment orally, in writing, via email, through HCG helpdesk or electronically on yourhr@bankalfalah.com.
- The Committee member approached is obligated to initiate the process of investigation. The supervisor shall facilitate the process and is obligated not to cover up or obstruct the inquiry.
- Assistance in the inquiry procedure can be sought from any member of the organization who should be contacted to assist in such a case
- The management shall do its best to make temporary adjustments including change of office so that the accused and the complainant do not have to interact for official purposes during the investigation period. The management may also decide to send the accused on leave, or suspend the accused in accordance with the applicable procedures for dealing with the cases of misconduct, if so required
- Retaliation from either party should be strictly monitored. During the process of the investigation work, evaluation, daily duties, reporting structure and any parallel inquiries initiated should be strictly monitored to avoid any retaliation from either side
- The harassment usually occurs between colleagues when they are alone; therefore usually it is difficult to produce evidence. It is strongly recommended that Employees should report an offensive behavior immediately to someone they trust, even if they do not wish to make a formal complaint at the time. Although not reporting immediately shall not affect the merits of the case.

21.8 Working of the Inquiry Committee

Although Inquiry Committee is vested with multidimensional functions and the powers to receive complaints and order investigation into the incident followed by issuance of charge sheet / statement of allegations / show cause notice and holding of inquiry; however for the purpose of consistency and to keep the process in line with the Bank's approved disciplinary action policy and more importantly with enactments, law and the statutes the role of Inquiry Committee has been redefined as under.

Human Capital Group shall continue to issue charge sheet or show cause notice as usual in the light of recommendations as incorporated in the investigation report and fix date of inquiry in consultation with the Inquiry Committee after receiving

reply of the Employees against whom complaint has been received. Time and venue of inquiry shall also be communicated to all concerned.

The Inquiry Committee shall inquire into the charges of harassment under the Code of Conduct and examine such oral or documentary evidence in support of the charge or in defense of the accused as considered necessary and each party shall be entitled to cross-examine the witnesses against him / her.

The Inquiry Committee shall have the power to make recommendations with regard to the punishment in case the guilt is proved. The Inquiry Committee members should make the environment of the inquiry process conducive and un-intimidating. The members should not reflect any bias in their attitude or their questioning. It is acknowledged that the society mostly blames women for whatever happens to her and usually makes an assumption that sexual harassment happens to women who are immoral or have encouraged an innocent man to provoke this behavior. The Committee members need to be careful not to exhibit such biases and should remain neutral.

The Inquiry Committee shall have the power to:

- Summon and enforce attendance of any person and examine him on oath
- Require the discovery and production of any document
- Receive evidence on affidavits
- Record evidence
- Get the complainant or the accused medically examined by authorized medical doctor, if found necessary

The following provisions inter alia shall be followed by the Inquiry Committee in relation to the inquiry:

- The statements and other evidence acquired in the inquiry process shall be considered as confidential
- The Inquiry Committee can instruct to treat the whole proceedings confidential, if necessary
- An officer in an organization, if considered necessary, may be nominated to provide assistance to the Inquiry Committee and assistance to both parties
- Both parties, the complainant and the accused, shall have the right to be represented or accompanied by a co-worker, if deemed necessary, with the permission of Inquiry Committee
- Victimization and adverse action shall not be taken against the complainant or the witnesses
- The Inquiry Committee shall ensure that neither the management nor the accused shall initiate any action that would create a hostile environment for the complainant so as to pressurize him / her from freely pursuing his / her complaint
- The Inquiry Committee shall give its findings in writing by recording reasons thereof.

21.9 Findings, Recommendations and Penalties

The Inquiry Committee shall submit its findings and recommendations within thirty days of the initiation of inquiry to Human Resource Division for onward submission to the Chief Executive Officer for final decision. If the Inquiry Committee finds the accused to be guilty it may recommend to the Competent Authority for imposing one or more of the following penalties:

21.9.1 Minor penalties:

- Issuance of letter of reprimand
- Withholding promotion or increment for a specific period
- Imposition of efficiency bar in the time scale for a specific period
- Recovery of the compensation payable to the complainant from pay or any other source of the accused, if any financial loss is sustained by the complainant

21.9.2 Major penalties:

- Reduction to a lower salary Grade or lower post
- Compulsory retirement
- Removal / termination from service
- Dismissal from service
- Payment of a Fine. A part of the fine can be used as compensation for the complainant

21.10 Implementation of the Decision

The Chief Executive Officer shall be considered a Competent Authority under The Protection Against Harassment of Women at the Workplace Act 2010 and shall impose punishment (s) recommended by the Inquiry Committee or give its decision within one week of the receipt of the recommendations.

21.11 Appeal

- Any party on whom minor or major penalty is imposed and is dissatisfied by the decision of the Competent Authority may, within thirty days of written communication of the decision, file an appeal to the Ombudsperson established for this purpose by the respective Governments at the Federal and Provincial levels.
- The Appellate Authority may, on consideration of the appeal and any other relevant material, confirm, set aside, vary or modify the decision within thirty days in respect of which such appeal is made. It shall communicate the decision to both the parties and to the Bank.
- Until such time that the Ombudsperson is appointed, the District Court shall have the jurisdiction to hear appeals against the decisions of Competent Authority.

21.12 Mala Fide Accusation

The Inquiry Committee may make recommendations for appropriate action against the complainant if allegations leveled against the accused are found to be false and made with mala fide intentions.

Chapter 22 HCG Policy Guidelines For Officers On Secondment to Overseas Locations

22.1 Selection for Overseas Posting & Salary Fixation

Selection for Overseas posting shall be based on requirement, officer's relevant experience and performance. After interview with Group Head Corporate, Investment Banking & International Business & Chief Human Resources Officer, the final approval shall be taken from the CEO.

22.1.1 Selection criteria for Country Head

Officer of SVP-II & above shall be considered for Country Head Position. In addition to his / her clean operational track record, he / she must have at least satisfactory audit rating (if applicable) for last one year's work. Prior audit to be done before his / her elevation as Country Head.

22.1.2 Job Rotation for Employees hired at overseas locations

Periodic rotation of Employees between various assignments is used by Bank Alfalah as a means of broadening areas of expertise of concerned Employees. This is also done to ensure smooth transition from one job to another in case an employee leaves the job, or is transferred to another job or location.

Employees posted at overseas branches / jurisdictions at all hierarchal levels should be rotated or transferred periodically according to regulatory requirements of host country (if any) or Head Office HCG Policy.

Chief Human Resources Officer may allow exception on the recommendation of respective Country Head / Manager and International Business, in circumstances where the branches are remote or the person is in a specialist role.

For the rotation of Country Head / Manager, regulatory requirement of host country / clause # 6.3.3 of HCG policy shall be applicable.

- **Rotation of Employees posted at Afghanistan, Bahrain & UAE**
Employees posted at Branches & Head Office should be rotated or transferred on completion of three to five years in one assignment.
- **Rotation of Employees posted at Bangladesh**
Employees posted at Branches and Head Office (other than Country Head & and Specialist role Employees) should be transferred / rotated upon completion of three years in one assignment as per regulatory requirement.

22.1.3 Fixation of Salary

Fixation of salary shall be worked out by Human Capital Group as per pay scale of country of posting and based on nature of assignment at place of posting. CEO shall have the authority to allow special allowance / adjustment up to US\$ 500 / - per month while fixing of salary at the time of overseas posting.

On transfer back to Pakistan, salary shall be re-fixed on the basis of officer's last salary at the time of transfer to overseas location plus average Increment allowed in that particular position in Pakistan shall be added. Moreover re-fixation of salary in Pakistan shall also be in consideration of future responsibility of concerned officer and comparable to the package drawn by Employees posted in Pakistan with similar assignment.

22.2 Afghanistan Operations

22.2.1 Salary & Allowances

Salary Calculation

Gross salaries of Employees transferred to Afghanistan shall be converted into US Dollars on the basis of exchange rate prevailing in Pakistan at the time of transfer. However, upon transfer back to Pakistan, Gross Salaries payable in Pakistan shall be re-fixed based on assignment / responsibility / position offered in Pakistan, moreover his / her performance in Afghanistan shall also be taken into consideration. For this purpose, monthly gross salary of other individuals working in same / similar position / assignment shall be taken into consideration. The last Gross salary of officer in Pakistan shall also be considered.

Overseas Allowance

Expats Employees at Afghanistan shall be allowed Overseas Allowances in US\$ as per following:

Grade	Overseas Allowance	Hardship Allowance
	(USD)	(USD)
SEVP-I	3,000	3,000
PEVP	2,875	2,750
EVP-III	2,750	2,750
EVP-II	2,500	2,500
EVP-I	2,375	2,375
SVP-II	2,250	2,250
SVP-I	2,000	2,000
VP-II	1,750	1,750
VP-I	1,625	1,625
RVP	1,550	1,550
AVP-II	1,500	1,500
AVP-I	1,250	1,250
OG-I	1,125	1,125
OG-II	1,000	1,000
OG-III	600	600
OG-IV	300	300

As far as possible, officers of AVP-I & above shall be considered for posting at Afghanistan

Salary Disbursement in Local Currency

For salary disbursement purpose, salaries of expat Employees may be converted from US Dollars into local currency of Afghanistan @ average monthly market rate. In this regard, Bank Alfalah Afghanistan shall use average DAB Mid Rates for the month for which salary is being disbursed.

22.2.2 Conveyance Finance

Officers of AVP-I & AVP-II shall be eligible to avail Conveyance Finance up to purchase price of new car 1600cc (excluding insurance and other accessories) as per following conditions either at place of posting or home country, however, Officers of RVP & above shall be provided Bank maintained car with prior approval of Group Head Corporate, Investment Banking & International Business & Chief Human Resources Officer. In case Employees does not avail bank maintained car, he / she may avail Conveyance Finance either at place of posting or home country. However, this facility shall be available only if he / she has no outstanding SLCL / Conveyance Finance:

- Conveyance Finance shall be allowed to purchase new or second hand car (vehicle should not more than five years old)
- 5% per annum markup shall be charged
- Conveyance Finance shall be recovered in 5 years i.e. 60 equal monthly installments, or up to the age of 65 years, whichever is less. If the Employees resigns / retires or his / her services are otherwise terminated before complete recovery of the finance, the amount outstanding shall be repayable / recovered in lump sum including mark-up, if any, immediately before his / her dues are settled.
- The vehicle shall be hypothecated to the Bank and the Bank's name shall be endorsed on the registration book. The vehicle shall be comprehensively insured in favour of the Bank by the employee concerned up to the amount of finance disbursed. Monitoring office shall ensure that proper insurance is obtained before the vehicle is put to regular use.
- Change of car shall be allowed only after 5 years from the Finance availed.

Those who have already availed Conveyance Finance in Pakistan before transfer to Afghanistan shall continue to service the Finance through overseas remittances. However, they shall not be eligible for second Finance in Afghanistan.

22.2.3 Bank Accommodation

Bank Accommodation with Furniture shall be provided to all officers on deputation at bank's guest house. However, Country Head and Branch Managers shall be provided Bank leased accommodation with reasonable rental ceiling, recommended by Group Head Corporate, Investment Banking & International Business and Chief Human Resources Officer, with the approval of CEO.

22.2.4 Cell Phone Limits

Country Head shall be provided Cell Phone facility up to US\$ 300 / - per month, others may be allowed between US\$ 100 – 150 based on functional requirement with the prior approval of Group Head Corporate, Investment Banking & International Business & HCG.

22.2.5 Fixed Bonuses

As and when approved by the Management. Basic salary in Afghanistan is considered for the payment of bonus (excluding Overseas, Hardship and all other Allowances)

22.2.6 Hospitalization Insurance

Expat Employees & their parents shall be eligible for Hospitalization Insurance as applicable in Pakistan. In emergency cases, where Employees is being treated in Afghanistan reimbursement shall be on actual basis.

22.2.7 Club Membership

Expat employees of SVP-II & above shall be eligible for club membership on bank account.

22.3 Bangladesh Operations

22.3.1 Salary & Allowances

Salary Calculation

Gross salaries of Employees transferred to Bangladesh shall be converted into US Dollars on the basis of exchange rate prevailing in Pakistan at the time of transfer. However, upon transfer back to Pakistan, Gross Salaries payable in Pakistan shall be re-fixed based on assignment / responsibility / position offered in Pakistan, moreover his / her performance in Bangladesh shall also be taken into consideration. For this purpose, monthly gross salary of other individuals working in same / similar position / assignment shall be taken into consideration. The last Gross salary of officers IN Pakistan shall also be considered.

Overseas Allowance

Expats at Bangladesh shall be allowed Overseas Allowance in USD as per following:

Grade	Overseas Allowance
	(USD)
SEVP-I	4,500
PEVP	4,375
EVP-III	4,250
EVP-II	4,000
EVP-I	3,750
SVP-II	3,500
SVP-I	3,250
VP-II	3,000
VP-I	2,750
RVP	2,500

For salary disbursement purpose, salaries of expat Employees may be converted from US Dollars into local currency of Bangladesh @ average monthly market rate. In this regard, Bank Alfalah Bangladesh shall use average Bangladesh Bank Mid Rates for the month for which salary is being disbursed.

22.3.2 Conveyance Finance

Officers (on secondment) of SVP-II & above are entitled for Bank maintained car, however, local officers from RVP & above are entitled for Self Liquidating Car Finance & Allowance whereas local officer in AVP-I & AVP-II are entitled for Conveyance Finance. The details are as follows:

Category	Grade	Finance Limit	Markup Rate	Repayment Period (Years)	Monthly Car Allowance	Bank Maintained Car
		(BDT)			(BDT)	
Local Employees	SEVP-I	4,000,000	5%	5	85,000	Yes
	PEVP	3,500,000	5%	5	75,000	
	EVP-III	3,000,000	5%	5	65,000	
	EVP-II	2,400,000	5%	5	55,000	
	EVP-I	2,200,000	5%	5	50,000	
	SVP-II	2,000,000	5%	5	45,000	
	SVP-I	1,800,000	5%	5	40,000	
	VP-II	1,600,000	5%	5	35,000	
	VP-I	1,450,000	5%	5	30,000	
	RVP	1,375,000	5%	5	25,000	
	AVP-II	1,300,000	5%	5	N / A	
	AVP-I	1,100,000	5%	5	N / A	
Expats	SVP-II & Above	1,600,000				Yes

- a) Conveyance Finance shall be allowed to purchase new or second hand car (vehicle should not more than 6 years old)
- b) Conveyance Finance shall be recovered in 9 years i.e. 108 equal monthly installments, or up to the age of 65 years, whichever is less. If the Employees resigns / retires or his / her services are otherwise terminated before complete recovery of the finance, the amount outstanding shall be repayable / recovered in lump sum including mark-up, if any, immediately before his / her dues are settled
- c) Self-Liquidating Car Finance shall be recovered in 5 years i.e. 60 equal monthly installments, or up to the age of 65 years, whichever is less. If the Employees resigns / retires or his / her services are otherwise terminated before complete recovery of the finance, the amount outstanding shall be repayable / recovered in lump sum including mark-up, if any, immediately before his / her dues are settled.
- d) The vehicle shall be hypothecated to the Bank and the Bank's name shall be endorsed on the registration book. The vehicle shall be comprehensively insured in favour of the Bank by the employee concerned up to the amount of finance disbursed. Monitoring office shall ensure that proper insurance is obtained before the vehicle is put to regular use.
- e) Officers on secondment who have been allowed Bank Car, may also avail this facility as per applicable in VP-II. However, they shall not be eligible for Car Allowance.
- f) Branch Managers below VP-II may also be allowed SLCL finance facility with the entitlements equivalent to VP-II and fuel entitlement for 200 liters at the discretion of the Management.
- g) Team Leaders Corporate / Credit Risk / Marketing Brand / Product Development / SQ & Strategy in AVP-II may be allowed SLCL finance facility with Finance amount of BDT. 1,400,000 / -, monthly Car Allowance of BDT. 30,000 / - and fuel entitlement for 150 liters at the discretion of the Management.

Change of car shall be allowed only after 3 years from the Finance availed.

22.3.3 Rental Ceilings

Rental Ceilings shall be allowed Only for RVP and above Employees, as officers holding only senior position are eligible for transfer to Bangladesh.

Monthly rental ceilings in BD Taka for RVP & above Employees shall be as follows:

Grade	Rental Monthly Limit
	(BDT)
SEVP-I	200,000
PEVP	200,000
EVP-III	200,000
EVP-II	175,000
EVP-I	150,000
SVP-II	125,000
SVP-I	115,000
VP-II	100,000
VP-I	75,000
RVP	50,000

However, some flexibility may be allowed with the approval of CEO.

22.3.4 Cell phone limits

Cell phone minutes facility should only be allowed to Expats Employees of RVP and above, based on functional requirement on reimbursement basis of the actual expenses incurred as per following limits:

Grade	Cell Phone Monthly Limit
	(BDT)
SEVP-I	At actual
PEVP	9,000
EVP-III	8,000
EVP-II	7,000
EVP-I	6,500
SVP-II	6,000
SVP-I	5,500
VP-II	5,000
VP-I	4,500
RVP	4,000

22.3.5 Fixed Bonuses

As per Bangladesh Labour Law or equivalent to two Basic Salaries on each Eid as per rules applicable in Pakistan, whichever is more beneficial for Employees (Subject to change as per Management's discretion)

22.3.6 Hospitalization Insurance

Expat employees and their parents are insured in Pakistan as per Hospitalization policy applicable in Pakistan.

22.3.7 Club Membership

Expat employees of SVP-II & above shall be eligible for club membership on bank account.

22.4 Bahrain Operations

22.4.1 Salary & Allowances

Salary shall be fixed based on following minimum salary scale:

Amounts in Bahraini Dinar (BD)

Grade	Minimum Base Salary			Other Allowances		Gross Salary
	Minimum Basic Salary	House Rent Allowance	Utility Allowance	Conveyance Allowance	Furniture Allowance	
SVP-II & Above	2,000	800	200	Bank Car	100	3,100
RVP to SVP-I	1,500	600	150	Bank Car	75	2,325
OG-I to AVP-II	1,000	400	100	100	50	1,650
OG-IV to OG-II	750	300	75	75		1,200
Non-Officer (Secretary / Assistant)	500	200	50	50		800
Non-Clerical (Office Boy / Driver)	100	40	10	10		160

22.4.2 Conveyance Finance

The Conveyance Finance shall be allowed to officers from OG IV / OG-III / OG- II / OG-I / AVP I / AVP-II and equivalent to Conveyance Allowance for 5 years as interest free Conveyance Finance Facility. This Finance shall be recoverable in 60 equal installments. However Officers RVP & above shall be eligible for Bank Maintained Car.

The financing amount in various Grades would be as follows:

Grade	Conveyance Finance Amount (BD)
OG-I to AVP-II	6,000 / -
OG-IV to OG-II	4,500 / -

Conditions of Conveyance Finance

- Conveyance Finance shall be allowed to purchase new or second hand car (vehicle should not more than five years old)
- Conveyance Finance shall be recovered in 5 years i.e. 60 equal monthly installments, or up to the age of 65 years, whichever is less. If the Employees resigns / retires or his / her services are otherwise terminated before complete recovery of the finance, the amount outstanding shall be repayable / recovered in lump sum, immediately before his / her dues are settled.
- The vehicle shall be hypothecated to the Bank and the Bank's name shall be endorsed on the registration book. The vehicle shall be comprehensively insured in favour of the Bank by the employee concerned up to the amount of finance disbursed. Monitoring office shall ensure that proper insurance is obtained before the vehicle is put to regular use.
- Change of car shall be allowed only after 5 years from the Finance availed

Those who have already availed Conveyance Finance before transfer to Bahrain shall continue to service the Finance through overseas remittances. However, they shall not be eligible for second Finance in Bahrain.

22.4.3 Advance House Allowance

Advance may be allowed up to 12 months of House Allowances for the year against the House Allowance salary component subject to submission of lease agreement in the name of the bank.

22.4.4 Furniture Finance

Officers of OG-I and above on deputation shall be eligible for Furniture Finance as per following details, subject to the maintenance of their own house in Bahrain: (However, those who have already availed Furniture Finance in Pakistan shall need to adjust their Furniture Finance in Pakistan)

Grade	Finance Limit (BD)	Monthly Installment (BD)
SVP-II to EVP-III	6,000	100
RVP to SVP-I	4,500	75
OG-I to AVP-II	3,000	50

22.4.5 Cell Phone limits

Country Head shall be eligible for Cell phone facility up to maximum BD 120 / - per month

22.4.6 Fixed Bonuses

As and when approved by the Management. Basic Salary in Bahrain is considered for the payment of bonus (excluding all other Allowances).

22.4.6 Hospitalization Insurance

Expat employees are medically insured with SNIC (Insurance company at Bahrain) & their parents are insured in Pakistan as insurance companies at Bahrain do not offer insurance for parents living in Pakistan due to geographical limitations.

22.5 U.A.E Operations
22.5.1 Salary & Allowances

Grade	Minimum Base Salary			Other Allowances				Minimum Gross		Fuel (Liters)
	Basic Salary	House Rent Allowance @ 40%	Utilities Allowance @ 10%	Conveyance Allowance	Furniture Allowance	Cell Phone Allowance	* Car Allowance			
SEVP-II	30,000	12,000	3,000		1,000	1,000	8,000	55,000		600
SEVP-I	27,500	11,000	2,750		1,000	1,000	7,000	50,250		500
PEVP	25,000	10,000	2,500		1,000	1,000	7,000	46,500		450
EVP-III	22,500	9,000	2,250		1,000	1,000	6,850	42,600		400
EVP-II	20,000	8,000	2,000		1,000	1,000	6,050	38,050		300
EVP-I	17,500	7,000	1,750		1,000	1,000	3,950	32,200		275
SVP-II	15,000	6,000	1,500		750	1,000	3,300	27,550		250
SVP-I	15,000	6,000	1,500		750	1,000	2,900	27,150		225
VP-II	15,000	6,000	1,500		750	1,000	2,400	26,650		200
VP-I	15,000	6,000	1,500		750	1,000	2,000	26,250		100
RVP	12,500	5,000	1,250		600	750	1,500	21,600		75
AVP-II	10,000	4,000	1,000	1,000	500	500		17,000		
AVP-I	10,000	4,000	1,000	1,000	500	500		17,000		
OG-I	10,000	4,000	1,000	1,000	500	500		17,000		
OG-II	7,500	3,000	750	750				12,000		
OG-III	5,000	2,000	500	500				8,000		
OG-IV	3,000	1,200	300	300				4,800		
Non Officers	1,000	400	100	100				1,600		

*Executives shall not be entitled to a Car Allowance if they are provided with a Bank Maintained Car.

Bank accommodation in lieu of House Allowance up to annual entitlement of House Allowance or as approved by the Management.

22.5.2 Conveyance Finance

Conveyance Finance shall be allowed to officers from OG-IV to AVP-II and equivalent to Conveyance Allowance for 5 years as interest free Conveyance Finance Facility. This Finance shall be recoverable in 60 equal installments. However, officers of RVP and above shall be entitled to Car Allowance as per clause 22.5.1. so that they may opt to purchase or lease a car. However, Country Manager shall be entitled to Bank maintained car as per the above grade entitlement limit, therefore, he shall not be eligible for payment of Car Allowance.

The financing amount in various Grades would be as follows:

Grade	Conveyance Finance Limit (UAE Dirhams)
OG-I to AVP-II	60,000
OG-IV to OG-II	45,000

Conditions of Conveyance Finance

- Conveyance Finance shall be allowed to purchase new or second hand car (vehicle should not more than five years old)
- Conveyance Finance shall be recovered in 5 years i.e. 60 equal monthly installments, or up to the age of 65 years, whichever is less. If the Employees resigns / retires or his / her services are otherwise terminated before complete recovery of the finance, the amount outstanding shall be repayable / recovered in lump sum, immediately before his / her dues are settled.

- c) The vehicle shall be hypothecated to the Bank and the Bank's name shall be endorsed on the registration book. The vehicle shall be comprehensively insured in favour of the Bank by the employee concerned up to the amount of finance disbursed. Monitoring office shall ensure that proper insurance is obtained before the vehicle is put to regular use.
- d) Change of car shall be allowed only after 5 years from the Finance availed

Those who have already availed Conveyance Finance in Pakistan before transfer to UAE shall continue to service the Finance through overseas remittances. However, they shall not be eligible for second Finance in UAE.

22.5.3 Advance House Allowance

Advance may be allowed up to 12 months of House Allowances for the year against the House Allowance salary component subject to submission of lease agreement in the name of the bank.

22.5.4 Furniture Finance

OG-I & above grade employees on deputation shall be eligible for Furniture Finance as per following details, subject to the maintenance of their own house in UAE: (However, those who have already availed Furniture Finance in Pakistan shall need to adjust their Furniture Finance in Pakistan)

Grade	Finance Limit (UAE Dirham)	Monthly Installment (UAE Dirham)
EVP-I to PEVP	60,000	1,000
RVP to SVP-II	45,000	750
OG-I to AVP-II	30,000	500

22.5.5 Fixed Bonuses

As and when approved by the Management. Basic Salary in UAE is considered for the payment of bonus (excluding all other Allowances).

22.6 Other facilities for all Overseas locations

22.6.1 Children's Education (for officers only)

Amount of Subsidy

- For Afghanistan & Bahrain
School fee shall be reimbursed by the bank up to 50% or maximum US\$ 500 per child per month (whichever is less) shall be reimbursed by the bank with per family ceiling of USD 1,500 / - per month.
- For UAE
School fee shall be reimbursed by the bank up to 50% or maximum US\$ 1,000 per child per month (whichever is less) shall be reimbursed by the bank with per family ceiling of USD 3,000 / - per month.
- For Bangladesh
School fee shall be reimbursed by the bank up to maximum amount of US\$ 3,000 / - p.m. or actual cost of education up to three children whichever is less.

Qualifying Children

Up to the age of 20 years Education subsidy shall be provided to the employees posted for dependent children, subject to condition that they are getting full time education from an approved school / college at employee's place of posting. (Educational subsidy shall be paid only up to High School / Intermediate / A level)

Educational Expenses Covered

Subsidy (100%) shall be payable in respect of Admission / Registration fee. The same shall be paid once per child for the total period of stay at place of posting.

Payment of Subsidy

The bank shall make the payment directly to the school / college / university or reimburse against original receipt.

22.6.2 Air Passage Facility

Eligibility:

The employee and his dependent family members, i.e. Spouse, Children below 25 years of age (no age limit for unmarried daughters), widow and dependent mother and father may be considered as eligible family members. Children already married or engaged in full time employment shall not be considered as dependents. Economy class Air fare shall be provided.

Joining / Exit Air Passage Facility:

On transfer to overseas branches / offices, the employee and his eligible family members shall be entitled for economy class air fare from home town to country of posting, subject to condition that the family members travel from home country to join the officer at place of posting.

Upon transfer back to Pakistan or to another place of posting or within the group, Air passage facility shall be provided along with eligible family members.

Home Passage Facility:

The entitlement of Air Travel would be once in a year (for Afghanistan twice in a year) from the date of joining at overseas operations for self and eligible family members.

The economy class air fare facility shall be provided from place of posting to home town. (nearest Airport). For Afghanistan employees on secondment, may also avail this facility from home town to place of posting and return if families do not reside with them on a permanent basis

22.6.3 Fuel Facility

Fuel entitlement of Expat Employees is as follows:

Grade	Fuel Entitlement (Ltrs)
SEVP-I / Country Head	500
EVP-III	400
EVP-II	300
EVP-I	275
SVP-II	250
SVP-I	225
VP-II	200
VP-I	100

22.6.4 Relocation Allowance

Relocation allowance shall be given to employees upon their transfer to overseas locations and upon transfer back to Pakistan in order to meet their excess baggage expenses & shipment charges etc.

It is ensured that expenses on relocation do not exceed employee's one month basic salary at new place of posting. On Transfer back to Pakistan, similar entitlement is allowed i.e. equivalent to one Basic Salary in Pak Rupees payable in Pakistan. (Taxation rules shall apply at Country of posting)

22.6.5 House Finance

Officers on secondment are eligible to avail House Finance as per House Finance Policy applicable in Pakistan. All such Finances are maintained at Main Branch, Karachi.

Pakistan based basic salary in Pak Rs. is considered for the computation of House Finance Entitlement of Expat Employees.

22.6.6 Outstanding Finances

Prior to posting abroad, officers shall have to adjust all Finances except House Finance. They shall be eligible for Conveyance Finance / Furniture Finance as per policy at country of posting. In case they want to continue their

existing Finance(s) in Pakistan, they shall be required to service their Finance(s) through overseas remittances, in this case Employees shall not be eligible for new Finance(s) at place of posting.

22.6.7 Life Insurance

Expat employees are covered under life insurance policy, applicable to Employees working in Pakistan.

22.6.8 Pay Continuation Plan

All Expat employees are covered under Pay Continuation Plan in Pakistan.

22.6.9 Leave Rules

As per Local Labor Laws at place of posting or as approved by CMC whichever is more beneficial for the employee.

22.6.10 Period of Posting

- For Afghanistan and Bangladesh : Three to five years from the date of posting.
- For Bahrain and UAE : Three years from the date of posting.

CEO on the recommendation of Group Head CIB&IB and Chief Human Resources Officer, may allow further extension to the posting period in exceptional circumstances on case to case basis based on the merit of the case.

22.6.11 Assignment at Overseas

Employees transferred to overseas operations shall be given the assignment at place of posting as per his / her transfer letter. Any change in assignment at place of posting shall require prior approval of Group Head Corporate, Investment Banking & International Business / HCG.

22.6.12 End of Services Benefits

- **Gratuity:**
Employees of Pakistan Operations, where posted in overseas operations shall be eligible for gratuity as per labor laws of the relevant country, for the said period of posting. In such case, their service period for overseas posting shall be excluded from the gratuity entitlement in Pakistan.

However, where such benefit is not available, then they shall be eligible for gratuity benefit as per rules applicable in Pakistan. Incase, where the employee is eligible for gratuity in Pakistan, resigns or retires during the overseas posting, then the basic salary for computing gratuity shall be:

- Higher of the Bank wide or respective Group wise average basic salary for their last grade (Pakistan Operations only)

- **Provident Fund:**

This facility is not available at overseas posting.

22.6.13 Transportation of Personal Effects

On transfer from one country to another or back to Pakistan, Bank shall pay cost of transfer of baggage by sea as follows:

Grade	Container Size
SVP-II & Above	40 ft.
Other employees	20 ft.

No excess baggage by air is permissible and above entitlement is not an encashable benefit.

Chapter 23 Deputation Policy

23.1 Introduction

This policy outlines the guidelines for deputation of the Bank's employees to its Subsidiaries and Associated companies as per business requirements. This will enable the Bank, to place key/ quality resources to its Subsidiaries and Associated companies for any period as per requirements to support them in their operations through their experience, knowledge, expertise, and to promote cross organization collaboration and synergies.

These guidelines will provide a structured process for deputation of the employees of the Bank to its Subsidiaries and Associated Companies, including eligibility criteria, transfer process, time period of deputation (project based or role based), compensation and benefits etc.

23.2 Eligibility

- All employee shall be eligible for deputation, provided they have spent at least six months with the Bank. However, the CEO/ President of Bank Alfalah may waive this condition depending on the business need of the Subsidiary/ Associated Company.

23.3 Process Initiation

- The need for resource(s) shall be advised by the CEO or the Board of the Subsidiary/ Associated Company to Human Capital Group (HCG) of Bank Alfalah.
- HCG shall start the shortlisting process of the employee(s) for deputation, and finalise the following with the requisitioning authority:
 - Tenure of the Deputation
 - Compensation and Benefits
 - Other terms and conditions

23.4 Duration

The duration of deputation shall be up to a maximum 3 years and may be extended for another 3 years subject to approval from the CEO/ President Bank Alfalah.

The Bank shall reserve the right to shorten, extend, terminate the deputation period by providing at least 15 days' notice to the Subsidiary/ Associated Company and the deputed employee. Thereafter, the employee shall be required to report back to HCG of Bank Alfalah for further assignments.

23.5 Compensation & Benefits

Compensation and Benefits details will be agreed amongst HCG Bank Alfalah, the Subsidiary/ Associated company and the employee and a letter of deputation / secondment shall be signed by all three parties to record such agreement.

Employee(s) on deputation shall continue to be governed by the Employment Letter, HCG Policy Guidelines, Code of Conduct of Bank Alfalah, as may be revised from time to time, during the deputation period.

- Salary and benefits as agreed for the duration of the deputation shall be paid by the Bank,
- Employee(s) on deputation will be entitled to Bank Alfalah Staff Finances, Hospitalization, Life Insurance, Retirement Benefits, Leaves etc. as per Bank Alfalah's HR Guidelines. However, they will not be entitled for the same benefits from the Subsidiary/ Associated Company.
- Any additional benefits or compensation to be provided by the Subsidiary / Associated company of the Bank, shall be defined in the deputation agreement. However, this cost/ benefit shall be directly provided by the Subsidiary/ Associated company.
- Performance appraisal, increment and bonus shall be decided by the Bank. However, input on performance shall be sought from the Subsidiary/ Associated company on the deputed employee.
- The Bank may charge a reasonable fee from the Subsidiary/ Associated Company for the resource for deputed period, which may include, cost of the said employee (salary, benefits, difference in commercial markup and subsidized rate of staff finances, retirement benefits etc.). Finance of Bank Alfalah shall devise the procedure for charging the fee to the Subsidiary/ Associated company.

23.6 Delegation of authority for Deputation

Grade / Positions at Subsidiary / Associate	Authorized Person	Recommending authority	Approving authority
CEO of the Subsidiary or Associated Company	BOD of Subsidiary / Associated	CHRO of Bank Alfalah	CEO/ President Bank Alfalah
Key Positions	CEO of Subsidiary / Associated	BOD of Subsidiary / Associated	CHRO, Bank Alfalah
All other positions	-	CEO of Subsidiary / Associate	CHRO, Bank Alfalah

23.7 Delegation of authority for Deputation

A **Deputation Service Agreement** covering the above terms and conditions, shall be signed by the Deputed Employee, authorized signatory from Subsidiary/ Associated company and HCG Bank Alfalah.

23.8 Confidentiality & Compliance

Deputed employees must adhere to the confidentiality and compliance standards and requirements of the Bank and the subsidiary / associate during the deputation. The employees must sign the “Code of Conduct – Ethics & Business Practices” document of the Bank.

All deputed employees will meticulously observe the office timings of the subsidiary / associate.

23.9 Placement of deputed staff after completion of deputation period

Upon completion of the deputation period, HCG will arrange placement of the staff to the Bank on a suitable position.

CHAPTER 24. SERVICE ENGAGEMENT FRAMEWORK

24.1. Objective

This Framework establishes a structured approach for engaging individuals as **independent service providers** under **Services Agreements** to perform defined scopes of work for the Bank through flexible, fee-based arrangements for occasional or temporary hourly based assignments.

From the Bank's perspective, this Framework enables access to specialized and scalable capacity, promotes operational efficiency, supports cost effective service delivery, and advances inclusive participation, while maintaining strict separation from employment arrangements and mitigating legal, regulatory, and classification risks.

The Framework is intended to:

- Enable participation and creation of earning opportunities for talented and skilled household-based individuals, persons with disabilities (who are unable to do full time job), freelancers, and independent professionals.
- Support flexible, time-bound, and project-based service requirements of the Bank; and
- Establish overarching compliance requirements from regulatory, legal, and data-confidentiality perspectives.

Nothing contained in this Framework shall be construed as creating an **employer–employee relationship**, nor a relationship of worker, agent, or representative of the Bank.

24.2 Scope & Nature of Engagement

This Framework shall apply to individuals engaged as **Service Providers** under a Services Agreement on a:

- Hourly fee or fixed-fee basis (or such other fee structure as required for the engagement);
- Time-bound basis, for a maximum cumulative duration of **up to one (1) year**; and
- Project-based or task-based assignment.

All engagements under this Framework shall:

- Be commercial in nature and conducted at arm's length
- Be governed exclusively by a Services Agreement; and
- Remain outside the Bank's approved manpower plan and employment framework.

24.3 Permissible Services

Services under this Framework may include, but are not limited to:

- Support services (subject to regulatory and data-access restrictions);
- Administrative or operational support activities;
- Content development, design, or digitization work;
- Analytical, documentation, or research support; and
- Any other services, tasks, or project deliverables as approved.

All services shall be permissible from **compliance, regulatory, legal, and data-confidentiality perspectives**, and shall not require access to restricted customer or confidential banking information.

24.4 System, Data & Resource Access

Service Providers shall be granted access **only to such systems, tools, data, or resources** as are strictly necessary to perform the approved scope of services.

Under no circumstances shall Service Providers be provided access to:

- Customer information, records, or accounts;
- Core banking systems or customer-facing applications; or
- Confidential, restricted, or sensitive banking data, unless expressly permitted under applicable laws, regulations, and internal policies.

Any system or data access, where approved, shall:

- Be time-bound and role-restricted;
- Be subject to approvals from relevant stakeholders, including Information Security and Compliance; and
- Be revoked immediately upon completion or termination of the Services Agreement.
- Access to physical premises, equipment, or Bank-owned resources shall be limited strictly to operational requirements and shall not be construed as creating or implying an employment relationship.

24.5 System, Data & Resource Access

- All engagements shall be governed by a **Services Agreement** executed between the Bank and the Service Provider.
- Compensation shall be structured strictly as **fees** and shall be subject to applicable tax laws and statutory deductions.
- Fees may be structured on an hourly, fixed-fee, or milestone-linked basis.
 - The Services Agreement shall clearly define:
 - Scope of work and deliverables;
 - Engagement period;
 - Fee structure and payment terms;
 - Termination provisions; and
 - Other necessary legal and commercial clauses.
 - No additional perks, benefits, allowances, or variable payouts (including performance incentives) shall be included or implied under any Services Agreement.
- **Renewal of the services shall be done subject to satisfactory delivery of activities or tasks.**

24.6 Governance & Payment Controls

- A governance framework for verification of services and release of payments shall be established in line with the Bank's legal, accounting, and financial control requirements.
- Payments shall be made against validated services or deliverables, in accordance with the Services Agreement.
- Any time recording, where applicable, shall be used solely for billing verification and shall not be construed as attendance monitoring or employment supervision.
- The individuals engaged in the Service Agreements shall be barred from any outsourcing to a third party of the task, or deliverable assigned to them. In this, case it will be treated as a violation of the agreement and shall lead to termination of the agreement.

24.7 Engagement Procedure

- The requesting unit shall submit a documented business or operational justification for the proposed engagement to HCG.
- HCG shall evaluate the request and conduct financial validation, including budget availability checks.
- HCG may seek input or concurrence from relevant stakeholders, including Compliance, Risk, Finance, Legal, or Information Security, depending on the nature and scope of services.
- Upon approval, the Services Agreement shall be executed between the Bank and the individual Service Provider through HCG.
- Payment of fees shall be processed through Finance and shall be subject to applicable tax deductions in accordance with income tax laws and other relevant regulations.

24.8 Exclusion from Employment Framework

Individuals engaged under this Framework shall:

- Not be considered as full time or part time employees of the Bank
- Not be entitled to any employment-related benefits, including leave, medical coverage, insurance, bonuses, loans, or staff welfare programs; and
- Have no entitlement, expectation, or claim to permanent, contractual, or future employment with the Bank by virtue of such engagement.

24.9 Effective Date & Oversight

This Framework shall become effective upon approval by the Board. Any amendments or changes required may be proposed to the CEO for amendment to ensure smooth functioning of the framework.